

TALENT & TECHNOLOGY



What's Inside

Message from the Founding Team 2-3

About SBFC 4-13

SBFC at a Glance	4-5
Product Portfolio	6-7
Milestones	8-9
Leadership Team	10
Zonal Leadership Team	11
Key Performance Indicators	12-13

Talent and Technology 14-21

Investing in Technology	14-17
Empowering our People	18-21

Business Review 22-24

Our Strengths	22
MSMEs: The Big Picture	23-24

Beyond Business 25-26

Financial Inclusion	25-26
---------------------	-------

Statutory Reports 28-57

Management Discussion and Analysis	28-33
Directors' Report	36-57

Financial Statements 58-139

Independent Auditors' Report	58-67
Financial Statements	68-139

At SBFC, we primarily offer loans to business owners who are financially underserved by traditional banks. **Our 'PhyGital' model enables us to engage with customers to understand their needs and provide tailored lending solutions.**



Scan QR code
to view our website

FY22 in numbers

₹3,192 cr

Assets Under Management (AUM)



↑ **41%** YoY

₹1,333 cr

Disbursements – Secured MSME



↑ **124%** YoY

Secured 93%

AUM



1.63%

Net Stage III



2.87x

Debt to Tangible Net Worth



INVESTING IN TALENT AND TECHNOLOGY

The world has witnessed multiple challenges in the past two years. India successfully navigated through these challenges and emerged as the fastest-growing economy. The sound macro fundamentals, along with the Government's prudent economic policies, have allowed us to remain resilient during FY22. Considering the country's young demographic structure and Government initiatives to encourage entrepreneurship, start-ups, and MSMEs, India's long-term growth also remains positive.

At SBFC, our ambition is to be a catalyst driving India's inclusive growth agenda on the strengths of our best-in-class lending solutions and our people. We believe our people are the enablers of our success and growth. Thus, we prioritise talent development through our unique hiring model and various learning and development initiatives like First time leadership development programme, RAG- Red Amber Green and alternate career pathing.

In addition to building a robust team, we have also been consistently investing in customer-centric technologies. These investments help us in providing faster services, enhancing customer experience, lowering overall costs, and improving business performance. We have provided several digital solutions such as online gold renewal, digital collection, check management system and data warehouse, by upgrading our products through digital adoption.

As we aspire to make lending solutions more accessible for India's rural and semi-urban populations, we will continue to invest in talent and technology with a strong focus on the growing MSME sector and gold loans.

Investing in Technology



Read more on page 14

Empowering our People



Read more on page 18

Message from the Founding Team

Shaping a World-class Financial Institution



Small businesses are everywhere - a powerful force hiding in plain sight. It's time to enable and empower them.



Dear Stakeholders,

We write to you as we emerge from one of the most tumultuous times in recent history. Despite the headwinds, our Company has managed to consolidate and grow its disbursements and income in FY22.

We are now heading into a new era of growth. We believe that the upcoming decade will be fundamental to India's growth story and will be marked by higher aspirations and an increased need for financing. We are at the right place at the right time, and with the right strengths and opportunities. Guided by the vision of our Board, our Company is committed to deliver growth and be a catalyst for India's inclusive development agenda.

The Year in Review

FY22 was a challenging year for many reasons. The first half of the year saw the resurgence of COVID-19, where the second wave had a devastating effect on lives. The second half highlighted the concerns related to rising inflation brought on by continual supply chain disruptions and geo-political conflicts. Our business model, like many others in the financial and banking sector, is dependent on the amount of liquidity in the economic system. The impact of the withdrawal of fiscal support in major economies as the pandemic subsided and the indications of RBI's tight monetary policy were felt in our business during the year under review.

Despite these business headwinds, FY22 was a year of consolidation and growth in many respects. Our Secured MSME disbursements grew by 124% to reach ₹1,333 Crores. This led to a growth of 4.27% in total income to ₹533 Crores compared to ₹511 Crores in the previous year.

Our Profit After Tax, however, did not see an increase and stood at ₹64 Crores compared to ₹85 Crores in the previous year. We did see a significant increase in the number of branches – from 96 in FY20 to 135 in FY22 – and a subsequent increase in employees, from 1,153 in FY20 to 2,048 in FY22.

Our expanded operations reflect the confidence we have in our business model and the opportunities we plan to explore.

We also managed to maintain our asset quality, decrease in gross stage III and net stage III ratios, down by 37 bps and 29 bps YoY, respectively. However, both indicators for FY22 were lower than our three-year average – a testament to our efforts to improve our asset quality.

Our strong balance sheet with adequate liquidity buffers should enable us to perform well in an environment with low liquidity. Over the past few years, the cumulative impact of our strategic decisions has helped us build a strong foundation, and that, we believe, will position us favourably in the medium to long-term.

Staying Ahead of the Curve

We expect several curveballs such as monetary tightening and subsequent tightening of liquidity in the upcoming financial year. We are, however, optimistic about our medium to long-term performance as several opportunities in our business environment remain favourable for us.

Digitalisation remains a key trend and we expect it to continue and accelerate going forward. The introduction of 5G, as well as the Government's push for digitalisation, is expected to strengthen and led to a consolidation of a digital-savvy middle class in India. With our focus on analytics and our in-house app, LeviOSa, we are well poised to make inroads into Tier-2 and Tier-3 cities.

The growing importance of NBFCs presents both opportunities and risks for our business. It is expected to attract regulatory focus from RBI, whilst also lending more credibility to NBFCs. Our focus on governance and building an efficient financial institution will guide us, with greater scrutiny on our operations.

MSME Focus

We remain bullish about India's growth story, with the MSME sector is expected to play a key role in helping the country achieve its vision of becoming a \$5 Trillion economy. The MSME credit gap that propelled us to start this business is still large. RBI estimates the gap to be about ₹20-25 Lakh Crores – a result of the lack of supply by formal financial institutions to many regions in India.

Small businesses are everywhere – it is a powerful force hiding in plain sight. It's time to recognise and empower them. Also, the space presents a significant growth opportunity for our products.

Our strong knowledge of the local market and regional dynamics, robust credit underwriting model and efficient collections infrastructure, make us well positioned. It is a matter of utilising our strengths to ensure this credit gap is fulfilled, whilst maintaining our focus on prudence and risk management.

According to CRISIL, the secured MSME loans with ticket size ₹5-30 Lakhs is expected to grow at 13-15% CAGR through 2025. Therefore, we remain optimistic about our growth prospects. As a reflection of this expected growth, our trailing five-year CAGR of revenues was 60.16%.

The Way Forward

We aim to grow in a sustainable manner and amplify our social impact by lending to underserved sections of the population in India. We are confident that the business is well poised to take advantage of the opportunities and shall continue to be on a high growth trajectory.

We would like to conclude by expressing our gratitude to all our employees, shareholders and debt providers for their continued trust and support in our aspiration of making SBFC a world-class financial institution.

Warm Regards,
Leadership Team

SBFC at a Glance

Making Loans Easy

We are ready to embrace new opportunities and redefine the journey for all who walk with us. Our extensive branch network and innovative digital channel make us the ideal lender for those underserved by traditional financial institutions.

How SBFC Works

SBFC is a systemically important non-deposit-taking, Non-Banking Finance Company (NBFC) focused on MSMEs, salaried and self-employed non-professionals. We provide bespoke financing solutions to support the ambitions of our customers.

Reimagining lending, our Company has developed a 'Phygital' model that harnesses the power of technology and utilises an in-person service to deliver custom-made product offerings. We engage directly with small business owners across India, with a presence in 18 states & UT.

Vision

To build a world-class financial institution delivering scale with profitability consistently.

Mission

To make loans easy by designing and delivering them with excellence, innovation and integrity. We will use technology and human knowledge to find deserving customers and make the loan experience easy for them.

2,000+

Employees

39%



135

Branches

9%



72,000+

Customers

29%



3,192 cr

AUM

41%



Credit Rating

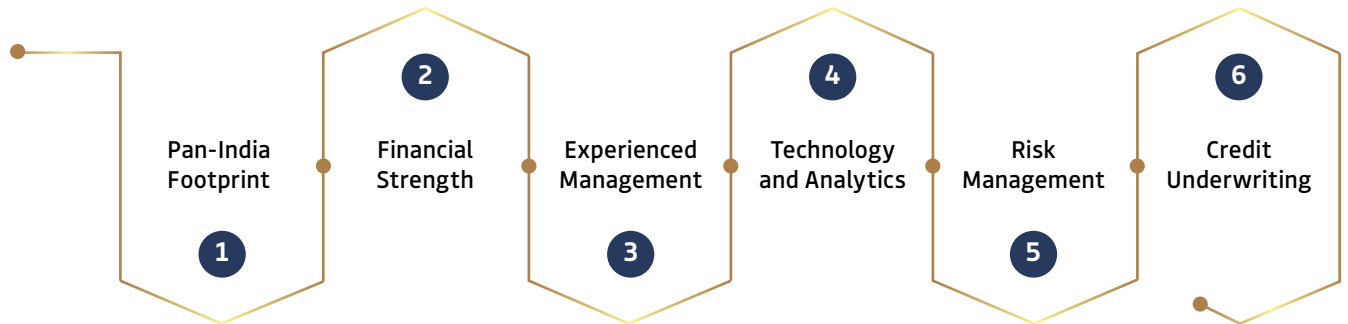
A (Positive)

ICRA

A+ (Stable)

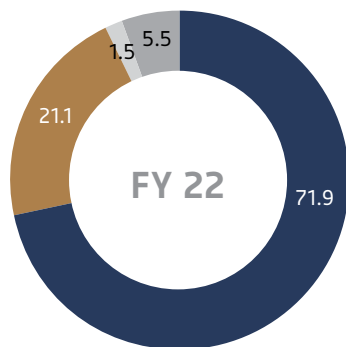
India Ratings and Research

What Differentiates Us?



Shareholding Pattern

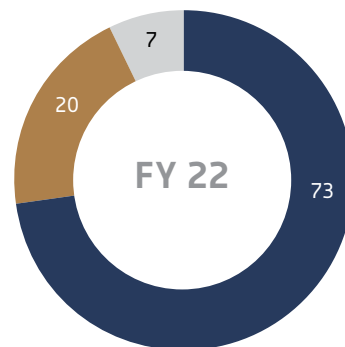
(%)



- Clermont Group
- Arpwood Group
- Malabar Group
- Management & ESOP Trust

AUM Mix

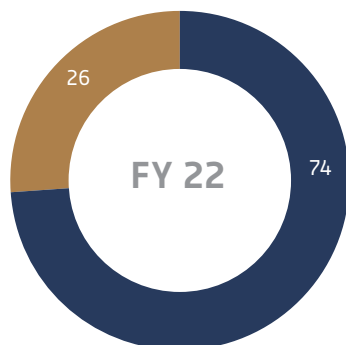
(%)



- Secured by Property
- Secured by Gold
- Others

Capital Mix

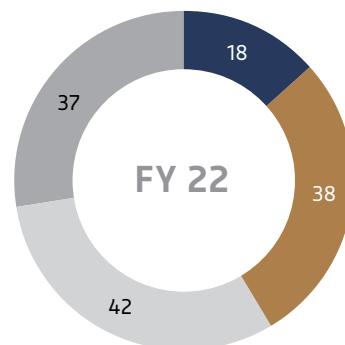
(%)



- Total Borrowings
- Tangible Net Worth

Branch Mix

Number of branches



- East
- South
- North
- West

Product portfolio

Bespoke Solutions that Empower Our Customers

We provide our customers with a financial springboard that allows them to grow, fulfil their dreams and, thereby, contribute to national prosperity. We are committed to serving the diverse needs of MSMEs, entrepreneurs and individual customers, while building on our financial strength.

Fund-based Products



Secured MSME Loans

- For self-employed and salaried customers
- Maximum value for borrowers' assets
- Competitive pricing
- Loans of between ₹1 lakh to ₹75 lakhs
- Disbursal of loans within 7 days

19,000+

Customer Outreach

43%

Average Loan-to-Value

₹9.5 Lakh

Average Ticket Size

≤ 15 years

Loan Tenure



Loan against Gold

- Competitive interest rates, charged on diminishing balance of loan
- Disbursal within 30 minutes
- Immediate Payment Service (IMPS) fund transfer facility
- Flexible repayment options

42,900+

Customer Outreach

69%

Average Loan-to-Value

₹0.9 Lakh

Average Ticket Size

3 months - 3 years

Loan Tenure

Fee-based Products

Loan Management Services (LMS)

We offer a host of specialist loan management services to third-party financial institutions including private banks, public sector banks, foreign banks, mutual funds and asset reconstruction companies (ARCs).



Portfolio Selection and Structuring

We are supported by the years of on-ground experience we have in industry dynamics, localised market knowledge and variety of credit filters to select portfolios, identifying risks and conducting on-desk and on-ground diligence including valuation of the portfolio.



Back-up Servicer

We join the securitisation transaction as a Back-up Servicer right at the initiation of the securitisation transaction. This means when an existing Servicer is terminated, our Company can be appointed as a Master Servicer.

There are two models of the Back-up Servicer: Hot Back-up servicer and Cold Back-up Servicer. The degree of involvement of our Company varies on the basis of the model agreed with the investor.



Master Servicer

We provide complete end-to-end servicing of the portfolio, taking responsibility of customer records management, EMI presentation, customer service, soft and hard bucket collections, litigations, repossession, and realisation of the underlying assets. The scope of service also covers CIBIL reporting, portfolio reconciliation and other related compliances.



Portfolio Analytics and Monitoring

We have built a dynamic analytical tool that, when combined with our experience, allows us to identify the red flags in portfolios. The deeper analytical ability of the tool flags the risks at a geography, customer-segment, asset class, industry segment and originator level, which in turn triggers focused corrective actions to get the identified portfolios back on track.

Milestones

Growing on Firm Foundations

- Acquisition of assets of Karvy Financial Services Limited
- Onboarded key management team

- Enhanced ME product programme
- Launched LeviOSa, a loan origination system
- Entered new markets in Assam and West Bengal
- Launched app-based collections –Omega and Delta
- [ICRA] A (Stable) ratings received

- Commenced co-origination with ICICI Bank
- Implemented e-NACH, enhancing our collection efficiency
- Expanded to 96 branches and set up a state-of-the-art 13,000 square foot office in Thane
- Launched 'Loan Management service' and on-boarded our first institutional customer

■ 26,608

■ 802

■ 40,432

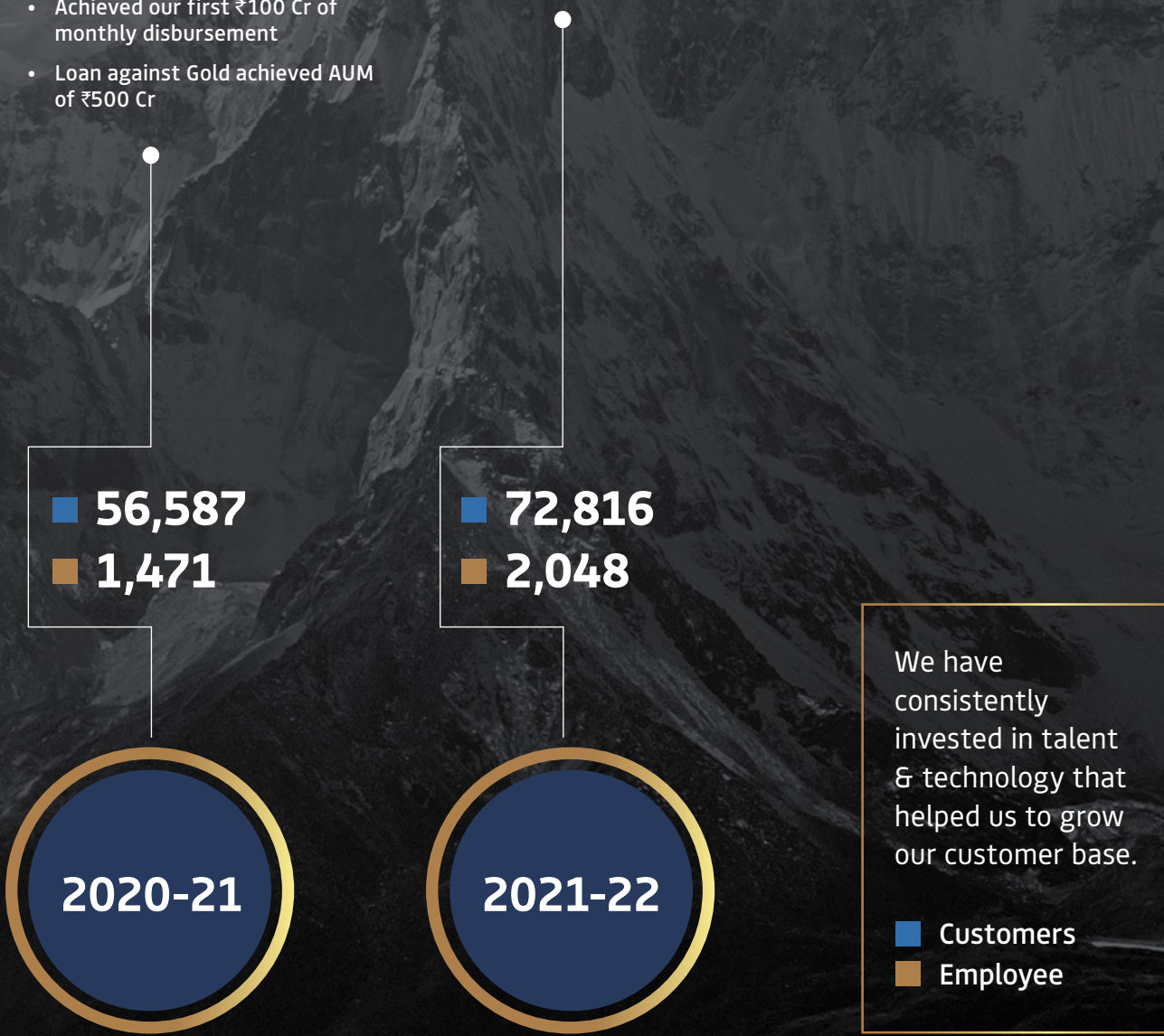
■ 1,153

2017-18

2018-19

2019-20

- Introduced unique products such as Gold Genie, digital personal loans and online top-ups which reinforce our commitment to customer-centricity and innovation
- Increased our geographic presence from 96 branches to 124 branches
- Entered new markets in Bihar
- Achieved our first ₹100 Cr of monthly disbursement
- Loan against Gold achieved AUM of ₹500 Cr
- Introduced online gold loan renewal process
- Rating upgrade by India Ratings to A+/Stable
- Achieved our first ₹200 Cr of monthly disbursement
- Secured MSME achieved AUM of ₹2,000 Cr
- Onboarded 20 Lenders



■ 56,587

■ 1,471

2020-21

■ 72,816

■ 2,048

2021-22

We have consistently invested in talent & technology that helped us to grow our customer base.

■ Customers
■ Employee

Leadership Team

The Right Direction. The Right Guidance.



Mr. Aseem Dhru
Managing Director & CEO
25+ Years of experience



Mr. Mahesh Dayani
Chief Business Officer
20+ Years of experience



Mr. Narayan Barasia
Chief Finance Officer
20+ Years of experience



Mr. VM Maneesh
Chief Operations Officer
15+ Years of experience



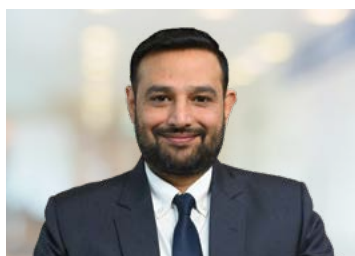
Mr. Pankaj Poddar
Chief Risk Officer
19+ Years of experience



Mr. Sai Prashant Menon
Chief Collection Officer
22+ Years of experience



Mr. Sanket Agrawal
Chief Internal Auditor
10+ Years of experience



Mr. Sumeet Ghai
Chief Human Resource Officer
20+ Years of experience



Mr. Ganesh Vaidya
Head – Technology
14+ Years of experience



Zonal Leadership Team

Establishing a Local Connect

South & East



Ashish Singh
Business
12+ Years of experience



Kiran Kumar
Credit
18+ Years of experience



Rama Chandra R
Collections
12+ Years of experience



Manender Jain
Collections GCL
25+ Years of experience



West



Vinay Agrawal
Business
11+ Years of experience



Rakesh Dugar
Credit
13+ Years of experience



Shashi Rana
Collections
18+ Years of experience



Jayesh Kedari
Collections GCL
20+ Years of experience



North



Ish Chawla
Business
14+ Years of experience



Vinay Veid
Credit
15+ Years of experience



Amit Sharma
Collections
17+ Years of experience



Subhash Sharma
Collections GCL
18+ Years of experience

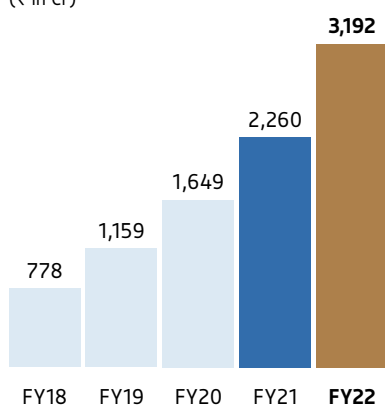


Key Performance Indicators

Charting Steady Progress

AUM

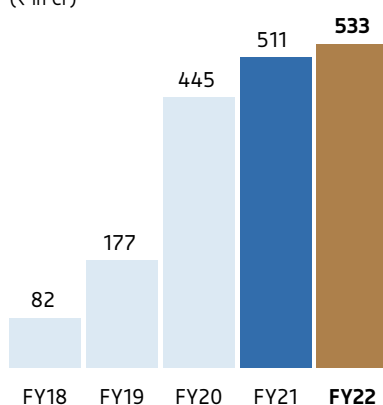
(₹ in Cr)



↑ **41%** YoY Growth
42% (4-year CAGR)

Total Income

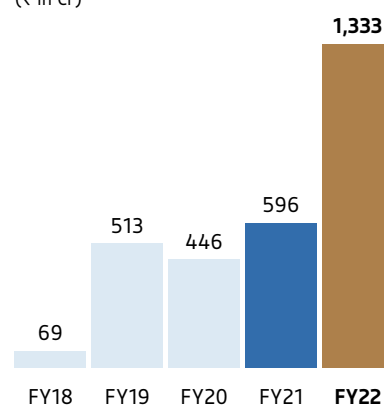
(₹ in Cr)



↑ **4%** YoY Growth
60% (4-year CAGR)

Disbursements - Secured MSME

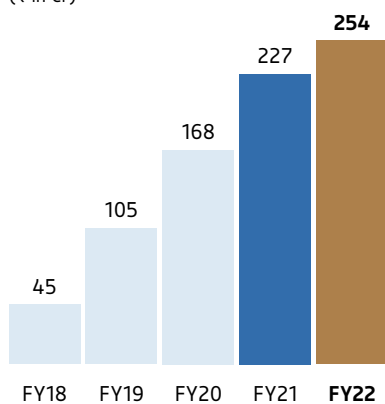
(₹ in Cr)



↑ **124%** YoY Growth
110% (4-year CAGR)

Net Interest Income (NII)

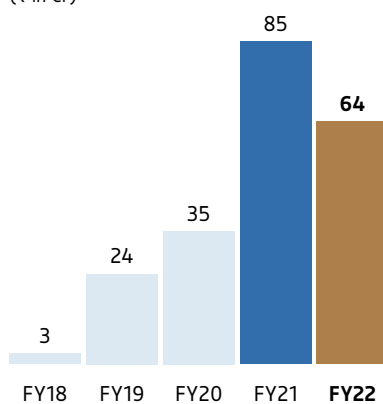
(₹ in Cr)



↑ **12%** YoY Growth
55% (4-year CAGR)

PAT

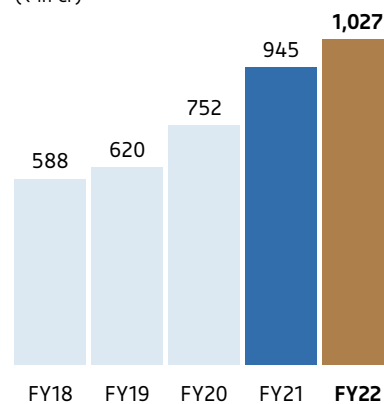
(₹ in Cr)



↓ **25%** YoY Growth
113% (4-year CAGR)

Tangible Net Worth

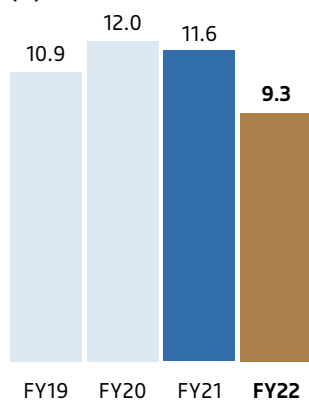
(₹ in Cr)



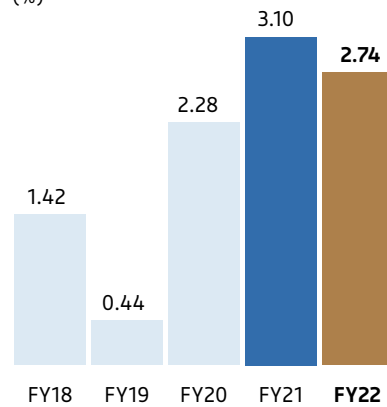
↑ **9%** YoY Growth
15% (5-year CAGR)

Net Interest Margin (NIM)

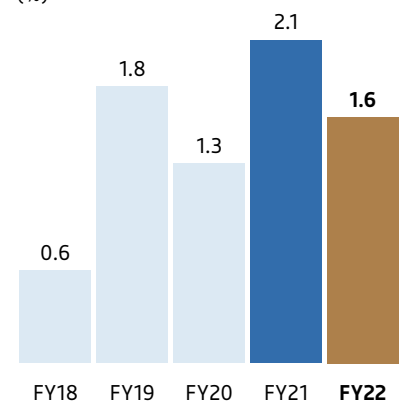
(%)

**Gross NPA**

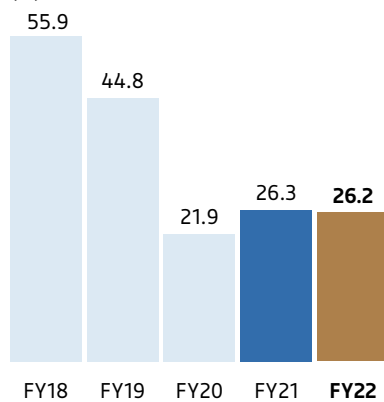
(%)

**Return on Total Tangible Assets**

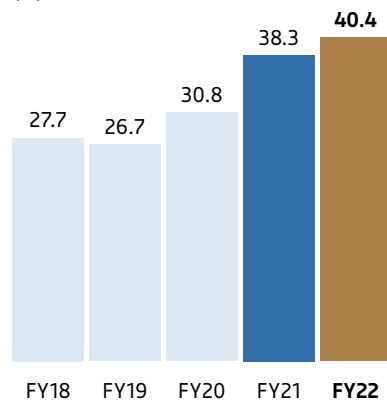
(%)

**CRAR**

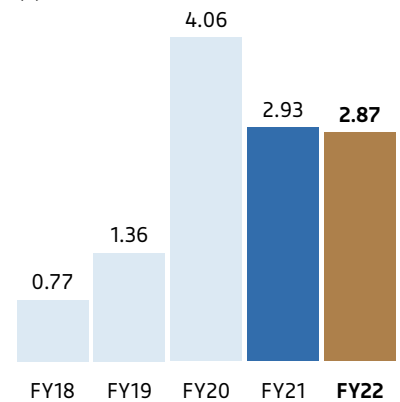
(%)

**Provision Coverage Ratio**

(%)

**Borrowing to Tangible Net Worth**

(x)



Investing in Technology

A Tech-enabled Lending Ecosystem



In today's fast-changing world, technology lays the foundation to become an agile and customer-centric organisation. Our aim is to enhance customer experience, reduce cost, and improve operational efficiency through consistent investment in emerging technologies and processes.

Revamped Loan Renewal Process

The loan renewal process has been reinvented and revamped leading to significant time saving from 45 minutes to less than 15 minutes.

- Gold loan disbursement within 15 mins
- Online gold loan renewal within 30 sec
- Online gold top-up in 3 clicks
- EMI payment from anywhere, anytime
- Cloud native infrastructure

Three Pillars of our IT Infrastructure



Security

- In the process of digital transformation, security has been the most critical factor for us, for internal and external transactions. We implemented WAF (Web Application Firewall) for all our critical applications, ensuring that unauthorised access is not permitted, DDOS attacks and SQL injection are significantly reduced.
- We implemented a cloud-based architecture that allows us to meet uptime, latency, scalability, and robustness of the application.
- To enhance security awareness, we conduct periodic trainings on cyber security, application awareness and induction for new employees.



Governance

- We have a robust IT governance framework including policies and processes for change management, release management, cyber security and incident management. We ensure that these policies are adhered to, and that adaptation is monitored on a regular basis.
- User access reviews are being performed to ensure that we limit and curtail unauthorised access to internal applications and thus meet the data security aspect.



Cost-efficiency

- Adapting to a cloud-based architecture has resulted in cost-effectiveness at the infrastructure level. We have a 44-server ecosystem in both testing and production environments. Despite these volumes, we are keeping costs to a bare minimum.
- We review the computing power of IT infrastructure on a regular basis and continue to rationalise it. Backup policies and data retention policies are also being monitored and corrected as needed to keep IT operation costs to a minimum.
- Our in-house development team not only creates agile solutions, but they are also very cost-effective when compared to readily available products or software with similar functionality.

Digital Initiatives During FY22

Digital Collection Ecosystem

We simplified EMI payments by giving our customers access to a flexible and real-time collection platform with multiple payment options. Our API-driven interface helped us develop a robust digital collection ecosystem.

The digital collection initiative has enabled automatic accounting of customer collections in LMS in near real time. This initiative has significant advantages including reduced cash collections, reduced manual interventions leading to superior customer satisfaction.



Investing in Technology



Comprehensive Digital Solutions

We take a holistic view to develop digital solutions that not only address customer requirements, but also ensure efficiency and effectiveness.



Online Gold Renewal and Top-up

With an intent to enhance customer experience and to make loans easy, we introduced online gold renewal system, entirely eliminating the need for the customer to visit our branch. The customers can renew gold loans instantly using the SBFC customer mobile app at its convenience. Moreover, if the customer so desires and is eligible for a loan top-up, there is an option of making online disbursement into the customer's account.



Payment Hub

Since multiple digital platforms are integrated with our loan management system, a glitch can disrupt service and lead to payment issues for customers. To prevent this and ensure a seamless experience, we have introduced the 'Payment HUB' project. It acts as a bridge between the platforms, providing high availability and resilience for a reliable service.



LOS Upgrade

We are enhancing the capabilities of our existing loan origination system (LeviOSa) to include additional product workflows, features including interface with third-party APIs to enable the users to perform video KYC/ CKYC, real time bureau check, fraud check, bank statement analysis, STP property valuation, bank verification, ITR verification, PDD and OTC module, etc. The upgraded product will also have enriched dashboards around disbursals.



LMS Upgrade

We are also enhancing the capabilities of Loan Management System and upgrading from SQL-based to Oracle-based platform. The enhancement will include additional features viz., e-KYC, bank verification, e-sign, rule-based completely automated collection module, compressive audit module, end-to-end auction module, optimised gold workflow for gold renewals and top-ups, etc.



e-KYC

UIDAI offers an electronic KYC service to enable instant verification of the identity of Aadhaar nos, resulting in speed of verification with reduced costs. This will further our digital journey in leading to superior customer experience.



e-Sign

Electronic Signature (or e-Sign) service is a cutting-edge initiative that enables easy, efficient, and secure electronic document signing by authenticating signers through e-KYC services leading to uparallel convenience and ease of execution of documents.



Document Management System (DMS)

DMS will act as a document repository of all customer documents like KYC, sanction letter, agreements wherein all customer documents can be stored in a single system. This will have an in-built strong encryption logic so that the document can be viewed only through an API call.



Online IMD Acceptance

IMD collections got a complete makeover with linking it with multiple payment gateways viz., net banking, debit card and UPI, which customer can choose at its convenience. As a result, the technology enhanced ease to customer alongside automatic collection accounting of IMD in loan origination system and financial accounting system.



Cheque Management System

The cheque printing and issuance got completely automated and revamped leading to superior efficiency and accuracy with significant reduction in reconciliation efforts.



Analytical Tool

We implemented business analytics tool Tableau with an objective to enhance convenience of data mining, superior analytical abilities, drill downs with higher accuracy. The system is able to process large data, analyse it and place it as dashboard for necessary review and actions.

Empowering our People

Instilling a Culture of Excellence

Our business model depends on building strong relationships with our customers. Therefore, it is imperative for us to build a team of the right people with experience, enthusiasm and passion for customer centricity.



Unique Hiring Model

Our hiring process is geared towards finding the right fit with positive and learning attitudes. We focus on hiring local talent from various locations, who understand the local language and business. Instead of relying on human resource consultants, we conduct our hiring through well-structured programs.

Internal Referral System

We run the 'Refer & Earn Programme' through which we reward our employees for bringing in the people they know. We recognise that if our employees have a strong sense of belonging to the organisation, they are likely to refer the right candidates who fit into the SBFC culture.

2,048

Employees

39% ↑

YoY



SBFC Gurukul

We believe that creating job opportunities is the best way one can contribute to the society we operate in. In our endeavour to support the 'Skill India Mission', we initiated the 'SBFC Gurukul' programme. It runs under the guidelines of the National Apprenticeship Promotion Scheme (NAPS) and National Apprenticeship Training Scheme (NATS).

As part of this, we train and provide support to fresh undergraduates and graduates for various skills and management courses such as asset valuation, credit processing, operational activity, accounting and internal auditing.

130

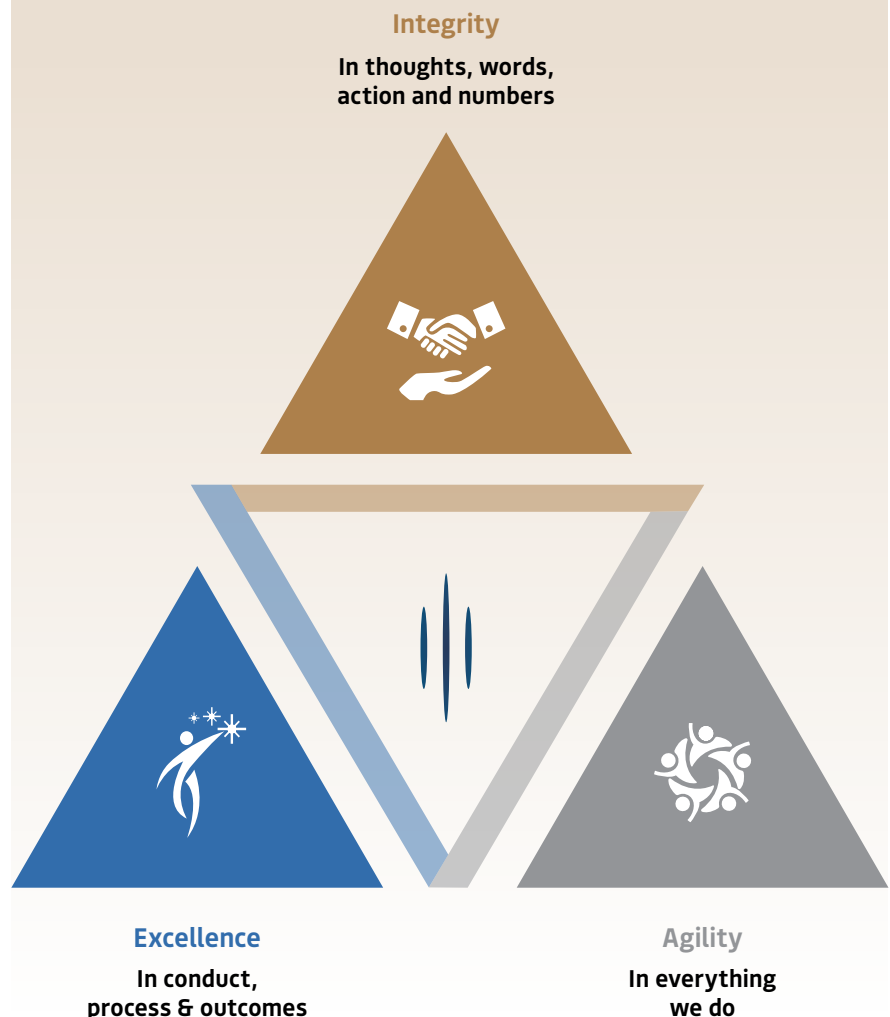
candidates are currently getting trained and will be onboarded in our organisations after a year

Inculcating the Right Culture

Our leadership at SBFC works hard to instil a culture of excellence, integrity and agility. There is a direct co-relation between our organisational behaviour and our values. This allows us to recruit

future talents, who will thrive in that culture. We can also inculcate them in the existing team with our rewards and recognition programme and development initiative.

The three straight lines appearing on our logo represent our three main values:



Integrity is at the heart of our operations, while excellence and agility are the supporting pillars. We conduct several programmes to reinforce the organisation's core values, and to ensure that employees who truly embody the values, policies, and the way we work are rewarded and recognised.

Empowering our People



Learning and Development

Continuous learning is critical to succeed and grow. Our learning programmes are designed keeping in the mind the holistic development of our employees. From role-based functional training to developing digital skills such as tableau, excel, to financial topics, we provide in-depth training to our people with structured training interventions like:

- First time leadership development program
- Bootcamps basis Red Amber Green rating for productivity enhancement.
- Alternate career pathing

Employee Experience

To foster a positive and open work environment, we organise various employee experience initiatives.

- There is a quarterly contest for our team members called 'Asmaan' wherein we reward the winners with points which can be utilised in buying products.
- We also conduct other programs such as new joiners connect, buddy program, HR mitra-connect on Whatsapp and connect over talent groups.

Other Employee Initiatives

Arogyam

We conduct regular and free health camps to track our health indicators, along with portfolio indicators.

Parichay

We believe in the all-round development of individual talent. Through this initiative, every employee receives cross-functional exposure in a structured manner that helps understand organisational processes and norms. We conduct new joiners meet once in a month for initial 3 months of employment.

Aarambh

All our new employees undergo a formal induction process, where in they are introduced to our organisation and all functional processes. As part of the induction process, every member is gradually attuned to the culture, values, and objectives of SBFC.

Saath

We ensure that our employees gets 3 times of their CTC for life insurance, ₹5 Lakh for medical insurance and ₹10 Lakh for accident insurance to ensure that our employees and their families are secured in any unforeseen situation.





Simran Matharu



My journey at SBFC has evolved over the past 8 years with continuous learning and growth. I joined the Company in October 2014 in the Gold Audit team, where I worked on improving processes, policies, controls, and trainings at branches. In 2018, SBFC offered me a new opportunity to move to Product/Business. Though it was challenging at first, it was a turning point in my career. I worked hard with team to make the 'Gold Genie' product a success in November 2020.

SBFC is a great company that supports employees and provides endless opportunities for advancement, maintain work-life balance and encourage entrepreneurship."



Deepti Sahal



I was not looking for a job, I was looking for a mission. I was looking for a company that inspires me, developing products that I am passionate about, offers a challenging and diverse role, has an empowering management, and a great work environment and team spirit.

SBFC has all these characteristics. I am proud to be part the Company that has a great culture and works hard to make lending loans easy and provide excellent customer experiences by leveraging technology. In my 4 years journey at SBFC, I have seen many positive changes and have transformed as a professional. The leadership is dedicated to making SBFC a success, and it shows in the company's contemporary, innovative, and entrepreneurial approach."



Venkata Swamy Cheni



I began my journey with SBFC on November 2015 as a Location Credit Head at Karvy Financial Services Limited. In September 2017, I received a continuation offer letter and my role was modified to Area Credit Manager. Currently, I am a Cluster Credit Manager.

I am grateful to SBFC for the support it provided during the COVID-19 pandemic, and I am proud to be a SBFCian."



Rajesh Chari



I started my journey with SBFC in January 2017 as an Assistant Manager, and later was promoted to Manager. My role as a LAG Auditor has provided endless learning opportunities every day. SBFC is a fantastic Company that cares for its employees and has helped me grow both personally and professionally. I am grateful to my seniors for their belief in me and my colleagues for their support."

Our Strengths

Standing Tall on Strong Fundamentals.

We are business built on well-defined principles, with an extensive presence in India. Our 'Phygital' approach allowed us to expand our branches across the country, while investing in digital transformation and a building a strong team. In addition, our prudent risk management governed by an experienced leadership team have enabled us to thrive and excel.

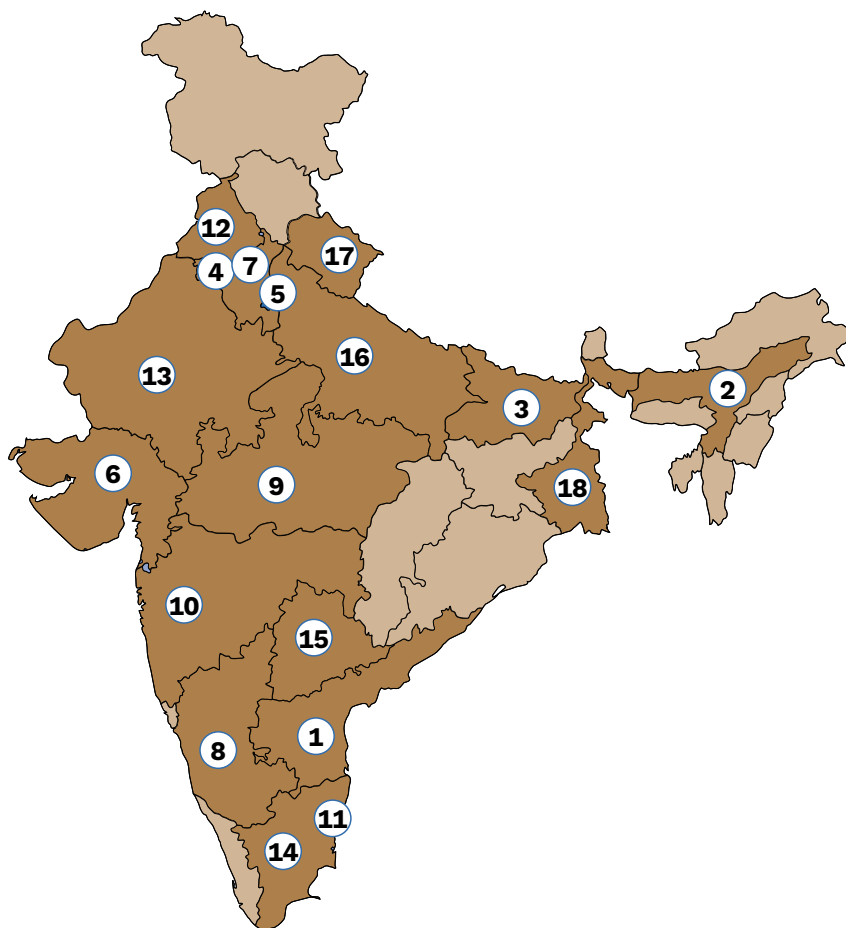
Significant Presence in India

We have invested upfront in building wide geographical footprint with a substantial presence in Tier-2 and Tier-3 cities. This has enabled us a significant opportunity of growth while effective managing geographical risks. Our exposure per state has thus been low with Karnataka being

at 16.8%. This well-diversified and well-distributed presence across the country sets up apart with our peers and lays the foundation for a long runway for the company.

Our network of branches positions us as the ideal lender for India's

entrepreneurs and MSMEs where each state presents a unique avenues of growth to us. This requires significant reliance and hence adoption of processes, system and culture across the wider geography.



Row Labels	AUM
1. Andhra Pradesh	6.5%
2. Assam	4.6%
3. Bihar	1.4%
4. Chandigarh	0.6%
5. Delhi	4.4%
6. Gujarat	4.3%
7. Haryana	5.3%
8. Karnataka	16.8%
9. Madhya Pradesh	7.6%
10. Maharashtra	11.3%
11. Puducherry	0.2%
12. Punjab	2.1%
13. Rajasthan	2.7%
14. Tamil Nadu	3.4%
15. Telangana	10.7%
16. Uttar Pradesh	14.7%
17. Uttarakhand	2.4%
18. West Bengal	1.0%

MSMEs: The Big Picture

Lending to Amplify Social Impact

MSMEs serve as a crucial growth engine for the Indian economy by generating employment opportunities and contributing to the nation's output. Small businesses epitomise the spirit of India's entrepreneurship and are an important part of the Government of India's vision of becoming a \$5 Trillion economy.

Where India stands

30%

Contribution of MSMEs to India's GDP

40%

Contribution of MSMEs to India's exports

70 Million

MSMEs

110 Million

People employed

*Source: Analytics India magazine

MSMEs: Key to Atmanirbhar Bharat Mission

In a bid to foster a culture of innovation and make India self-reliant, the Government of India has initiated 28+ schemes to support MSMEs, and sees them as an important part of India's growth story going forward.



For us, MSME means Maximum Support to Micro, Small and Medium Enterprises.

- **Shri Narendra Modi,**
Hon'ble Prime Minister

India: \$5 Trillion growth story

India has a population of around 1.40 Billion, with an economy of \$2.92 Trillion. As of today, the Indian economy is the fifth-largest economy in the world. At SBFC, we believe that the country is on its way to grow faster and emerge to become one of the fastest-growing economies. Credit growth is expected to match GDP growth, indicating the headroom for the financial and banking sector.

Therefore, we believe that the optimism around NBFC is warranted. The bank credit to gross domestic product (GDP) ratio is about 56%, and the credit and market debt-to-GDP is about 90%. This is less than half the corresponding percentage in USA, which means there is a large headroom for debt expansion in India and for NBFCs to play a critical role in semi-urban and rural areas of the country.

MSMEs: The Big Picture

Credit for a More Urban, Digital, and Prosperous India

35.4%

Population living in urban areas in 2021

47%

Internet penetration in 2022

\$1,850

India's per capita income in 2022

Thriving Start-up Ecosystem: Rising Scope for Financial Innovation

3rd

Largest start-up ecosystem in the world*

107

Unicorns in 2022*

77,000+

Start-ups in India, 2021-22*

*Source: Government of India



What MSMEs mean for SBFC

We are focussed on providing financing opportunities to business owners, who are underserved by traditional banks. At SBFC, 73% of our AUM comprises loans given to small businesses and self-employed entrepreneurs.

₹2,327 Cr

AUM in secured MSMEs loans

Traditional financial institutions are unable to evaluate and lend to entrepreneurs, particularly those with limited documentation or whose incomes are unpredictable. Thus, credit constraints cause difficulties in doing business. Our 'Phygital' business model and innovative data-driven method to assess creditworthiness allows us to make loans available to those who need it the most.

At SBFC, lending to MSMEs is seen as a way to finance enterprise creation and growth. Our overarching objective is

to make a meaningful difference in the lives of our customers by helping them realise their dreams and aspirations of a prosperous future.

Accelerating financial inclusion is an important Company mandate and it presents a way for us to combine profitability and a social agenda.

20%

Of MSMEs have access to formal business loans

Financial Inclusion

Reaching Under-served Customers

At SBFC, we believe that everyone deserves access to financial services. Therefore, we offer tailor-made lending solutions to a wide range of customers. From low-income individuals to MSMEs, we strive to provide inclusive, affordable financial solutions with quick approval to help our customers realise their dreams.



Mrs Sukhada Swapnil Indulkar

Business: RV Swast Generic Medicine Store

Location: Goregaon West, Mumbai

Product: MSME Loan

Sukhada Indulkar and her husband started a generic pharmaceutical store in Goregaon in 2018. The purpose was to provide people with medicines at a lower cost. Since generic medicines were not readily available in the region at that time, they started RV Swast

Generic Medicine Store. With growing demand for generic medicines, they wanted to expand their business for which they needed funds.

When she approached SBFC, our team supported her with the required capital quickly. As a result, she was able to maintain the desired inventory levels and establish partnerships with various companies.



I was able to grow my business faster because SBFC disbursed my capital requirement quickly and with minimal paperwork."



Mithesh Pandya

Business Name: Jaynarayan Tours and Travels

Location: Vadodara, Gujarat

Product: MSME Loan

Mithesh Pandya took over his father's tours and travels company in 1974. At that time, it was one of the first tours and travels in Vadodara, Gujarat. The company was founded to assist elderly people in travelling for yatras and visiting new locations within the country. They had several vehicles at the time: a bus, two matador vans, two ambassadors, and eight rickshaws. However, like any other business, they faced a few challenges. They lost a few vehicles, and his father passed away a few years ago.

But Mr. Pandya never gave up hope. He took over his father's business, with a new dream to start bookings for domestic railways as well as bookings for international travels. He needed the capital to expand the business and upgrade the vehicles, so he approached several banks. He came to SBFC because none of the banks could offer him immediate assistance.

We supported him in upgrading his vehicles because we believed in his conviction. He expects his company to go global in the next 10 years. We are confident in his abilities and are eager to support him for his future endeavours.



Thank you SBFC for helping me with finance at the time of need."

Financial Inclusion



Rohit Chauhan

Business Name: Shub Electricals

Location: Vadodara, Gujarat

Rohit Chauhan had a printing business, but it ran into devastating losses during the COVID-19 outbreak. Without losing hope, he switched into electrical business and started Shub Electricals, having owned a shop and being familiar with the industry.

During his difficult times, he required an urgent loan and approached several financial firms. However, he chose SBFC because we believed in his ability and determination to set up a new electrical shop.



I am grateful to SBFC for helping me setup my business."



Arvind Somaya

Business: Tiwara Creations

Location: Mumbai, Maharashtra

Product: MSME Loan

Arvind Somaya, the proprietor of Tiwara creations, started his entrepreneurial journey in 2005. Earlier, he was into full-time job, but he had a dream to build a garment business. He started from ground zero and faced many hiccups during his business journey but is now steadily growing. With

business expansion, his cost also increased he needed capital on an urgent basis to run the business.

We approved his loan quickly after he approached us with his problem. The loan helped him to pay off all his debts and purchase additional machines for his business with the remaining funds. He is no longer stressed, and he wants our support to expand his business in the future.



I appreciate the fast loan processing and support by SBFC team that helped me to pay off my debts and grow my business."



Nilesh Pagare

Business Name: Fresh Juice Center

Location: Vadodara, Gujarat

Product: MSME loan

Nilesh Pagare, from Vadodara, Gujarat, was born in Dhule, Maharashtra. His father established the Fresh Juice Center in 1986. Before taking over his father's business, he travelled across the country to learn cooking and processes to run a stall. Over the years, the stall became popular and was ready to scale. However, he faced many problems and had to relocate his stall. He realised that he needs a bigger place and should

move into a shop and to move permanent customers for which he needed capital.

Keen on taking a loan, he initiated the process with SBFC. Upon availing his loan, he then opened a new shop under the name 'Bombay Sandwich and Fresh Juice Center'. He expanded his menu and started serving snacks along with fruit juices.

We supported Mr Pagare to realise his dream and will continue to do so as he wants to open more shops in future.



SBFC not only helped me open a new shop by quick loan approval, but also willing to fund my future plans."

Statutory Reports	28-57
Management Discussion and Analysis	28-33
Directors' Report	36-57
Financial Statements	58-139
Independent Auditors' Report	58-67
Financial Statements	68-139

Management Discussion and Analysis

Macroeconomic scenario:

The fierce second wave of COVID-19 pandemic took the healthcare ecosystem to the brink and beyond in the first quarter of fiscal 2022, but it did not hit economic activity as hard as the first wave did. The main reason for this was decentralised and less-stringent lockdowns, which reflect the 'learning to live with the virus attitude' that authorities adopted.

In the near-term, while risks due to the Covid-19 pandemic seem to be waning, high inflation, exacerbated by supply chain challenges as a result of the Russia-Ukraine war, and consequent tightening of interest rates by Central banks globally pose risks to economic growth globally and in India.

CRISIL Research expects growth outlook for FY23 to be fettered with multiple risks. Nevertheless, India is expected to remain the fastest growing economy in the world with GDP growth of 7.3% projected in fiscal 2023 as per CRISIL Research. The IMF too estimates India's GDP to grow by 8.2% in calendar year 2022 due to its broad range of fiscal, monetary and health responses. However, IMF projects the growth to slow down to 6.9% in FY23.

India remains vulnerable to external shocks as crude prices rules at over \$100 per barrel, impacting major macroeconomic variables. Inflation based on the Consumer Price Index (CPI), also known as retail inflation, rose for the seventh consecutive month, reaching 7.8% in April 2022, the highest since May 2014. Most major goods and services saw prices jump, with food and fuel recording relatively higher inflation. Core inflation (CPI excluding food and beverages and fuel and light) also rose to its 8-year high, reflecting the broad-basing of inflationary pressures in the economy.

Inflation is expected to continue to remain elevated, as wide-ranging rise in commodity prices and supply disruptions push producers to pass on cost pressures to consumers. While the government has undertaken several measures to cool down inflation including putting in place export duty on several finished steel products, putting an export cap on sugar, and banning wheat exports, high crude oil prices and supply bottlenecks are expected to keep broad-based pressure on food, fuel and core inflation. For instance, CRISIL Research expects Brent Crude to average \$105-\$110 per barrel in 2023 as compared to \$80 per barrel in fiscal 2022. CRISIL expects CPI inflation to average 6.8% in fiscal 2023 compared to 5.5% in the previous year, with risks tilted to the upside. The monsoons being normal and well-distributed (103% of the long-period average), as per the Indian Metrological Department's forecast, would be critical to the inflation trajectory.

Rising Inflation:

Soaring inflationary pressures have resulted in the RBI reversing its accommodative monetary policy stance. As of June-end 2022, the benchmark repo rate has already been increased by 90 bps; CRISIL Research expects a further increase of 75 bps during the course of the current fiscal, translating into a 165-bps increase in repo rates cumulatively.

As per CRISIL estimates, the upward movement in interest rates is anticipated to lead to around ₹18 trillion of NBFC debt being repriced at a higher cost, of which ₹15 trillion will be on account of existing debt being repriced owing to interest rate reset or on maturity and another ₹3 trillion will be interest levied on incremental debt taken to support lending growth. However, due to lag in the increase in MCLR by banks as compared to the increase in repo rate, the overall increase in borrowing cost of NBFCs in fiscal 2023, at 85-105 bps, would be lower than the repo rate increase. However, given the steep fall in borrowing costs in fiscal 2021 due to the system being awash with liquidity, the borrowing costs for NBFCs in fiscal 2023 will still stay below the long-term average.

Retail segment to support NBFCs overall credit growth

The NBFC sector has, over the years, evolved considerably in terms of size, operations, technological sophistication and entry into newer areas of financial services and products. The number of NBFCs as well as the size of the sector have grown significantly, with a number of players with heterogeneous business models starting operations.

Over the last few years, CRISIL Research has seen a transformation in the Indian financial services landscape. The increasing penetration of neo-banking, digital authentication and mobile phone usage as well as mobile internet has resulted in the modularization of financial services, particularly credit.

The sector has also seen the emergence of several financial technology entities ("fintechs") that leverage technology, data, and business insights to provide various financial products and services to identified customer segments. Fintech players in India started lending in fiscal 2015 but they started gaining traction from fiscal 2017 onwards. The business model of fintech firms differ widely but in almost all cases they use technology to change or support existing way of doing business, and hold the promise of enhancing customer convenience, facilitating access to credit for unserved or underserved customer segments and/or improving operating efficiency. Many times, fintechs enter into tie-ups with financing partners (banks and NBFCs) for taking the loans originated by them on the balance sheet of the partner.

Reflecting the growing importance of NBFCs in the financial services landscape and their ability to offer differentiated solutions to meet the requirement of target customers, the market share of NBFCs in overall systemic credit has increased from ~16% in fiscal 2017 to ~18% in fiscal 2022.

In fiscal 2022, with a rebound in GDP growth, disbursements of NBFCs gained traction. Although NBFC assets witnessed ~7.6% growth in fiscal 2022, it was still lower than nominal GDP growth. This is because access to funding in a timely manner and at competitive costs remained challenging, especially for smaller and mid-sized NBFCs, and concerns lingered over the impact of the COVID-19 pandemic on asset quality.

Management Discussion and Analysis (Contd.)

The industry will continue to witness the emergence of newer NBFCs catering to specific customer segments. The COVID-19 pandemic and consequent acceleration in both adoption of technology and change in consumer habits as well as increasing availability of data for credit decision-making has made it possible to build an NBFC lending business without investing large sums to have brick-and-mortar presence on the ground.

Overall, between fiscal 2022 to fiscal 2025, CRISIL Research forecasts NBFC credit to grow at a CAGR of 9-10%. Further, retail credit given out by NBFCs is forecast to grow at a faster pace of 10-12% CAGR over the same time-period.

MSME lending

The National Sample Survey (NSS) 73rd round dated June 2016 estimated that there are around 63.5 million MSMEs in India. Since then, the number of MSMEs is estimated to have increased further to around 70 million as of fiscal 2022. MSMEs complement large corporates as suppliers or directly cater to end users. The MSME sector contributes to India's socio-economic development by providing huge employment opportunities in rural and backward areas, reducing regional imbalances, and assuring equitable distribution of national wealth and income. The segment currently contributes to 30% of the GDP, over 40% of exports and creates employment for about 110 million people in the country, thus supporting economic development and growth.

To bring in more enterprises under the ambit of MSMEs and widen the definition of MSMEs taking into account inflation over the past few years, in June 2020, the Government revised the MSME investment limit across each category and introduced an alternate and additional criteria of turnover buckets to the definition. It further removed the difference between the definition of manufacturing based and services based MSMEs. In June 2021, the Indian government has included retailers and wholesalers under the MSMEs definition to extend the benefits of priority sector lending to traders as well. The move is structurally positive from long-term perspective, as it will enable entities operating in the segment to register on Government's Udyam portal, participate in government tenders and also avail financing options/benefits available to the category.

According to the National Sample Survey (NSS) 73rd round dated June 2016, micro segment accounted for as much as ~ 99.47% of total estimated number of MSMEs in India. Small and medium sector accounted for 0.52% and 0.01%, respectively of the total estimated MSMEs. At a region level, rural regions accounted for marginally higher share of 51% as compared to urban region. Service sector accounts for dominant 79% share in MSMEs, of which retail forms major share.

Let's include the secured MSME Industry data (upto 30lacs) and how has the growth been in the segment alongwith delinquencies. This will help us compare our numbers on a relative basis.

Year-wise and MSME category-wise registration of MSMEs

Year/Category	FY16	FY17	FY18	FY19	FY20	FY21*	FY22^	Cumulative total for last 7 years
Micro	4,21,516	21,47,908	13,44,612	18,70,932	22,48,730	35,95,577	49,75,082	166,04,357
Small	70,866	2,16,558	1,66,259	2,41,187	3,02,299	4,00,525	1,72,432	15,70,126
Medium	2,631	8,592	6,584	9,426	11,229	35,541	11,294	85,297
Total	4,95,013	23,73,058	15,17,455	21,21,545	25,62,258	40,31,643	61,07,641	182,59,780

The small ticket size secured (SORP – Self occupied residential property) MSME lending market potential is estimated at ₹22 trillion. While the latent market opportunity is indeed significant, we observe that there are not many formal financiers who cater to this segment and have built scale. This can be attributed to the high cost of serving the market and the time it takes to build expertise, the requirement of having a strong knowledge of the local market and regional dynamics, and the challenges associated with building a credit underwriting model for non-income proof customers and collections infrastructure.

Most small businesses in India do not maintain documents such as income proof, business registration, GST registration, income tax filings, and bank statements, making credit assessment challenging. To illustrate, as per GST council data, only 13.7 million enterprises across various size dimensions were registered under GST as of May 2022. Hence, these businesses have limited or no access to formal credit from banks and financial institutions due to the requisite documentation and stringent underwriting norms.

Management Discussion and Analysis (Contd.)

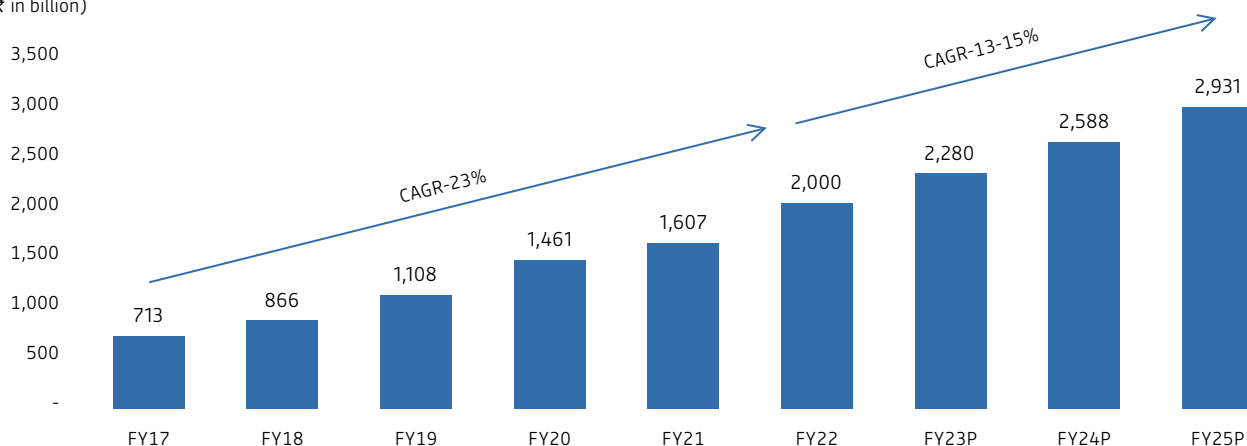
Secured MSME loans (₹5-30 Lakh) will continue to grow at a strong pace

There is a huge demand supply gap in the secured MSME loan segment, especially in lower ticket size segments. With increasing presence of MSME lenders in smaller cities and rising focus of lenders on underserved target customer segment, loan portfolio is expected to see a strong growth in future. Going forward, CRISIL Research expects the portfolio of secured MSME loans with ticket size in between ₹5 Lakh and ₹30 Lakh to grow at 13-15% CAGR over fiscal 2022 and 2025 aided by increasing lender focus and penetration of such loans, enhanced availability of data increasing lender comfort while underwriting such loans, enhanced use of technology, newer players entering the segment, and continued government support.

Secured MSME Loans with ticket size between ₹5-30 Lakh to grow at 13-15% CAGR over fiscals 2022-25

Portfolio Outstanding

(₹ in billion)



Note: Includes secured MSME loans of ticket size (₹5-30 Lakh) as reported in consumer bureau, P - Projected

Source: CRIF Highmark, CRISIL Research

Gold loans

In fiscal 2021, the demand for gold loan finance witnessed a massive surge with AUM shooting up from ₹3.2 trillion to ₹4.7 trillion, as India's economy coped with the devastating effect of the global pandemic and consumers availed of gold loans to meet their consumption and emergency funding needs. Many consumers, who had gold stock and ornaments lying with them, considered gold loans as an option to meet their credit requirements during this period. The demand for gold loans was also supported by a consistent surge in gold price, liquidity crunch in the immediate aftermath of the pandemic and lenders' hesitancy to give unsecured loans due to risk aversion. The RBI also revisited its guidelines for banks' lending gold loans by increasing the maximum LTV allowed to 90% from existing 75% for non-agricultural gold loans extended during August 2020 to March 2021 to help stressed borrowers to unlock more value. The growth was also supported by players continued focus to wean away consumers from the unorganised gold loan market by means of awareness and diversifying their regional presence with the help of branch as well as digital channels.

In the gold loans market, NBFCs slightly lost market share in fiscal 2022 due to increasing focus of banks (both public and private) towards gold loans as well as RBI permitting banks to offer gold loans at a higher loan-to-value amidst the

COVID-19 pandemic. Nevertheless, NBFCs continue to have a healthy market share across other segments.

NBFCs have been able to compete with banks mainly on account of their strong origination skills, extensive reach, better customer service, faster processing, fewer documentation requirements, digitalisation of customer on-boarding process, customised product offerings, local knowledge, and differentiated credit appraisal methodology. Furthermore, by catering to under banked, lower income and mass market customers who are unserved or underserved by banks, NBFCs have enhanced financial inclusion and expanded the market for formal financial services. The rapid evolution of fintechs over the last few years has added another dimension to the market served by NBFCs and has fuelled rapid growth.

As of March 2022, CRISIL Research estimates the outstanding value of loans given out by organised financiers' – banks and NBFCs – to be ₹5.5trillion, with NBFCs accounting for one-quarter of the market. Increase in AUM can be attributed to factors such as high gold prices, strong demand and increased promote on by financiers to acquire unorganised gold loan market by means of awareness and diversifying their regional presence with the help of branch as well as digital channels. Financiers also were very aggressive in tapping new customers during the year with some of them

Management Discussion and Analysis (Contd.)

running campaigns offering gold loans at a lower interest rate for short tenures.

CRISIL Research believes that the organized gold loan market will be driven by increasing gold loan penetration, rising share of organized financiers and market expansion through geographical diversification

Business Analysis:

The company caters to the Secured MSME segment through its 135 branches in 16 States and 2 UTs. It continues to improve its coverage at every state & as a result the employee strength increased from 1471 in FY21 to 2048 in FY22.

• Secured MSME :

The Company continues to focus on increasing distribution & penetrate deeper in tier 2 and tier 3 towns and investing in building organisation capability and bandwidth. The secured MSME segment grew by 57% & continues to be our core focus with an AUM of ₹2327 crores contributing 73% of total AUM of ₹3192 Crore. The core book is secured by residential and / or commercial property of which a majority approx 80% is covered by residential property.

The total disbursements were ₹1333 Crore in FY22 against ₹596 Crore in the previous year. We originate businesses from 135 locations of which 61% are more than 3 years contributing more than ₹22 Crore per location. 30% of our locations are between 1-3years contributing ₹10 Crore per location and the remaining locations are below 12 months.

The company continues to improve their coverage at every district in a state which results in improved performance and consistent continuity in growth.

• Gold Loans:

In fiscal 2021, banks have witnessed a faster growth in gold loans as compared to NBFCs on account of increasing LTV offered by banks (till March 2021), rising gold prices, demand from small businesses for cash and increasing focus of banks towards this asset class. A similar trend was evident in fiscal 2022 as well. Banks' gold Loan AUM increased by around 20% and NBFCs AUM increased by 11% in fiscal 2022. (Source: CRISIL).

During the fiscal 2022, the industry has witnessed high delinquencies as a fallout of Covid resulting in higher levels of gold auctions. The timely auctions helped the industry to maintain their delinquencies level in control. The AUM of Gold loans of the company increased from ₹560cr in FY 21 to ₹640cr in FY 22, thereby registering a growth of 14% during the year.

• Asset under Management:

The AUM of the company grew from ₹2260 Crore as on fiscal year 2021 to ₹3192 Crore as on fiscal year 2022 thereby registering a growth of 41%.

• Loan Management Service:

The Company has initiated an innovative and only one of its kind product "Loan Management Service" (LMS) in India. It has already executed several agreements and continues to increase its strength and reach.

This offerings encompasses

- i) **Portfolio selection and structuring:** SBFC has on ground experience of Industry dynamics, localized market knowledge in addition to its robust credit filters. It brings several years of experience in portfolio selection and its ability to identify not so obvious portfolio risks.
- ii) **Portfolio management & collection:** The Company takes over control over the physical files, the customer portfolio data, NACH mandates, physical cheques and provides the Investor with end-to-end solutions on portfolio servicing including customer service, collections, legal actions for delinquent customers etc. It has demonstrated its ability to successfully execute and collect retail portfolio for its clients.
- iii) **Portfolio analytics & monitoring:** The Company has built a dynamic analytical tools, which combined with the experience helps to provide an early warning signals on the portfolio. Its deeper analytical abilities identifies the risks at a geography, customer segment, asset class, industry segment, originator, which in turn triggers focused corrective actions to get the portfolio back in shape.

The Company has been investing in technology, people and processes to deliver unmatched experience and solutions to its clients

Risk Management:

The Board of Directors constituted a Risk Management Committee with the terms of reference include periodic review of the risk management policy, risk management plan, its implementation and periodic review and monitoring of the key risks. The risk owners are accountable to the Risk Management Committee for identification, assessment, aggregation, reporting and monitoring of the risk related to their respective areas/ functions.

The prudent risk management and governance forms an integral part of the Company's business strategy. SBFC promotes a strong and disciplined risk-management culture across its board and business. All the major risk classes – credit risk, liquidity risk, compliance risk and operational risk are controlled using well-defined risk management processes. The compliance and audit function of the Company plays an important role to ensure that the policies and regulations are diligently followed across the organization.

Credit Risk: The company has comprehensive and well-defined credit policies across various products which encompass credit approval process for all businesses along with guidelines for mitigating the risks associated with them. The appraisal process includes detailed risk assessment of the borrowers, physical verification of documents and field

Management Discussion and Analysis (Contd.)

visits. The company has a robust post sanction monitoring process to identify credit portfolio trends and early warning signals. This enables it to make rapid requisite changes to its credit policy, whenever the need arises. During the year, the Company reassessed & recalibrated the risk metrics emanating from Covid-19 led disruptions in its various products.

Liquidity risk: The Asset Liability Committee (ALCO) set up in line with the guidelines issued by the RBI, monitors asset liability mismatches and ensures that there are no imbalances or excessive concentrations on either side of the balance sheet. The Company follows a prudent approach for managing liquidity and ensures availability of adequate liquidity buffers to overcome mismatches in case of stressed market environment. The Company's robust liquidity management framework has ensured that it had enough liquidity throughout FY 21.

Compliance Risk: The Company has a dedicated compliance unit to ensure all regulatory filings and compliances are done in a timely and an appropriate manner. The department is responsible for guiding the business on all regulatory compliances. It also monitors implementation of extant regulations and guidelines.

Operational Risk: The Company have robust process guidelines issued for various business/support functions. Our audit department identifies, measures, reports, monitors and controls operational risks. The company also undertakes risk-based audits on a regular basis across all business units / functions.

OPPORTUNITIES & THREATS:

Opportunities:

- 1) NBFCs have been penetrating deeper to underserved markets and providing capital access to remote and inaccessible markets and promoting financial inclusion. This offers a good growth opportunities to NBFCs.
- 2) Technology disruptions are enabling superior customer experience with speed, giving customers quick and reliable access to finance.
- 3) The Reserve Bank of India (RBI) has been promoting Co-origination model of lending and has revised the co-lending scheme to provide greater operational flexibility to lenders with an aim to improve credit flow to the underserved markets. This has facilitated banks and NBFCs to leverage their respective strengths and enhanced the flow of capital to these underserved markets.

Threats:

- 1) Stringent Regulatory Norms and unexpected regulatory changes may adversely impact the current products or services provided to the customers.

- 2) Global market slowdown alongside high inflation and increased interest rate can lead to both slowing down of growth and increased delinquencies.

FRAUD MONITORING AND CONTROL:

The Company has in place a whistle blower policy as fraud prevention measures. Frauds are investigated to identify the root cause and relevant corrective steps are taken to prevent recurrence. Fraud prevention committees at the senior management and board level also deliberate on material fraud events and initiate preventive action. The Internal audit carries out risk based audit program to detect frauds. Reports are submitted to the Board and senior management committees for monitoring.

TECHNOLOGY:

Technology is at the forefront of business transformation journey. The company constantly invests in customer centric technology, which enhances customer experience as well as provides quick delivery of loans to the customers. The company has rolled out several digital solutions to its customer on all of its product.

Company's IT framework is governed by RBI recommended security frame work. The operational processes are in place to monitor and manage effectiveness of the security initiatives taken by company. Training/educating human resources on various aspects of IT security continues to be part of this governance. The company also carried out IT audits to strengthen the governance on IT frameworks.

INTERNAL CONTROL SYSTEM & THEIR ADEQUACY AND COMPLIANCE:

The Company has a well-established system of internal control, compliance and internal audit, commensurate with its size and complexity of the business and considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting ("the Guidance Note") issued by the Institute of Chartered Accountants of India ("the ICAI"). Your Company has appropriate internal control systems for business processes with regards to efficiency of operations, financial reporting, compliance with applicable laws and regulations, among others and with the objective of safeguarding the Company's assets, ensuring that transactions are properly recorded and authorised and providing significant assurance of the integrity, objectivity and reliability of financial information.

The Company continually upgrades internal control system by adding better process control, various audit trails. The internal control system is supplemented by extensive internal audits, The findings of Audit Team are discussed internally as well as in audit committee meetings. The Audit Committee of the Board of Directors reviews the adequacy

Management Discussion and Analysis (Contd.)

and effectiveness of internal control systems and suggests improvement for strengthening them.

MATERIAL DEVELOPMENTS IN HUMAN RESOURCES / INDUSTRIAL RELATIONS FRONT:

Your Company continues to have cordial relations with its employees. The Company ensures the health safety and well being of the employees of the Company who are central to the effective functioning of the Company. There was no material development in the human resource front during the financial year ended 31 March 2022.

CAUTIONARY STATEMENT:

This report contains forward-looking statements extracted from reports of Government Authorities/ Bodies, Industry Associations etc. available on the public domain which may involve risks and uncertainties including, but not limited to, economic conditions, government policies, dependence on certain businesses and other factors. Actual results, performance or achievements could differ materially from those expressed or implied in such forward-looking statements. This report should be read in conjunction with the financial statements included herein and the

notes thereto. The Company does not undertake to update these statements.

ACKNOWLEDGEMENT:

The Directors wish to place on record their appreciation for the support extended by the Reserve Bank of India, other regulatory and Government Bodies, Company's Auditors, Customers, Bankers and Shareholders. Your directors take this opportunity to place on record their appreciation to all employees for their hard work, spirited efforts, dedication and loyalty to the Company which has helped the Company maintain its growth.

On behalf of the Board of Directors of
SBFC Finance Private Limited

Sd/-

Aseem Dhru

Managing Director & Chief Executive Officer

Place: Mumbai

Board of Directors

Mr. Aseem Dhru

Managing Director and Chief Executive Officer

Mr. Neeraj Swaroop

Independent Director

Mr. Rajesh Mannalal Agrawal

Independent Director

Mr. Rajeev Gupta

Director

Mr. Amol Jain

Director

Mr. John Mescall

Nominee Director

Mr. Jonathan Tadeusz Tatur

Nominee Director

Mr. Arjun Sakhuja

Nominee Director

Corporate Information

Senior Executives of the Company

Mr. Aseem Dhru

Chief Executive Officer

Mr. Narayan Barasia

Chief Financial Officer

Mr. Mahesh Dayani

Chief Business Officer

Mr. Pankaj Poddar

Chief Risk Officer

Mr. VM Maneesh

Chief Operations Officer

Mr. Sai Prashant Menon

Chief Collection Officer

Mr. Sanket Agrawal

Chief Internal Auditor

Mr. Sumeet Ghai

Chief Human Resource Officer

Statutory Auditors

M/s. Suresh Surana & Associates LLP, Chartered Accountants, (ICAI Firm Registration Number 121750W/W-100010)

Registered Office

Unit No. 103, 1st Floor, C&B Square, Sangam Complex, CTS No. 95A, 127 Andheri Kurla Road, Village Chakala, Andheri (East), Mumbai – 400059

Corporate Identification Number

U67190MH2008PTC178270

Registrar and Transfer Agent

NSDL Database Management Ltd

4th Floor, Trade World A wing, Kamala Mills Compound, Senapati Bapat Marg, Lower Parel, Mumbai – 400013

Debenture Trustee

IDBI Trusteeship Services Limited

Asian Building, Ground Floor, 17, R Kamani Marg, Ballard Estate, Mumbai – 400 001, Tel No. : +91 22 40807000

Bankers

- State Bank of India
- Federal Bank
- ICICI Bank
- Kotak Mahindra Bank
- SIDBI
- HDFC Bank
- AU Small Finance Bank
- IndusInd Bank
- Axis Bank
- Bajaj Finance
- Utkarsh Small Finance Bank
- DCB Bank
- Yes Bank
- Karur Vysya Bank
- DBS Bank India
- Indian Bank

Contact Information

- T. : +91-22-67875300
- F : +91-22-67875334
- www.sbfc.com

Board Committees of the Company

Audit Committee

Mr. Neeraj Swaroop

Chairman

Mr. Rajesh Mannalal Agrawal

Member

Mr. Amol Jain

Member

Nomination & Remuneration Committee

Mr. Neeraj Swaroop

Chairman

Mr. Rajesh Mannalal Agrawal

Member

Mr. John Mescall Mr. Amol Jain

Member

Business Review & Monitoring (Executive) Committee

Mr. Neeraj Swaroop

Chairman

Mr. Amol Jain

Member

Mr. John Mescall

Member

Mr. Aseem Dhru

Member

IT Strategy Committee

Mr. Neeraj Swaroop

Chairman

Mr. Aseem Dhru

Member

Mr. John Mescall

Member

Mr. Amol Jain

Member

Mr. Deepak Mudalgikar

Member

Corporate Social Responsibility Committee

Mr. Neeraj Swaroop

Chairman

Mr. Aseem Dhru

Member

Mr. John Mescall

Member

Mr. Amol Jain

Member

Risk Management Committee

Mr. Neeraj Swaroop

Chairman

Mr. Rajesh Mannalal Agrawal

Member

Mr. Jonathan Tatur

Member

Mr. Aseem Dhru

Member

Mr. John Mescall

Member

Mr. Amol Jain

Member

Mr. Arjun Sakhuja

Member

Mr. Mahesh Dayani

Member

Mr. Pankaj Poddar

Member

Mr. Narayan Barasia

Member

Mr. Manu Mahajan

Member

Mr. Deepak Mudalgikar

Member

Directors' Report

for the Financial Year 2021-2022

To the members of SBFC Finance Private Limited

Your Directors have pleasure in presenting the Fifteenth Annual Report on the business and operations of your Company together with the audited financial statements of the Company for the Financial Year ("FY") ended 31 March 2022.

Financial Performance

Particulars	(₹ in Crores)	
	FY22	FY21
Total Income	533.03	511.18
Total Expenditure	446.52	397.05
Profit before Tax	86.51	114.13
Tax Expense	22.19	28.94
Profit after Tax	64.32	85.19
Amount brought forward from previous year	119.56	51.40
Amount available for appropriation	183.88	136.59
Appropriations:		
Transfer to Reserve Fund u/s 45IC of the RBI Act, 1934	12.86	17.04
Balance carried forward to Balance Sheet	171.02	119.56

Your Company posted total income and net profit of ₹533.03 Cr and ₹64.32 Cr respectively for the FY ended 31 March 2022, as against ₹511.18 Cr and ₹85.19 Cr respectively for the previous year. The Company transferred an amount of ₹12.86 Cr to Reserve Fund under section 45-IC of the RBI Act, 1934.

Dividend:

The Directors do not recommend payment of any dividend on the Equity Shares for FY22 to conserve capital for future business expansion.

Share Capital:

The Company allotted 2,825,000 equity shares of face value of ₹10/- each at ₹19/- per share on 23 December 2021 under the SBFC Stock Option Policy 2021-I.

Further the Company allotted 7,350,000 partly paid equity shares of ₹10/- each face value at price of ₹21.45/- per share on preferential basis on 14 January 2022.

The Company allotted 2,500,000 equity shares of ₹10/- each face value on 14 February 2022 under the Small Business Fincredit Stock Option Policy II 2018 at issue price of ₹19/- per share.

Post allotment of Equity Shares as aforesaid, the issued and subscribed share capital of your Company stands increased to 834,523,682 equity shares of the face value of ₹10/- each as on 31 March 2022.

Equity:

Your Company had Total Equity of ₹12,872,688,755/- and Goodwill of ₹2,603,922,952/- as on 31 March 2022. Net of Goodwill, your Company had a Tangible Equity of ₹10,268,765,803/-.

Funding Capacity:

Your Company had total borrowings of ₹28,977,127,624/- as on 31 March 2022. Your Company also had collateralized borrowings (secured against a pool of loan assets) of ₹511,042,685/-.

Your Company follows a prudent borrowing policy and as of 31 March 2022, it had a Total CRAR of 26.31% including Tier I CRAR of 26.00% and Tier II CRAR of 0.31%.

Employee Stock Options:

Employee wise details of options granted is attached in **Annexure 5** of this Report

Details of the Employees Stock Option Scheme as per Rule 12(9) of Companies (Share Capital and Debentures) Rules, 2014 as on 31 March 2022 are given in **Annexure 6** hereto:

Directors and Key Managerial Personnel

Appointment and Resignation of Directors:

The shareholders of the Company by resolution passed at Fourteenth (14th) Annual General Meeting (AGM) which was held on 21 June 2021, approved the appointment of Mr. Rajesh Mannalal Agrawal as an Independent Non-Executive Director of the Company to hold office for a term of five (5) consecutive years commencing from 11 November 2020 to 11 November 2025.

The Board has approved re-appointment of Mr. Aseem Dhru as the Managing Director for a period of five years with effect from 28 September 2022 at its meeting on 21 May 2022.

The Board has approved the re-appointment of Mr. Neeraj Swaroop as an Independent Director of the Company for five years with effect from 21 November 2022 at its meeting on 21 May 2022.

Directors' Report (Contd.)

Key Managerial Personnel:

Ms. Swati Amey Morajkar resigned as Company Secretary w.e.f. 3 May 2021. Mr. Jay Mistry was appointed as Company Secretary & Compliance Officer of the Company with effect from 4 June 2021.

Information on the state of affairs of the Company:

Information on the operational and financial performance, among others, is given in the Management Discussion and Analysis Report.

Review of Operations of the Company:

The total Assets under Finance increased from ₹2,147.62 Cr as on 31 March 2021 to ₹3,029.31 Cr on 31 March 2022. During the year, the Company did not securitize any assets.

Related Party Transactions:

Your Company has not entered into any transactions with any related party and hence there is no disclosure required under section 134 (3) of the Companies Act 2013 (Act) and the SEBI (LODR) Regulations, 2015.

Credit Rating:

The brief details of the ratings received from the credit rating agencies by the Company for its outstanding instruments is given in **Annexure 4**

RBI guidelines:

The Company continues to comply with all the requirements prescribed by Reserve Bank of India from time to time.

Statutory Auditors:

As per Reserve Bank of India Circular No. RBI/2021-22/25 Ref. No. DoS.CO.ARG/ SEC.01/08.91.001/2021-22 dated April 27, 2021 ("RBI Circular"), Deloitte Haskins & Sells LLP ("Deloitte"), Chartered Accountants (ICAI Firm Registration No. 117366W/W-100018) ceased be statutory auditor of the Company as they completed three years as Statutory Auditor i.e. maximum permissible period for Statutory Auditor as per the RBI Circular.

At the Extra Ordinary General Meeting of shareholders held on 20 October 2021, the shareholders approved the appointment of M/s Suresh Surana & Associates LLP, Chartered Accountants, Mumbai (Firm Registration No. 121750W/W-100010) as Statutory Auditor of the Company for the FY22 based on the recommendation of the Board and the Audit Committee.

The Auditor's Report by Statutory Auditor for the FY22 does not contain any qualification, reservation and adverse remark.

Number of meetings of Board:

During the FY ended 31 March 2022 the Board met 6 (six) times. The details of the Board and various committee meetings are given in the Corporate Governance Report annexed as **Annexure 3**.

Audit Committee:

The Audit Committee comprised of the Directors namely, Mr. Neeraj Swaroop – Chairman, Mr. Rajesh Mannalal Agrawal and Mr. Amol Jain.

Declaration by Independent Directors of the Company:

The Company has received declaration under section 149(7) of the Companies Act, 2013 from Mr. Neeraj Swaroop and Mr. Rajesh Mannalal Agrawal, Independent Directors.

Secretarial Auditors:

The Secretarial Audit Report as received from M/s. K Pratik & Associates in the prescribed Form No. MR - 3 is annexed to this Board's Report and marked as **Annexure - 7**. The Secretarial Audit Report does not contain any qualification, reservation, adverse remark or disclaimer.

Directors' Responsibility Statement:

Pursuant to Section 134 of the Companies Act, 2013 ('the Act'), the Directors of the Company do hereby confirm that:

- in the preparation of the annual accounts, the applicable accounting standards had been followed and that there are no material departures thereof;
- such accounting policies had been selected and applied consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of the FY and of the profits of the Company for the FY22;
- proper and sufficient care had been taken for the maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;
- the annual accounts had been prepared on a going concern basis;
- internal financial controls to be followed by the company was laid down and such internal financial controls are adequate and were operating effectively. and
- proper systems had been devised to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

Particulars of Loans, Guarantees or Investments:

Pursuant to section 186(11) of the Act, the provisions related to Loans made, guarantees given and securities provided do not apply to the Company.

Vigil Mechanism:

The Company has established a Vigil Mechanism for its Directors and employees to report their concerns or grievances. The said mechanism, *inter alia*, encompasses the Whistle Blower Policy and it provides for adequate safeguards against victimization of persons who use it.

Directors' Report (Contd.)

Information regarding the mechanism and the channels for reporting concerns (including a third party reporting channel) are communicated to the relevant stakeholders. The Whistle Blower Policy is available on the website of the Company, www.sbfc.com.

Prevention of Sexual Harassment of Women at Workplace:

The company has complied with provisions relating to the constitution of internal complaints committee under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013. The Company has a policy on Prevention of Sexual Harassment of Woman at Workplace. No case was reported during the FY under review.

Energy Conservation, Technology Absorption and Foreign Exchange Earnings & Outgo:

The information pursuant to Section 134(3)(m) of the Act read with Companies Accounts Rules, 2014 is as follows:

- The Company has no activity involving Conservation of Energy or Technological or Technology Absorption;
- The Company's Foreign Exchange Earning was Nil during the year under review. The Company's Foreign Exchange Outgo was ₹297,828/- during the FY under Report.

Corporate Governance Report:

The report on Corporate Governance for the Company is annexed as **Annexure 3** and forms an integral part of this Annual Report.

Risk Management:

The Company is exposed to different types of risks including interest rate risk, business risk, liquidity risk, operational risk, credit risk including credit concentration risk, reputation risk, technology risk and compliance risk. The Company has formed Risk Management Committee and has developed and implemented Risk Management Policy covering the risk mapping, trend analysis, risk exposure, potential impact and risk mitigation process. A detailed exercise is being carried out to identify, evaluate, manage and monitor both business and non-business risk.

Extract of Annual Return:

An extract of the Annual Return for the FY ended 31 March 2022 made under the provisions of Section 92(3) of the Act in Form No. MGT-9 is annexed herewith as **Annexure 1**.

The annual return is displayed on the website of the Company: www.sbfc.com

Details of subsidiary/ joint ventures/ associate companies:

The Company does not have any subsidiary, joint ventures and associate companies therefore report on the highlights of performance of subsidiaries, associates and joint venture companies and their contribution to the overall performance of the company during the period under report is not applicable.

Corporate Social Responsibility (CSR):

The CSR report for the FY22 is annexed to this report as **Annexure 2**.

Deposits:

No disclosure is required in respect of the details relating to the deposits covered under Chapter V of the Act, as the Company has not accepted any deposit.

Status of the Company:

During the FY, there was no significant or material order passed by any regulator or court or tribunal which would impact the status of the Company as a going concern and the operations in future.

Internal financial controls

Your Company has in place, adequate and effective internal financial controls with reference to financial statements, commensurate with the size, scale and complexity of its operations. During the FY, such controls were tested and no reportable material weaknesses in the design or operation were observed.

Statutory Disclosure:

- Pursuant to the provisions of the Act, no fraud was reported by auditors of the Company during FY22.
- The provisions of section 148 of the Act, are not applicable to the Company. Accordingly, there is no requirement of maintenance of cost records as specified under section 148(1) of the Act.
- No material changes and commitments occurred since the end of FY till the date of this Report, which may affect the financial position of the Company.
- There was no change in the nature of business of the Company.
- The Company has complied with the secretarial standards as applicable to the Company.
- There is no application made or any proceeding pending under the Insolvency and Bankruptcy Code, 2016 (31 of 2016) during the year
- The details of difference between amount of the valuation done at the time of one time settlement and the valuation done while taking loan from the Banks or Financial Institutions along with the reasons thereof: Not applicable

Performance evaluation of the Board:

Pursuant to the provisions of the Act and SEBI Listing Regulations, the Board has carried out an annual performance evaluation of its own performance, that of its Committees, Chairperson and individual directors. The manner in which formal annual evaluation of performance was carried out by the Board is given below:

Directors' Report (Contd.)

The Nomination and Remuneration Committee (NRC) has approved the criteria for performance evaluation, based on which the evaluation sheet were circulated to the Board members for seeking feedback of the directors with regards to the performance of the Board, its Committee, and individual directors.

The directors sent their feedback on the evaluation sheet to the Chairman and Company Secretary. The performance evaluation was then noted and discussed by the NRC at its meeting held on 29 March 2022 and the Board at its meeting held on 21 May 2022.

For & on behalf of Board of Directors of
SBFC Finance Private Limited

Sd/-

Aseem Dhru

Managing Director & CEO

DIN: 01761455

Address: B-12, 12th Floor, Ahuja Tower, Rajabhau
Anant Desai Marg, Prabhadevi, Mumbai – 400025

Date: 21 May 2022

Place: Mumbai

In the opinion of the Board, the Independent Directors have the integrity, expertise and experience (including the proficiency) to function effectively.

Acknowledgement

Your Directors would like to express their sincere appreciation for the co-operation and assistance received from shareholders, debenture holders, debenture trustee, bankers, financial institutions, regulatory bodies and other business constituents during the FY under review. Your Directors also wish to place on record their deep sense of appreciation for the commitment displayed by all executives, officers and staff, resulting in the successful performance of the Company during the FY.

Sd/-

John Mescall

Nominee Director

DIN: 08385575

Address: Villa 4/5, W-Sub Meter, Emirates Hill Fourt,
Spring 8.9 Premises No. 395004624, Dubai, UAE – 506991

Annexure – 1

FORM NO. MGT 9

EXTRACT OF ANNUAL RETURN AS ON THE FINANCIAL YEAR ENDED ON 31.03.2022

[Pursuant to Section 92(3) of the Companies Act, 2013 and Rule 12(1) of the Companies (Management and Administration) Rules, 2014]

I. REGISTRATION AND OTHER DETAILS

i. CIN	U67190MH2008PTC178270
ii. Registration Date	25 January 2008
iii. Name of the Company	SBFC Finance Private Limited
iv. Category/Sub-Category of the Company	Subsidiary of Foreign Company
v. Address of the Registered office and contact details	103, 1 st Floor, C&B Square, Sangam Complex, Andheri Kurla Road, Village Chakala, Andheri (East), Mumbai – 400059
vi. Whether listed company	No*
vii. Name, address and contact details of Registrar and Transfer Agent, if any	NSDL Database Management Limited 4 th Floor, Trade World, A Wing, Kamala Mills Compound, Senapati Bapat Marg, Lower Parel, Mumbai – 400013 Contact no. 022-4914 2700

* Non convertible debentures listed on BSE Limited, Stock Exchange.

II. PRINCIPAL BUSINESS ACTIVITIES OF THE COMPANY

All business activities contributing 10% or more of the total turnover of the Company shall be stated:-

Sr. No.	Name & Description of main products/services	NIC Code of the product/service	% of total turnover of the Company
i.	Other Credit Granting	64920	100%

III. PARTICULARS OF HOLDING, SUBSIDIARY AND ASSOCIATE COMPANIES

Sr. No.	Name and Address of the Company	CIN/GLN	Holding/ Subsidiary/ Associate	% of shares held	Applicable Section
i.	SBFC Holdings Pte. Ltd. 80 Raffles Place, # 46-01 UOB Plaza, Singapore-048624	201721219C	Holding	71.90%	2(46)

IV. SHAREHOLDING PATTERN (Equity Share Capital breakup as percentage of Total Equity)

i. Category wise share holding

Category of shareholder	No. of shares held at the beginning of the year				No. of shares held at the end of the year				% change during the year
	Demat	Physical	Total	% of total shares	Demat	Physical	Total	% of total shares	
A. Promoter									
1) Indian									
a) Individual/HUF	-	-	-	-	-	-	-	-	-
b) Central Govt	-	-	-	-	-	-	-	-	-
c) State Govt(s)	-	-	-	-	-	-	-	-	-
d) Bodies Corp	188,985,282	-	188,985,282	23.00	176,485,282	-	176,485,282	21.15	(1.85)
e) Banks/FI	-	-	-	-	-	-	-	-	-
f) Any Other	-	-	-	-	-	-	-	-	-
Sub-total(A)(1)	188,985,282	-	188,985,282	23.00	176,485,282	-	176,485,282	21.15	(1.85)
2) Foreign									
a) NRIs-Individual	-	-	-	-	-	-	-	-	-
b) Other-Individual	-	-	-	-	-	-	-	-	-
c) Bodies Corp.	600,040,000	-	600,040,000	73.01	600,040,000	-	600,040,000	71.90	(1.11)
d) Banks/FI	-	-	-	-	-	-	-	-	-
e) Any Other	-	-	-	-	-	-	-	-	-
Sub-total(A)(2)	600,040,000	-	600,040,000	73.01	600,040,000	-	600,040,000	71.90	(1.11)
Total Promoter Shareholding (A)=(A)(1)+(A)(2)	789,025,282	-	789,025,282	96.01	776,525,282	-	776,525,282	93.05	(2.96)

Annexure – 1 (Contd.)

Category of shareholder	No. of shares held at the beginning of the year				No. of shares held at the end of the year				% change during the year
	Demat	Physical	Total	% of total shares	Demat	Physical	Total	% of total shares	
B. Public Shareholding									
1) Institutions									
a) Mutual Funds	-	-	-	-	-	-	-	-	-
b) Banks/FI	-	-	-	-	-	-	-	-	-
c) Central Govt	-	-	-	-	-	-	-	-	-
d) State Govt(s)	-	-	-	-	-	-	-	-	-
e) Venture Capital Funds	-	-	-	-	-	-	-	-	-
f) Insurance Companies	-	-	-	-	-	-	-	-	-
g) FIs	-	-	-	-	-	-	-	-	-
h) Foreign Ventures	-	-	-	-	-	-	-	-	-
i) Others (specify): Trust	10,840,000	-	10,840,000	1.32	7,875,500	-	7,875,500	0.94	(0.38)
Malabar India Fund Limited	-	-	-	-	2,500,510	-	-	0.30	0.30
Malabar Select Fund	-	-	-	-	7,875,000	-	7,875,000	0.94	0.94
Malabar Midcap Fund	-	-	-	-	2,124,490	-	2,124,490	0.25	0.25
Sub-total (B)(1)	10,840,000	-	10,840,000	1.32	20,375,500	-	20,375,500	2.44	1.12
2) Non-Institution									
a) Bodies Corp	-	-	-	-	-	-	-	-	-
i) Indian	-	-	-	-	-	-	-	-	-
ii) Overseas	-	-	-	-	-	-	-	-	-
b) Individuals									
i) Individual shareholders holding nominal share capital upto ₹1 Lakh	-	-	-	-	56,000	-	56,000	0.01	0.01
ii) Individual shareholders holding nominal share capital in excess of ₹1 Lakh	21,983,400	-	21,983,400	2.67	37,566,900	-	37,566,900	4.50	1.83
c) Others (specify)	-	-	-	-	-	-	-	-	-
Sub total (B)(2)	21,983,400	-	21,983,400	2.67	37,622,900	-	37,622,900	4.51	1.84
Total public shareholding (B)=(B)(1)+(B)(2)	32,823,400	-	32,823,400	3.99	57,998,400	-	57,998,400	6.95	2.96
C. Shares held by Custodian for GDRs & ADRs	-	-	-	-	-	-	-	-	-
Grand Total	821,848,682	-	821,848,682	100	834,523,682	-	834,523,682	100	-

ii. Shareholding of Promoters

Sr. No.	Shareholder's Name	Shareholding at the beginning of the year			Shareholding at the end of the year			% change in shareholding during the year
		No. of shares	% of total shares of the Company	% of shares pledged/encumbered to total shares	No. of shares	% of total shares of the Company	% of shares pledged/encumbered to total shares	
1	Arpwood Partners Investment Advisors LLP	130,873,506	15.93	-	122,217,177	14.65	-	(1.27)
2	Eight45 Services LLP	25,991,986	3.16	-	24,272,805	2.91	-	(0.25)
3	SBFC Holdings Pte. Ltd	600,040,000	73.01	-	600,040,000	71.90	-	(1.11)
4	Arpwood Capital Private Limited	32,119,790	3.91	-	29,995,300	3.59	-	(0.32)
	Total	789,025,282	96.01	-	776,525,282	93.05	-	(2.96)

Annexure – 1 (Contd.)

iii. Change in Promoter's shareholding:

Sr. No.	Name	Shareholding		Cumulative shareholding during the FY	
		No. of shares	% of total shares of the Company	No. of shares	% of total shares of the Company
1	Arpwood Partners Investment Advisors LLP				
	At the beginning of the year	130,873,506	15.92	-	-
	24/ 02/2022 - Sold to Malabar India Fund Limited	781,329	-	130,092,177	-
	24/ 02/2022 - Sold to Malabar Select Fund	7,875,000	-	122,217,177	-
	At the end of the year	122,217,177	14.65	122,217,177	14.65
2	Eight45 Services LLP				
	At the beginning of the year	25,991,986	3.16	-	-
	24/02/2022 - Sold to Malabar India Fund Limited	1,719,181	-	24,272,805	-
	At the end of the year	24,272,805	2.91	24,272,805	2.91
3	SBFC Holdings Pte. Ltd.				
	At the beginning of the year	600,040,000	73.01	-	-
	At the end of the year	600,040,000	71.90*	600,040,000	71.90*
4	Arpwood Capital Private Limited				
	At the beginning of the year	32,119,790	3.91	-	-
	23/02/2022 - Sold to Malabar Midcap Fund	2,124,490	-	29,995,300	-
	At the end of the year	29,995,300	3.59	29,995,300	3.59

* Dilution in percentage of shareholding due to allotment of 2,825,000 fully paid equity shares on 23 December 2021, 7,350,000 partly paid equity shares on 14 January 2022 and allotment of 2,500,000 fully paid equity shares 14 February 2022.

iv. Shareholding pattern of top ten shareholders: (other than Directors, Promoters and holders of GDRs and ADRs)

Sr. No.	Name of the Shareholder	Shareholding		Cumulative shareholding during the FY	
		No. of shares	% of total shares of the Company	No. of shares	% of total shares of the Company
1	Malabar India Fund Limited				
	At the beginning of year	-	-	-	-
	Bought during the year	2,500,510	0.30	2,500,510	0.30
	Sold during the year	-	-	-	-
	At the end of the year	2,500,510	0.30	2,500,510	0.30
2	Malabar Select Fund				
	At the beginning of year	-	-	-	-
	Bought during the year	7,875,000	0.94	7,875,000	0.94
	Sold during the year	-	-	-	-
	At the end of the year	7,875,000	0.94	7,875,000	0.94
3	Malabar Midcap Fund				
	At the beginning of year	-	-	-	-
	Bought during the year	2,124,490	0.25	2,124,490	0.25
	Sold during the year	-	-	-	-
	At the end of the year	2,124,490	0.25	2,124,490	0.25
4	Vistra ITCL (India) Limited				
	At the beginning of year	10,840,000	1.32	-	-
	Bought during the year	28,25,000	0.34	13,665,000	1.66
	Sold during the year (Transfer to employees as per ESOP Policy)	57,89,000	0.69	7,875,500	0.94
	At the end of the year	7,875,500	0.94	7,875,500	0.94

Annexure – 1 (Contd.)

Sr. No.	Name of the Shareholder	Shareholding		Cumulative shareholding during the FY	
		No. of shares	% of total shares of the Company	No. of shares	% of total shares of the Company
5	Mr. Mahesh Dayani				
	At the beginning of year	4,056,000	0.49	-	-
	Bought during the year	4,600,000	0.55	8,656,000	1.04
	Sold during the year	-	-	-	-
	At the end of the year	8,656,000	1.04	8,656,000	1.04
6	Mr. Pankaj Poddar				
	At the beginning of year	1,310,300	0.16	1,310,300	0.16
	Bought during the year	1,965,000	0.24	3,275,300	0.39
	Sold during the year	-	-	-	-
	At the end of the year	3,275,300	0.39	3,275,300	0.39
7	Mr. Narayan Barasia				
	At the beginning of year	-	-	-	-
	Bought during the year	1,645,000	0.20	1,645,000	0.20
	Sold during the year	-	-	-	-
	At the end of the year	1,645,000	0.20	1,645,000	0.20
8	Mr. Deepak Mudalgikar				
	At the beginning of year	262,100	0.03	-	-
	Bought during the year	720,000	0.09	982,100	0.09
	Sold during the year	-	-	-	-
	At the end of the year	982,100	0.12	982,100	0.12
9	Mr. Ashish Singh				
	At the beginning of year	-	-	-	-
	Bought during the year	500,000	0.06	500,000	0.06
	Sold during the year	-	-	-	-
	At the end of the year	500,000	0.06	500,000	0.06
10	Mr. Manu Mahajan				
	At the beginning of year	131,000	0.02	-	-
	Bought during the year	320,000	0.04	451,000	0.05
	Sold during the year	-	-	-	-
	At the end of the year	451,000	0.05	451,000	0.05

v. Shareholding of Directors and Key Managerial Personnel:

Sr. No.	Name	Shareholding		Cumulative shareholding during the FY	
		No. of shares	% of total shares of the Company	No. of shares	% of total shares of the Company
1	Mr. Aseem Dhru				
	At the beginning of the year	16,224,000	1.97	16,224,000	1.97
	Increase /Decrease in Share holding during the Year Allotment	4,200,000	0.50	20,424,000	2.45
	At the end of the year	20,424,000	2.45	20,424,000	2.45
2	Mr. Narayan Barasia				
	At the beginning of the year	-	-	-	-
	Increase /Decrease in Share holding during the Year Allotment	16,45,000	0.20	16,45,000	0.20
	At the end of the year	16,45,000	0.20	16,45,000	0.20
3	Mr. Jay Mistry				
	At the beginning of the year	-	-	-	-
	Increase /Decrease in Share holding during the Year	-	-	-	-
	At the end of the year	-	-	-	-
	At the beginning of the year	-	-	-	-

Annexure – 1 (Contd.)

V. INDEBTEDNESS**Indebtedness of the Company including interest outstanding/ accrued but not due for payment**

(₹ in Crore)

	Secured loans excluding deposits	Unsecured loans	Deposits	Total Indebtedness
Indebtedness at the beginning of the FY				
i) Principal Amount	2772.55	-	-	2772.55
ii) Interest due but not paid	-	-	-	-
iii) Interest accrued but not due	9.97	-	-	9.97
Total (i+ii+iii)	2782.52	-	-	2782.52
Change in Indebtedness during the FY				
i) Addition	936.00	-	-	936.00
ii) Reduction	(759.74)	-	-	(759.74)
Net change	176.26	-	-	176.26
Indebtedness at the end of the FY				
i) Principal amount	2948.82	-	-	2948.82
ii) Interest due but not paid	-	-	-	-
iii) Interest accrued but not due	3.75	-	-	3.75
Total (i+ii+iii)	2952.56	-	-	2952.56

VI. REMUNERATION OF DIRECTORS AND KEY MANAGERIAL PERSONNEL

The details of remuneration to the Directors and Key Managerial Personnel of the Company are available with the Company Secretary of the Company

VII. PENALTIES/ PUNISHMENT/ COMPOUNDING OF OFFENCES:

There are no non-compliances or penalties, strictures imposed on the Company by the Stock Exchanges or SEBI or any statutory authority, on any matter related to capital markets, during the FY22.

For & on behalf of Board of Directors of

SBFC Finance Private Limited

Aseem Dhru

Managing Director & CEO

DIN: 01761455

Address: B-12, 12th Floor, Ahuja Tower, Rajabhau
Anant Desai Marg, Prabhadevi, Mumbai – 400025

John Mescall

Nominee Director

DIN: 08385575

Address: Villa 4/5, W-Sub Meter, Emirates Hill Fourt,
Spring 8.9 Premises No. 395004624, Dubai, UAE – 506991

Date: 21 May 2022

Place: Mumbai

ANNEXURE – 2

ANNUAL REPORT ON CSR ACTIVITIES TO BE INCLUDED IN BOARD'S REPORT

1. A brief outline of the Company's CSR policy, including overview of projects or programs proposed to be undertaken and a reference to the web-link to the CSR policy and projects or programs: Objective: The main objective of CSR policy is to make CSR a key business process for sustainable development of the society. SBFC will act as a good corporate citizen and aims at supplementing the role of Government in enhancing the welfare measures of the society. For detailed CSR Policy, kindly refer to www.sbfc.com.
2. The Composition of the CSR Committee: The CSR Committee is chaired by Mr. Neeraj Swaroop with members consisting of Mr. Amol Jain, Mr. Aseem Dhru and Mr. John Mescall. The committee is responsible for formulating and monitoring the CSR policy and programs thereunder.
3. Provide The Web-Link Where Composition of CSR Committee, CSR Policy And CSR Projects Approved By The Board Are Disclosed On The Website Of The Company: <https://www.sbfc.com/faq>
4. Provide the details of Impact assessment of CSR projects carried out in pursuance of sub-rule (3) of rule 8 of the Companies (Corporate Social responsibility Policy) Rules, 2014, if applicable (attach the report): N.A.
5. Details of the amount available for set off in pursuance of sub-rule (3) of rule 7 of the Companies (Corporate Social responsibility Policy) Rules, 2014 and amount required for set off for the financial year, if any: N.A.
6. Average net profit of the company as per section 135(5): ₹69,32,04,608/-
7. (a) Two percent of average net profit of the company as per section 135(5): ₹1,38,64,092 /-
(b) Surplus arising out of the CSR projects or programmes or activities of the previous financial years: Nil
(c) Amount required to be set off for the financial year, if any: N.A.
(d) Total CSR obligation for the financial year (7a+7b-7c): ₹1,38,64,092 /-
8. (a) CSR amount spent or unspent for the financial year:

Total Amount Spent for the Financial Year. (in ₹)	Amount Unspent (in ₹)				
	Total Amount transferred to Unspent CSR Account as per section 135(6).		Amount transferred to any fund specified under Schedule VII as per second proviso to section 135(5).		
	Amount (in ₹)	Date of transfer	Name of the Fund	Amount	Date of transfer
1,38,65,000	-	-	-	-	-

(b) Details of CSR amount spent against ongoing projects for the financial year:

(1)	(2)	(3)	(4)	(5)		(6)	(7)	(8)	(9)	(10)	(11)	
Sr	Name of the Project	Item from the list of activities in Schedule VII to the Act	Local area (Yes/No)	State	District	Project duration	Amount allocated for the project (in ₹)	Amount spent in the current financial year (in ₹)	Amount transferred to Unspent CSR Account for the project as per Section 135 (6) (in ₹)	Mode of Implementation - Through Direct (Yes/ No)	Name	Registration number
1	Education of underprivileged children	Promoting education	Yes	Maharashtra	Mumbai	Ongoing	52,00,000	52,00,000	--	Yes	--	--
2	Providing healthcare support for surgery for needy patients, support for cancer patients, support for oxygen concentrator machines / initiatives for distributions of masks, sanitizers, PPE kits and support underprivileged patients.	Promoting healthcare	Yes	Maharashtra	Mumbai	Ongoing	86,65,000	86,65,000	--	Yes	--	--
Total							13,865,000	13,865,000	--			

(c) Details of CSR amount spent against other than ongoing projects for the financial year: N.A.

Name of the Project		Item from the list of activities in schedule VII to the Act.	Local area (Yes/ No).	Location of the project.	Amount spent for the project (in ₹).	Mode of implementation - Direct (Yes/No).	Mode of implementation - Through implementing agency.
Sr.							
-	-	-	-	-	-	-	-

(d) Amount spent in Administrative Overheads: N.A.

(e) Amount spent on Impact Assessment, if applicable: N.A.

(f) Total amount spent for the Financial Year (8b+8c+8d+8e): ₹13,865,000/-

(g) Excess amount for set off, if any:

Sr.	Particular	Amount (in ₹)
(i)	Two percent of average net profit of the company as per section 135(5)	13,864,092/-
(ii)	Total amount spent for the Financial Year	13,865,000/-
(iii)	Excess amount spent for the financial year [(ii)-(i)]	908/-
(iv)	Surplus arising out of the CSR projects or programmes or activities of the previous financial years, if any	Nil
(v)	Amount available for set off in succeeding financial years [(iii)-(iv)]	Nil

Annexure – 2 (Contd.)

9. (a) Details of Unspent CSR amount for the preceding three financial years:

Sr. Financial Year.	Preceding Financial Year.	Amount transferred to Unspent CSR Account under section 135 (6) (in ₹)	Amount spent in the reporting Financial Year (in ₹)	Amount transferred to any fund specified under Schedule VII as per section 135(6), if any.			Amount remaining to be spent in succeeding financial years (in ₹)
				Name of the Fund	Amount (in ₹).	Date of transfer.	
1	2020-21	6,486,000	6,486,000	-	-	-	-
	Total	-	-	-	-	-	-

- (b) Details of CSR amount spent in the financial year for ongoing projects of the preceding financial year(s): ₹6,486,000
10. In case of creation or acquisition of capital asset, furnish the details relating to the asset so created or acquired through CSR spent in the financial year (asset-wise details).
- (a) Date of creation or acquisition of the capital asset(s). N.A.
- (b) Amount of CSR spent for creation or acquisition of capital asset. N.A.
- (c) Details of the entity or public authority or beneficiary under whose name such capital asset is registered, their address etc. N.A.
- (d) Provide details of the capital asset(s) created or acquired (including complete address and location of the capital asset). N.A.
11. Specify the reason(s), if the company has failed to spend two per cent of the average net profit as per section 135(5): N.A.

For & on behalf of Board of Directors of

SBFC Finance Private Limited

Sd/-

Neeraj Swaroop

Chairman of Committee & Independent Director

DIN: 00061170

Address: 1104, Signia Isles, G Block,
Near Dhirubhai International School
Bandra Kurla Complex, Mumbai - 400051

Sd/-

Aseem Dhru

Managing Director & CEO

DIN: 01761455

Address: B-12, 12th Floor, Ahuja Tower, Rajabhau
Anant Desai Marg, Prabhadevi, Mumbai - 400025

Date: 21 May 2022

Place: Mumbai

Annexure – 3

Corporate Governance Report

1. Company's Philosophy on the Code of Governance

The Company has fair, transparent and ethical governance practices and it believes that good Corporate Governance is essential for achieving long-term corporate goals and to enhance stakeholders' value.

In this pursuit, the Company's Corporate Governance philosophy is to ensure fairness, transparency and integrity of the management, in order to protect the interests of all its stakeholders.

2. Board of Directors

Composition of the Board

The Company has an active, experienced and a well-informed Board. As on 31 March 2022, the Board comprised eight (8) directors, out of which five are Non-Executive Directors, two are Independent Directors and one Managing Director.

The Company currently has right mix of directors on the Board who possesses the requisite qualifications and Corporate Governance experience in general corporate management, finance, banking, marketing and other allied fields which enable them to contribute effectively to the Company in their capacity as directors of the Company.

Board Procedure

The agenda along with the detailed notes are circulated in advance to the Board members. The items in the agenda are backed by comprehensive background information to enable the Board to take appropriate

decisions and to discharge its responsibilities effectively. The Managing Director apprises the Board on the overall performance of the Company at every meeting. The Board periodically reviews the strategy, annual business plan and capital expenditure budgets and risk management, safety and environment matters.

It also reviews the compliance reports of the laws applicable to the Company, internal financial controls and financial reporting systems, minutes of the Board Meetings of the Company, adoption of annual results, major accounting provisions and minutes of the meetings of the Audit and other Committees of the Board.

The Company Secretary monitors the Board and Committee proceedings to ensure that terms of reference/charters are adhered to, decisions are properly recorded in the minutes and actions on the decisions are tracked.

Meeting effectiveness is ensured through clear agenda, pre-circulation of material in advance, detailed presentations at the meetings. Additionally, based on the agenda, the Board/Committee meetings are attended by members of the senior leadership as invitees, which bring in the requisite accountability and also provide developmental inputs.

During the FY22, 6 (Six) board meetings were held on 26 May 2021, 26 July 2021, 20 October 2021, 11 November 2021, 23 December 2021 and 14 February 2022. The details of attendance at the Board Meetings and the previous annual general meeting of the Company are given below:

Sr. No.	Name of the Director	Category	Board Meetings		Whether present at the AGM held on 21 June 2021
			Held	Attended	
1	Mr. Aseem Dhru	Managing Director & CEO	6	6	Yes
2	Mr. Neeraj Swaroop	Independent Director	6	5	No
3	Mr. Rajesh Mannalal Agrawal	Independent Director	6	5	No
4	Mr. Amol Jain	Director	6	6	Yes
5	Mr. Rajeev Gupta	Director	6	1	No
6	Mr. John Mescall	Nominee Director	6	6	Yes
7	Mr. Jonathan Tadeusz Tatur	Nominee Director	6	4	No
8	Mr. Arjun Sakhuja	Nominee Director	6	4	No

Committees of the Board

The Board has constituted committees with specific terms of reference/ scope to focus effectively on issues and ensure expedient resolution of diverse matters. These are the Audit Committee, Nomination and Remuneration Committee, Business Review and Monitoring Committee (Executive Committee), Risk Management Committee, IT Strategy Committee, Corporate Social Responsibility Committee and IT Steering Committee.

The Board of Directors and the Committees also take decisions by circular resolutions which are noted by the Board/ respective Committees of the Board at their next meetings. The minutes of the meetings of all Committees of the Board are circulated to the Board of Directors, for their noting.

Corporate Governance Report (Contd.)

3. Audit Committee

The composition of the Audit Committee is in line with the provisions of Section 177 of the Companies Act, 2013. All the Members have the ability to read and understand financial statements and have relevant finance and/or audit experience. The Company Secretary acts as the Secretary to the Committee.

The composition of the Audit Committee is as under:

Name of the Members	Designation
Mr. Neeraj Swaroop	Chairman
Mr. Rajesh Mannalal Agrawal	Member
Mr. Amol Jain	Member

Recommendations of the audit committee which had not been accepted by board along with reasons therefore: NIL

The dates of Audit Committee meetings and the attendance of its Members held during FY22 is given below:

Sr. No	Date of the meeting	No. of members present
1	26 May 2021	3
2	22 September 2021	3
3	11 November 2021	3
4	14 February 2022	3

The Audit Committee meets both with the internal audit head and the statutory auditors to discuss key concerns.

During the FY, there was no change in the constitution of the Committee.

The Managing Director & CEO and Chief Financial Officer attend and participate at all the meetings of the Committee. The Chairman of the Audit Committee briefs the Board about the significant discussions at the Audit Committee meetings. The minutes of each of the Audit Committee are placed in the next meeting of the Board.

The terms of reference of this Committee are in line with the regulatory requirements mandated in Companies Act, 2013 and Rules made thereunder and as amended from time to time. The scope of the Audit Committee includes discussion with auditors on periodical basis, recommendation of appointment, review & monitor the auditor's independence, performance and effectiveness of audit process, oversee vigil mechanism and internal audit control system of the Company.

4. Nomination and Remuneration Committee (NRC)**Policy on appointment of Directors**

The NRC reviews the disclosure made with regard to the Company's policy on directors' appointment and remuneration including criteria for determining qualification, positive attributes, independence and other matters as specified in Section 178(3) of the

Companies Act, 2013, in the Directors' Report, in terms of Section 134 (1) (e) of the Companies Act, 2013.

The composition of the NRC is as under:

Sr. No.	Name of the Members	Designation
1	Mr. Neeraj Swaroop	Chairman
2	Mr. Rajesh Mannalal Agrawal	Member
3	Mr. Amol Jain	Member
4	Mr. John Mescall	Member

During the FY, there was no change in the constitution of the Committee.

The purpose of the NRC is to oversee the selection of members of the Board based on criteria related to the specific requirement of expertise, independence and execution.

Further, the role of NRC is also to identify and select senior management personnel one level below the Board.

The dates of Nomination and Remuneration Committee meetings and the attendance of its Members held during FY22 are given below:

Sr. No.	Date of the meeting	No. of Members present
1	26 May 2021	4
2	20 October 2021	4
3	23 December 2021	4
4	29 March 2022	4

The terms of reference of the NRC are in line with the regulatory requirements mandated in the Companies Act, 2013 and Rules made thereunder as amended from time to time. The scope of NRC includes identifying the persons to become directors of the Company, recommending the Board the appointment and removal of senior management and consider giving stock option to the employees in the form of equity shares of the Company.

The Company pays remuneration by way of salary, benefits, perquisites and allowances (fixed component) and commission (variable component) to its Managing Director & CEO.

5. Risk Management Committee (RMC)

Following meetings were held of RMC during the FY22.

Sr. No	Date of the meeting	No. of members present
1	22 September 2021	11
2	23 February 2022	10

During the FY, there was no change in the constitution of the Committee.

The roles and responsibilities of the Committee are as per the charter adopted by the Board and includes

Corporate Governance Report (Contd.)

monitoring and review of the risk management plan and reporting the same to the Board periodically as it may deem fit, in addition to any other terms as may be referred by the Board, from time to time.

RMC assists the Audit Committee and the Board of Directors in overseeing the Company's risk management processes and controls.

6. Corporate Social Responsibility Committee

The main objective of CSR committee is to make CSR a key business process for sustainable development of the society. The Board of SBFC may decide to undertake its CSR activities as recommended by the CSR Committee, through a registered trust or a registered society or a company established by the company or its holding or subsidiary or associate company pursuant to Section 135 of the Companies Act, 2013 and rules made there-under.

The dates of Corporate Social Responsibility Committee meetings and the attendance of its Members held during FY22 is given below:

Sr. No	Date of the meeting	No. of members present
1	19 January 2022	4
2	23 March 2022	4

For & on behalf of Board of Directors of
SBFC Finance Private Limited

Sd/-

Aseem Dhru

Managing Director & CEO

DIN: 01761455

Address: B-12, 12th Floor, Ahuja Tower, Rajabhau
Anant Desai Marg, Prabhadevi, Mumbai - 400025

Date: 21 May 2022

Place: Mumbai

7. Business Review and Monitoring (Executive Committee):

Following are the meetings held of Business Review & Monitoring Committee during the FY22

Sr. No.	Date of the meeting	Corporate Governance Report
1	26 May 2021	4
2	21 June 2021	4
3	21 July 2021	4
4	25 August 2021	4
5	22 September 2021	4
6	20 October 2021	3
7	11 November 2021	3
8	23 December 2021	3
9	19 January 2022	4
10	23 February 2022	4
11	23 March 2022	4

8. IT Strategy Committee:

Following are the meetings held of IT Strategy Committee during the FY22.

Sr. No	Date of the meeting	No. of members present
1	22 September 2021	4
2	23 February 2022	5

Sd/-

John Mescall

Nominee Director

DIN: 08385575

Address: Villa 4/5, W-Sub Meter, Emirates Hill Fourt,
Spring 8.9 Premises No. 395004624, Dubai, UAE - 506991

Annexure – 4

Rating assigned by Credit Rating agencies and migration of ratings during the FY

Name of Rating Agency		ICRA Limited
Date of rating	Products	Rating assigned
8 October 2021	Non Convertible Debentures	[ICRA] A (Positive)
8 October 2021	Enhanced bank lines	[ICRA] A (Positive)

Name of Rating Agency		India Ratings & Research Pvt Ltd
Date of rating	Products	Rating assigned
20 December 2021	Non Convertible Debentures	IND A+/Stable
20 December 2021	Bank loan	IND A+/Stable

For & on behalf of Board of Directors of
SBFC Finance Private Limited

Sd/-

Aseem Dhru

Managing Director & CEO

DIN: 01761455

Address: B-12, 12th Floor, Ahuja Tower, Rajabhau
Anant Desai Marg, Prabhadevi, Mumbai – 400025

Sd/-

John Mescall

Nominee Director

DIN: 08385575

Address: Villa 4/5, W-Sub Meter, Emirates Hill Fourt,
Spring 8.9 Premises No. 395004624, Dubai, UAE – 506991

Date: 21 May 2022

Place: Mumbai

Annexure – 5

Employee wise details of Options granted

The details of Employee wise details of Options granted are available with the Company Secretary of the Company.

For & on behalf of Board of Directors of
SBFC Finance Private Limited

Sd/-

Aseem Dhru

Managing Director & CEO

DIN: 01761455

Address: B-12, 12th Floor, Ahuja Tower, Rajabhau
Anant Desai Marg, Prabhadevi, Mumbai – 400025

Date: 21 May 2022

Place: Mumbai

Sd/-

John Mescall

Nominee Director

DIN: 08385575

Address: Villa 4/5, W-Sub Meter, Emirates Hill Fourt,
Spring 8.9 Premises No. 395004624, Dubai, UAE – 506991

Annexure – 6

Employees Stock Option

Details of the Employees Stock Option Scheme as per Rule 12(9) of Companies (Share Capital and Debentures) Rules, 2014 are available with the Company Secretary of the Company.

For & on behalf of Board of Directors of
SBFC Finance Private Limited

Sd/-

Aseem Dhru

Managing Director & CEO

DIN: 01761455

Address: B-12, 12th Floor, Ahuja Tower, Rajabhau
Anant Desai Marg, Prabhadevi, Mumbai – 400025

Date: 21 May 2022

Place: Mumbai

Sd/-

John Mescall

Nominee Director

DIN: 08385575

Address: Villa 4/5, W-Sub Meter, Emirates Hill Fourt,
Spring 8.9 Premises No. 395004624, Dubai, UAE – 506991

Annexure – 7

Secretarial Audit Report

Form No. MR-3

SECRETARIAL AUDIT REPORT

FOR THE FINANCIAL YEAR ENDED 31 MARCH 2022

[Pursuant to section 204(1) of the Companies Act, 2013 and Rule 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To,
The Members,
SBFC FINANCE PRIVATE LIMITED
Mumbai.

We have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **SBFC FINANCE PRIVATE LIMITED** (hereinafter called the Company) during FY22. Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing our opinion thereon.

Based on our verification of the Company's books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, we hereby report that in our opinion, the Company has, during the audit period covering the financial year ended on 31 March 2022 complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

We have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company, which were made available for verification during the Audit process, for the financial year ended on 31 March 2022 according to the provisions of:

- (i) The Companies Act, 2013 (the Act) and the rules made thereunder;
- (ii) RBI Act, 1934 and rules and regulations made thereunder;
- (iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;
- (iv) Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings;
- (v) As confirmed by the management, there are no other laws specifically applicable to the business of the Company.

We have also examined the compliance with the applicable clauses of the following:

- i. Secretarial Standards issued by The Institute of Company Secretaries of India, and
- ii. Listing Agreement, to the extent the provisions of the SEBI (Issue and Listing of Debt Securities) Regulations, 2008 and the SEBI (LODR) Regulations, 2015 which are applicable to listing of debt instruments.

During the period under review the Company has generally complied with the provisions of the Act, Old Act, Rules, Regulations, Guidelines, Standards, etc. mentioned above.

Other statutes, Acts, laws, Rules, Regulations, Guidelines and Standards, etc. as applicable to the Company are given below:

- (i) Labour Laws and other incidental laws related to labour and employees appointed by the Company either on its payroll or on contractual basis as related to wages, gratuity, provident fund, ESIC, compensation etc.;
- (ii) Acts as prescribed under Direct Tax and Indirect Tax;
- (iii) Stamp Acts and Registration Acts;
- (iv) Acts prescribed under prevention and control of pollution;
- (v) Acts prescribed under environmental protection;
- (vi) Labour Welfare Act; and
- (vii) Local laws as applicable to the factory and office of the Company.

We further report that the Board of Directors of the Company is duly constituted with proper balance of Directors and Executive Directors. The changes in the composition of the Board of Directors that took place during the period under review were carried out in compliance with the provisions of the Act.

Adequate notice is given to all directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent at least seven days in advance, and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting. During the reporting period, the meetings (including committee meetings) were conducted through video conference complying with the provisions of Secretarial Standards issued by The Institute of Company Secretaries of India.

During the period under review, decisions were carried through unanimously and no dissenting views were observed, while reviewing the minutes.

We further report that there are adequate systems and processes in the Company commensurate with the size and operations of the company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

We further report that during the audit period the company has undertaken significant & material corporate events/ actions having a major bearing on the Company's affairs in pursuance of the above referred laws, rules, regulations, guidelines, standards, etc. referred to above and which are provided in **Annexure B** annexed to this report.

K PRATIK & ASSOCIATES

Practicing Company Secretaries

PRATIK HARSHAD KALSARIYA

Proprietor

M. No.: 33502

C. P. No.: 12368

UDIN: **A033502D000460313**

Peer Review Certificate no. **1953/2022**

Place: Mumbai

Date: 21 May 2022

Note 1: *Unique Document Identification Number (UDIN) is generated for this certificate and same is reported to the Institute of Company Secretaries of India and the UDIN is issued in accordance with the applicable provisions of the ICSI Unique Document Identification Number (UDIN) Guidelines, 2019.*

Note 2: *This report is to be read with our letter of even date which is annexed as Annexure A and forms an integral part of this report.*

Annexure A

To,
The Members,
SBFC FINANCE PRIVATE LIMITED

Our report of even date is to be read along with this letter.

1. Maintenance of secretarial record is the responsibility of the management of the Company. Our responsibility is to express an opinion on these secretarial records based on our audit.
2. We have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the secretarial records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. We believe that the processes and practices, we followed provide a reasonable basis for our opinion.
3. We have not verified the correctness and appropriateness of financial records and Books of Accounts of the Company.
4. Wherever required, we have obtained the Management's representation about the compliance of laws, rules and regulations and happening of events etc.
5. The compliance of the Corporate and other applicable laws, rules, regulations, standards is the responsibility of the management. Our examination was limited to the verification of the procedures on test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the Company.
7. The verification of records of the company was limited to the information / documents made available by the management of the Company and the report was made relying upon the information / documents made available by the Company.

K PRATIK & ASSOCIATES

Practicing Company Secretaries

PRATIK HARSHAD KALSARIYA

Proprietor

M. No.: 33502

C. P. No.: 12368

UDIN: **A033502D000460313**

Peer Review Certificate no. **1953/2022**

Place: Mumbai

Date: 21 May 2022

Note 1: *Unique Document Identification Number (UDIN) is generated for this certificate and same is reported to the Institute of Company Secretaries of India and the UDIN is issued in accordance with the applicable provisions of the ICSI Unique Document Identification Number (UDIN) Guidelines, 2019.*

Note 2: *This report is to be read with our letter of even date which is annexed as Annexure A and forms an integral part of this report.*

Annexure B

List of material events of the Company occurred during the FY22

During the reporting period, following significant & material corporate events/ actions had occurred which has a major bearing on the Company's affairs:

1. On 26 May 2021, the Board of Directors approved the appointment of Mr. Jay Prabhuram Mistry on the post of Company Secretary of the Company w.e.f 05 June 2021;
2. On 23 December 2021, the Board of Directors allotted 28,25,000 Equity Shares of ₹10/- (Rupees Ten Only) each at ₹19/- per share, aggregating to ₹5,36,75,000/- to Vistra ITCL (India) Limited, Trustee of SBFC Employee Welfare Trust;
3. On 26 July 2021, the Board of Directors approved issue of Rated, Unlisted/ Listed, Secured, Redeemable, Non-Convertible, Debentures upto an aggregate value of ₹500,00,00,000/-;
4. On 20 October 2021, the shareholder of the Company approved:
 - the appointment of M/s Suresh Surana & Associates LLP, Chartered Accountants, Mumbai, as Statutory Auditors of the Company for the FY22 to hold office till the conclusion of the next Annual General Meeting
 - Implementation of SBFC Stock Option Policy 2021 - I through SBFC Employee Welfare Trust (hereinafter referred to as "Trust") and the Trust to subscribe, acquire, purchase, hold, transfer and deal in equity shares of the Company for the purpose of implementation SBFC Stock Option Policy 2021 - I
 - Approval of SBFC Stock Option Policy 2021 - I
 - to grant loan of an amount of ₹5,36,75,000/- (Rupees Five Crore Thirty Six Lakh and Seventy Five Thousand Only) to the SBFC Employee Welfare Trust (hereinafter referred to as "ESOP Trust") for purchase of equity shares of the Company for the purpose of giving effect to the SBFC Stock Option Policy 2021-I
 - to grant 30,25,000 Options i.e. 0.37% of the issued capital of the Company as recommended by the Nomination and Remuneration Committee and the Board
5. On 23 December 2021, the shareholder of the Company approved:
 - the approval of SBFC Stock Option Policy 2021 - II
 - the approval of SBFC Stock Option Policy 2021 - III - Special Grant
 - the approval of SBFC Stock Option Policy 2021 - IV
 - the approval of SBFC Stock Option Policy 2021 - V
 - issue of 73,50,000 Partly Paid Equity Shares of ₹10/- each of the Company at premium of ₹11.45/-
- grant 1.50% of the issued capital of the Company on the date of the grant as employee stock Options to Mr. Aseem Dhru under the SBFC Stock Option Policy 2021 - IV and SBFC Stock Option Policy 2021 - V
- grant 0.75% of the issued capital of the Company on the date of the grant as employee stock Options to Mr. Mahesh Dayani under the SBFC Stock Option Policy 2021 - IV and SBFC Stock Option Policy 2021 - V
- grant 0.38% of the issued capital of the Company on the date of the grant as employee stock Options to Mr. Narayan Barasia under the SBFC Stock Option Policy 2021 - IV and SBFC Stock Option Policy 2021 - V
- grant 0.38% of the issued capital of the Company on the date of the grant as employee stock Options to Mr. Pankaj Poddar under the SBFC Stock Option Policy 2021 - IV and SBFC Stock Option Policy 2021 - V
6. On 14 February 2022, the Board of Directors approved the allotment of 25,00,000 equity shares of face value of ₹10/- (Rupees Ten only) each at a premium of ₹2.50/- (Two Rupees and Fifty Paise only) per equity share to Mr. Mahesh Dayani under SMALL BUSINESS FINCREDIT STOCK OPTION POLICY II 2018;
7. On 14th February 2022, the Board of Directors approved the issue of 6,25,00,000 equity shares of face value of ₹10/- (Rupees Ten only) each at a premium of ₹30/- (Rupees Thirty only) per equity share by way of preferential issue/private placement basis;
8. On 14 January 2022, the shareholder of the Company approved amendment of Small Business Fincredit Stock Option Policy I 2018 ("Amended ESOP Scheme I 2018").

K PRATIK & ASSOCIATES

Practicing Company Secretaries

PRATIK HARSHAD KALSARIYA

Proprietor

M. No.: 33502

C. P. No.: 12368

UDIN: **A033502D000460313**

Peer Review Certificate no. **1953/2022**

Place: Mumbai

Date: 21 May 2022

Note 1: Unique Document Identification Number (UDIN) is generated for this certificate and same is reported to the Institute of Company Secretaries of India and the UDIN is issued in accordance with the applicable provisions of the ICSI Unique Document Identification Number (UDIN) Guidelines, 2019.

Note 2: This report is to be read with our letter of even date which is annexed as Annexure A and forms an integral part of this report.

Independent Auditors' Report

To
The Members of
SBFC Finance Private Limited

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying financial statements of SBFC Finance Private Limited ("the Company"), which comprise the Balance Sheet as at 31 March 2022, the Statement of Profit and Loss including Other Comprehensive Income, the Statement of Changes in Equity and the Statement of Cash Flows for the year then ended and notes to the financial statements, including a summary of the significant accounting policies and other explanatory information (hereinafter referred to as "the financial statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended, ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at 31 March 2022, profit and total comprehensive income, changes in equity and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit of the financial statements in accordance with the Standards on Auditing specified under section 143(10) of the Act (SAs). Our responsibilities under

those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India (ICAI) together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements for the financial year ended 31 March 2022. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the standalone financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Key Audit Matters	How our audit addressed the key audit matter
1. Impairment of Financial Assets Management estimates impairment provision using Expected Credit loss model (ECL) for the loan exposure. Measurement of loan impairment involves application of significant judgement by the management. The most significant judgements are: - Timely identification and classification of the impaired loans, and - Determination of probability of defaults (PD) and estimation of loss given defaults (LGD) based on the value of collaterals and relevant factors The estimation of Expected Credit Loss on financial instruments involves significant judgements and estimates. Following are points with increased level of audit focus: - Classification of assets to stage 1, 2, or 3 using criteria in accordance with Ind AS 109; - Key assumptions in respect of the probability of default and loss given default (including taking industry comparatives) assessed by the Company including consideration of collateral values.	Principal audit procedure performed: - We examined Board Policy approving methodologies for computation of ECL that address policies, procedures and controls for assessing and measuring credit risk on all lending exposures, commensurate with the size, complexity and risk profile specific to the Company. The parameters and assumptions used and their rationale and basis are clearly documented. - We evaluated the design and operating effectiveness of controls across the processes relevant to ECL, including the judgements and estimates. - These controls, among others, included controls over the allocation of assets into stages including management's monitoring of stage effectiveness, model monitoring including the need for post model adjustments, model validation, credit monitoring, multiple economic scenarios, individual provisions and recording of journal entries and disclosures. - We tested the completeness of loans and advances included in the Expected Credit Loss calculations as of 31 March 2022 by reconciling it with the balances as per loan balance register.

Independent Auditors' Report (Contd.)

Key Audit Matters	How our audit addressed the key audit matter
- During the year, Reserve Bank of India issued revised guidelines (including clarifications thereon) on Income Recognition and Asset Classification norms ("IRAC"). These guidelines prescribe the prudential norms for identification and classification of such assets as Stage 3 / NPAs. The Company has applied its judgement to determine the identification and classification of such assets as Stage 3 / NPAs by applying quantitative as well as qualitative factors. The risk of identification of such assets as Stage 3 / NPAs is affected by factors like stress and liquidity concerns of such assets. - The disclosures made in financial statements for ECL especially in relation to judgements and estimates made by the Management in determination of the ECL. Refer note 47.1.1 to the financial statements.	- We tested assets in stage 1, 2 and 3 on sample basis to verify that they were allocated to the appropriate stage. For samples of exposure, we tested the appropriateness of determining EAD, PD and LGD test of details over calculation of impairment allowance for assessing completeness and accuracy of data. - For exposure determined to be individually impaired, we tested a samples of loans and advances and examined management's estimate of future cash flows, assessed their reasonableness and checked the resultant provision calculations. - We read the Company's policies for identification, classification and assessing compliance for Stage 3 / NPAs customers in line with the norms. We performed substantial audit procedure relating to identification and classification of Stage 3 / NPAs by the company. - We have checked on sample basis that the stage classification for the borrowers has been given in accordance with the Resolution Framework issued by Reserve Bank of India (the 'RBI') and the Board approved policy for ECL provisioning and stage classification with respect to such accounts. - We assessed the adequacy and appropriateness of disclosures in compliance with the Ind AS 107 in relation to ECL especially in relation to judgements used in estimation of ECL provision.
2. IT systems and controls Financial accounting and reporting processes, especially in the financial services sector, are fundamentally reliant on IT systems and IT controls to process significant transaction volumes, hence we identified IT systems and controls over financial reporting as a key audit matter for the Company. Automated accounting procedures and IT environment controls, which include IT governance, general IT controls over program development and changes, access to programs and data and IT operations, are required to be designed and to operate effectively to ensure reliable financial reporting.	Principal audit procedure performed: - We tested the design and operating effectiveness of the Company's IT access controls over the information systems that are important to financial reporting and various interfaces, configuration and other identified application controls. - We tested IT general controls (logical access, changes management and aspects of IT operational controls). This included testing requests for access to systems were reviewed and authorized. - We tested the Company's periodic review of access rights. We also tested requests of changes to systems for approval and authorization - In addition to the above, we tested the design and operating effectiveness of certain automated controls that were considered as key internal controls over financial reporting.

Information Other than the Financial Statements and Auditor's Report Thereon

The Company's management and Board of Directors are responsible for the preparation of the other information. The other information comprises the information included in the Board's Report including Annexures to Board's Report and Shareholder's Information but does not include the financial statements and our auditor's report thereon. The Reports are expected to be made available to us after the date of this auditors' report.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge

obtained during the course of our audit or otherwise appears to be materially misstated.

When we read the Other Information, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance as required under SA 720 (Revised) 'The Auditor's responsibilities Relating to Other Information'.

Management's Responsibility for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act, with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance, including other comprehensive income, changes in equity and cash flows of the Company in accordance with the Ind AS and other accounting principles generally accepted in India. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the

Independent Auditors' Report (Contd.)

Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company

has adequate internal financial controls system with reference to the financial statements in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the financial statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the financial statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the financial statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current financial year and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that

Independent Auditors' Report (Contd.)

a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matter

The financial statements of the Company for the year ended 31 March 2021 have been audited by the predecessor auditors. The report of the predecessor auditors dated 26 May 2021 expressed an unmodified opinion. Our opinion is not modified in respect of this matter.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of sub-section (11) of Section 143 of the Act, we give in the "Annexure A", a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
2. As required by Section 143(3) of the Act, we report that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
 - b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books;
 - c) The Balance sheet, the Statement of Profit and Loss (including Other Comprehensive Income), Statement of Changes in Equity, and Statement of Cash Flows dealt with by this Report are in agreement with the books of account;
 - d) In our opinion, the aforesaid financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with the Companies (Indian Accounting Standards) Rules, 2015 as amended.
 - e) On the basis of written representations received from the directors as on 31 March 2022 taken on record by the Board of Directors, none of the directors is disqualified as on 31 March 2022, from being appointed as a director in terms of Section 164(2) of the Act;
 - f) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure B"; Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Company's internal financial control over financial reporting.
 - g) With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of Section 197(16) of the Act, as amended:

In our opinion and to the best of our information, as the Company is Private Limited Company, provisions of Section 197 read with Schedule V of the Act is not applicable to the Company.
 - h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us:
 - i. The Company has disclosed the impact of pending litigations as at 31 March 2022 on its financial position in its financial statements (Refer Note 46 to the financial statements);
 - ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses;
 - iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.
 - iv. (a) The management has represented to us that, to the best of its knowledge and belief, as disclosed in the notes to the accounts, no funds (which are material either individually or in the aggregate) have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
 - (b) The management has also represented to us, that, to the best of its knowledge and belief, as disclosed in the notes to the accounts, no funds (which are material either individually or in the aggregate) have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether, directly or indirectly, lend to or

Independent Auditors' Report (Contd.)

invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

- (c) Based on such audit procedures that were considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement.
- v. The Company has not declared or paid any dividend during the year and has not proposed final dividend for the year.

For **Suresh Surana & Associates LLP**

Chartered Accountants

Firm's Reg. No.: 121750W / W-100010

Ramesh Gupta

Partner

Membership No. 102306

UDIN: 22102306AJJDAA5874

Place: Mumbai

Dated: 21 May 2022

Annexure 'A' to the Independent Auditors' Report

(Referred to in paragraph 1 under the heading 'Report on Other Legal and Regulatory Requirements' of our report of even date)

- I. In respect of the Company's Property, Plant and Equipment and Intangible Assets:
 - (a) (A) The Company has maintained proper records showing full particulars including quantitative details and situation of its Property, Plant and Equipment and relevant details of right of use assets.
 - (B) The Company has maintained proper records showing full particulars of its Intangible assets.
 - (b) The Company has a regular programme of physical verification of Property, Plant and Equipment in phased manner so as to cover all the asset over the period of three years, which in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. Pursuant to the programme, certain Property, Plant and Equipment have been physically verified by the Management during the year. According to the information and explanations given to us, no material discrepancies were noticed on such verification.
 - (c) The Company does not have any immovable properties. Accordingly, the provision of the clause 3(i)(c) of the Order is not applicable to the Company.
 - (d) In our opinion and according to information and explanation given to us, the Company has not revalued its Property, Plant and Equipment (including Right of Use Assets) and intangible assets during the year.
 - (e) According to information and explanations given to us and on the basis of our examination of the records of the Company, no proceedings have been initiated or are pending against the Company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and Rules made thereunder.
- II.
 - (a) The Company is in the business of providing loans and does not have any physical inventories. Accordingly, the provision of the clause 3(ii)(a) of the Order is not applicable to the Company.
 - (b) According information and explanations given to us, the Company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets. In our opinion and according to information and explanations given to us and the records examined by us, the quarterly returns or statements for the quarters ended June 2021, September 2021 and December 2021 filed by the Company during the year with such banks or financial institutions are in agreement with unaudited books of account. Further, in respect of quarter ended March 2022, the return has been filed based on the provisional financial statements and the revised return will be filed based on the audited financial statements.
- III. During the year, the Company has made investments in and granted loans or advances in the nature of loans, secured or unsecured, to companies, firms, limited liability partnerships or any other parties. The Company has not provided any guarantee or security to any entity during the year. With respect to such investments and loans and advances:
 - (a) The Company's principal business is to give loans. Accordingly, the provision of the clause 3(iii)(a) of the Order is not applicable to the Company.
 - (b) In our opinion and according to information and explanations given to us, the investments made and the terms and conditions of the grant of all the loans and advances in the nature of loans, during the year are, prima facie, not prejudicial to the Company's interest.
 - (c) The Company, being a Non-Banking Financial Company ('NBFC'), registered under provisions of RBI Act, 1934 and rules made thereunder, in pursuance of its compliance with provisions of the said Act/Rules, particularly, the Income Recognition, Asset Classification and Provisioning Norms, monitors repayments of principal and payment of interest by its borrowers as stipulated. In our opinion and according to the information and explanations given to us, in respect of loans and advances in the nature of loans, the schedule of repayment of principal and payment of interest has been stipulated and in cases where repayment of principal and payment of interest is not received as stipulated, the cognizance thereof is taken by the Company in course of its periodic regulatory reporting. Refer notes 35 and 55 to the financial statements for summarised details of such loans/ advances which are not repaid by borrowers as per stipulations. Having regard to the nature of the Company's business and the volume of information involved, it is not practicable to provide an itemised list of loan assets where repayment of principal and interest have not been regular. According to the information and explanations made available to us, reasonable steps are taken by the Company for recovery thereof.
 - (d) The Company, being a NBFC, registered under provisions of RBI Act, 1934 and rules made thereunder, in pursuance of its compliance with provisions of the said Act/Rules, particularly, the Income Recognition, Asset Classification

Annexure A to Independent Auditors' Report (Contd.)

and Provisioning Norms, monitors and report total amount overdue including principal and/or payment of interest by its customers for more than 90 days. In cases where repayment of principal and payment of interest is not received as stipulated, the cognizance thereof is taken by the Company in course of its periodic regulatory reporting. Refer notes 35 and 55 to the financial statements for summarised details of such loans/advances which are not repaid by borrowers as per stipulations. According to the information and explanation made available to us, reasonable steps are taken by the Company for recovery thereof.

- (e) The Company's principal business is to give loans. Accordingly, the provision of the clause 3(iii)(e) of the Order is not applicable to the Company.
 - (f) According to information and explanations given to us and based on the audit procedures performed, the Company has not granted any loans or advances in the nature of loans either repayable on demand or without specifying any terms or period of repayment during the year. Accordingly, the provision of the clause 3(iii)(f) is not applicable to the Company.
- IV. A In opinion and according to the information and explanations given to us, the Company has not given loan to any director in accordance with the provisions of Section 185 of the Companies Act, 2013. The Company has not given any loans or guarantees and being a Non-banking financial company, its investments are exempted under Section 186(11) (b), hence the Company has complied with the provisions of Section 185 and 186 of the Act, as applicable.
- V. According to the information and explanations given to us, the Company has not accepted any deposits or amounts which are deemed to be deposits during the year and no order in this respect has been passed by the Company Law Board or National Company Law Tribunal or the Reserve Bank of India or any Court or any other Tribunals in regard to the Company. Accordingly, the provision of the clause 3(v) of the Order is not applicable to the Company.
- VI. According to the information and explanations given to us, the Central Government has not prescribed the maintenance of cost records under section 148(1) of the Act, in respect of the services rendered by the Company. Accordingly, the provision of the clause 3(vi) of the Order is not applicable to the Company.
- VII. According to the information and explanations given to us, in respect of statutory dues:
- (a) The Company has generally been regular in depositing the undisputed statutory dues including provident fund, employees' state insurance, income tax, goods and service tax, duty of customs, cess and any other statutory dues as applicable to the appropriate authorities.

There are no arrears of outstanding statutory dues as at the last day of the financial year for the period of more than six month from the date they became payable. No undisputed amounts payable in respect of aforesaid statutory dues were outstanding as on the last day of the financial year for a period of more than six months from the date they became payable except stamp duty of ₹23.55 Lakhs which has been paid subsequent to the balance sheet date.

- (b) There are no dues referred in sub clause(a) which have not been deposited with the appropriate authorities on account of any dispute as on 31 March 2022.
- VIII. According to the information and explanations given to us, no transactions relating to previously unrecorded income were surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961.
- IX. According to the information and explanations given to us, in respect of borrowings:
- (a) The Company has not defaulted in the repayment of loans or other borrowings or in the payment of interest thereon to any lender during the year.
 - (b) The Company has not been declared willful defaulter by any bank or financial institution or other lender.
 - (c) Term loans availed by the Company were, applied by the Company during the year for the purposes for which the loans were obtained, other than temporary deployment of the funds in debt mutual funds and short term fixed deposits pending application in respect of term loans raised towards the end of the year.
 - (d) On an overall examination of the financial statements of the Company, no funds raised on short-term basis have been prima facie used for long-term purposes during the year by the Company.
 - (e) The Company did not have any subsidiary or associate or joint venture during the year. Accordingly, the provision of the clause 3(ix)(e) of the Order is not applicable to the Company.
 - (f) The Company does not have any subsidiary or associate or joint venture. Accordingly, the provision of the clause 3(ix)(f) of the Order is not applicable to the Company.
- X. (a) The Company has not raised money by way of initial public offer or further public offer (including debt instruments) during the year. Accordingly, the provision of the clause 3(x)(a) of the Order is not applicable to the Company.

Annexure A to Independent Auditors' Report (Contd.)

- (b) In our opinion and according to the information and explanations given to us, the Company has utilized funds raised by way of private placement for the purposes for which they were raised. The Company has complied with requirements of section 42 and 62 of the Companies Act 2013 in this regards.
- XI. (a) During the course of our examination of the books of account and records of the Company, carried out in accordance with generally accepted auditing practices in India and according to the information and explanations given to us, we report that no fraud by the Company or on the Company by the officers and employees of the Company has been noticed or reported during the year except for instances of cash embezzlements by certain employees, borrowers of the Company and others aggregating to an amount of ₹451.66 Lakhs and out of which, an amount of ₹46.69 Lakhs has been recovered.
- (b) No report under section 143(12) of the Act has been filed in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government during the year and upto the date of this report.
- (c) As represented to us by the management, there were no whistle blower complaints received by the Company during the year.
- XII. According to the information and explanations given to us, the Company is not a Nidhi Company. Accordingly, the provision of the clause 3(xii) of the Order is not applicable to the Company.
- XIII. According to the information and explanations given to us, the Company is in compliance with Section 188 and 177 of the Act, where applicable, for all transactions with the related parties and the details of related party transactions have been disclosed in the financial statements, etc. as required by the applicable accounting standards.
- XIV. (a) In our opinion, the Company has an adequate internal audit system commensurate with the size and the nature of its business.
- (b) We have considered, the internal audit reports issued to the Company during the year and covering the period upto 31 March 2022.
- XV. According to the information and explanations given to us and based on our examination of the records of the Company, the Company has not entered into any non-cash transactions with its directors or persons connected with them during the year. Accordingly, the provision of the clause 3(xv) of the Order is not applicable to the Company and hence provisions of Section 192 of the Companies Act, 2013 are not applicable to the Company.
- XVI. (a) The Company is required to be registered under section 45-IA of the Reserve Bank of India Act, 1934 (2 of 1934) and the Company has obtained the required registration.
- (b) According to the information and explanations given to us, the Company has not conducted any Non-Banking Financial or Housing Finance activities without obtaining a valid CoR from the Reserve Bank of India as per the Reserve Bank of India Act, 1934.
- (c) According to the information and explanations given to us, the Company is not a Core Investment Company ('CIC') as defined under the Regulations by the Reserve Bank of India.
- (d) According to the information and explanations given to us, there is no core investment company within the Group (as defined in the Core Investment Companies (Reserve Bank) Directions, 2016) and Accordingly, the provision of the clause 3(xvi) (b), (c) and (d) of the Order is not applicable to the Company.
- XVII. According to the information and explanations given to us, the Company has not incurred any cash losses in the financial year and in the immediately preceding financial year.
- XVIII. During the year, M/s Deloitte Haskins & Sells LLP, the statutory auditor of the Company have resigned with effect from 26 August 2021 consequent to amended rules/ regulations applicable to the Company. (i.e. vide RBI circular dated 27 April 2021). As informed, there have been no issues, objections or concerns raised by the said outgoing auditor.
- XIX. According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that the Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

Annexure A to Independent Auditors' Report (Contd.)

- XX. (a) In respect of other than ongoing projects, there are no unspent amounts that are required to be transferred to a fund specified in Schedule VII of the Act, in compliance with second proviso to sub section (5) of section 135 of the Act.
- (b) There are no unspent amounts in respect of ongoing projects, that are required to be transferred to a special account in compliance of provision of sub section (6) of section 135 of the Act.

Accordingly, the provision of the clause 3(xx) of the Order is not applicable for the year to the Company.

For **Suresh Surana & Associates LLP**

Chartered Accountants

Firm's Reg. No.: 121750W / W-100010

Ramesh Gupta

Partner

Membership No. 102306

UDIN: 22102306AJDAA5874

Place: Mumbai

Dated: 21 May 2022

Annexure 'B' to the Independent Auditors' Report

(Referred to in paragraph 2(f) under the heading 'Report on Other Legal and Regulatory Requirements' of our report of even date)

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls over financial reporting of SBFC Finance Private Limited (hereinafter referred to as "the Company") as of 31 March 2022 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal controls over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing prescribed under section 143(10) of the Act, to the extent applicable to an audit of internal financial controls over financial reporting. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls Over Financial Reporting

A Company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A Company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the Company are being made only in accordance with authorisations of management and directors of the Company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the Company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to further periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, to the best of our information and according to the explanations given to us, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31 March 2022, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note.

For **Suresh Surana & Associates LLP**

Chartered Accountants

Firm's Reg. No.: 121750W / W-100010

Ramesh Gupta

Partner

Membership No. 102306

UDIN: 22102306AJJDAA5874

Place: Mumbai

Dated: 21 May 2022

Balance Sheet

as at 31 March 2022

(₹ In Lakh)

Particulars	Note No.	As at 31 March 2022	As at 31 March 2021
Assets			
I. Financial Assets			
(a) Cash and cash equivalents	3	15,147.59	13,724.76
(b) Bank balances other than (a) above	4	18,381.74	20,310.60
(c) Receivables			
(i) Trade receivables	5	826.79	379.07
(d) Loans	6	2,98,241.25	2,10,707.97
(e) Investments	7	84,811.27	1,48,424.91
(f) Other financial assets	8	341.68	464.60
Total Financial Assets		4,17,750.32	3,94,011.91
II. Non-Financial Assets			
(a) Current tax assets (net)	9	3,419.17	2,064.18
(b) Property, plant and equipment	10	3,570.81	3,900.09
(c) Intangible assets under development	10	-	33.32
(d) Goodwill	10	26,039.23	26,039.23
(e) Other intangible assets	10	328.62	172.15
(f) Other non-financial assets	11	395.49	367.19
Total Non-Financial Assets		33,753.32	32,576.16
Total Assets		4,51,503.64	4,26,588.07
Liabilities and Equity			
Liabilities			
I. Financial Liabilities			
(a) Payables	12		
(A) Trade payables			
(i) total outstanding dues of micro enterprises and small enterprises		-	-
(ii) total outstanding dues of creditors other than micro enterprises and small enterprises		1,407.68	1,036.74
(B) Other payables			
(i) total outstanding dues of micro enterprises and small enterprises		-	-
(ii) total outstanding dues of creditors other than micro enterprises and small enterprises		619.71	705.26
(b) Debt securities	13	4,300.00	15,000.00
(c) Borrowings (other than debt securities)	14	2,90,726.85	2,62,775.80
(d) Other financial liabilities	15	22,165.00	23,211.03
Total Financial Liabilities		3,19,219.24	3,02,728.83
II. Non-Financial Liabilities			
(a) Provisions	16	1,019.69	822.53
(b) Deferred tax liabilities (Net)	17	1,945.27	2,337.12
(c) Other non-financial liabilities	18	602.69	158.95
Total Non-Financial Liabilities		3,567.65	3,318.60
Total Liabilities		3,22,786.89	3,06,047.43
Equity			
(a) Equity share capital	19	80,680.09	79,667.39
(b) Other equity	20	48,036.66	40,873.25
Total Equity		1,28,716.75	1,20,540.64
Total Liabilities and Equity		4,51,503.64	4,26,588.07

Summary of Significant Accounting Policies (Refer Note 2)

The accompanying notes are an integral part of the Financial Statements

As per our report of even date attached

For Suresh Surana & Associates LLP

Chartered Accountants

Firm's Registration No. 121750W/W-100010

Ramesh Gupta

Partner

Membership No: 102306

For and on behalf of the Board of Directors of

SBFC Finance Private Limited

CIN:U67190MH2008PTC178270

Mr. Aseem Dhru

CEO & Managing Director

(DIN: 01761455)

Mr. Narayan Barasia

Chief Financial Officer

Mr. John Mescall

Nominee Director

(DIN: 08385575)

Mr. Jay Mistry

Company Secretary

(ACS: A34264)

Place : Mumbai

Date : 21 May 2022

Place : Mumbai

Date : 21 May 2022

Statement of Profit and Loss

for the year ended 31 March 2022

(₹ In Lakh)

Particulars	Note No.	For the year ended 31 March 2022	For the year ended 31 March 2021
(I) Revenue from Operations			
Interest income	21	47,314.57	46,334.11
Fees and commission income	22	2,723.85	2,415.32
Net gain on fair value changes	23	1,572.17	910.58
Net gain on derecognition of financial instruments under amortised cost category	24	233.11	396.82
Other operating income	25	1,294.37	670.56
Total Revenue from Operations		53,138.07	50,727.39
(II) Other income	26	164.93	390.73
(III) Total Income (I+II)		53,303.00	51,118.12
Expenses			
Finance costs	27	22,061.68	23,845.54
Impairment on financial instruments	28	4,929.15	3,364.03
Employee benefits expense	29	10,953.45	8,418.27
Depreciation and amortisation expense	10	1,178.12	940.02
Other expenses	30	5,529.34	3,137.15
(IV) Total expenses		44,651.74	39,705.01
(V) Profit before tax (III - IV)		8,651.26	11,413.11
Tax expense			
- Current tax	32	2,621.22	3,002.37
- Deferred tax	33	(391.85)	(108.56)
(VI) Total tax expense		2,229.37	2,893.81
(VII) Profit after tax (V-VI)		6,421.89	8,519.30
(VIII) Other comprehensive income	34		
(A) Items that will not be reclassified to profit or loss			
- Remeasurement of Net defined benefit plan		37.22	17.58
- Income tax relating to items that will not be reclassified to profit or loss		(9.37)	(4.42)
(B) Items that will be reclassified to profit or loss		-	-
Other Comprehensive Income		27.85	13.16
(IX) Total comprehensive income for the year (VII + VIII)		6,449.74	8,532.46
(X) Earnings per equity share (Face value ₹ 10/- per share)			
Basic (₹)	44	0.80	1.09
Diluted (₹)		0.79	1.06

Summary of Significant Accounting Policies (Refer Note 2)

The accompanying notes are an integral part of the Financial Statements

As per our report of even date attached

For Suresh Surana & Associates LLP

Chartered Accountants

Firm's Registration No. 121750W/W-100010

Ramesh Gupta

Partner

Membership No: 102306

For and on behalf of the Board of Directors of

SBFC Finance Private Limited

CIN:U67190MH2008PTC178270

Mr. Aseem Dhru

CEO & Managing Director

(DIN: 01761455)

Mr. Narayan Barasia

Chief Financial Officer

Mr. John Mescall

Nominee Director

(DIN: 08385575)

Mr. Jay Mistry

Company Secretary

(ACS: A34264)

Place : Mumbai

Date : 21 May 2022

Place : Mumbai

Date : 21 May 2022

Statement of Cash Flows

for the year ended 31 March 2022

(₹ In Lakh)		
Particulars	For the year ended 31 March 2022	For the year ended 31 March 2021
Cash flow from Operating activities		
Profit before tax	8,651.26	11,413.11
Adjustments for:		
Depreciation and amortisation expenses	1,178.12	940.02
Interest income on loans	(38,253.82)	(27,756.75)
Interest income on investment in PTC	(8,356.10)	(17,196.20)
Interest income on fixed deposits	(704.65)	(1,381.16)
Fees and commission income	(2,723.85)	(2,415.32)
Finance costs on borrowings and debt securities	21,890.61	23,626.32
Finance costs on lease liability	168.08	196.75
Net gain on financial instruments at fair value through profit or loss	(1,572.17)	(910.58)
Impairment on financial instruments	4,929.15	3,364.03
Gratuity expense	92.32	77.88
Employee share based payment	296.04	389.19
Net gain on termination of lease liability	(16.72)	(21.64)
Loss on sale/ write off of property, plant and equipment/ Intangible assets	33.42	8.72
Operational Cash Flows:		
Cash inflow from interest on loans	38,769.54	27,097.96
Cash inflow from interest on investment in PTC	8,704.30	17,757.90
Cash inflow from interest on fixed deposits	1,318.66	1,045.22
Cash inflow from fees and commission income	2,450.61	2,377.71
Cash outflow towards finance cost on borrowings & debt securities	(22,343.73)	(23,987.26)
Cash outflow towards gratuity	(52.94)	(30.30)
Operating Profit before working capital changes	14,458.13	14,595.60
Changes in working capital:		
Increase/ (Decrease) in payables	285.39	27.19
Increase/ (Decrease) in Other financial liabilities	(424.56)	15,272.64
Increase in Other non-financial liabilities	443.74	28.23
Increase in provision	195.00	192.53
(Increase)/ Decrease in trade receivables	(174.48)	(42.86)
Increase in loans and advances	(92,978.14)	(58,520.26)
(Increase)/ Decrease in other financial assets	155.20	(342.23)
(Increase)/ Decrease in other non-financial assets	(28.33)	164.68
Cash flows used in Operating activities	(78,068.05)	(28,624.48)
Income taxes refund/ (paid)	(3,985.59)	1,063.45
Net cash used in Operating activities	(82,053.64)	(27,561.03)
Cash flow from Investing activities		
Purchase of property, plant and equipment	(743.18)	(1,279.24)
Purchase of intangible assets (including intangible assets under development)	(236.42)	(155.49)
Proceeds from sale of property, plant and equipment	0.14	-
Purchase of investments at fair value through profit and loss	(2,04,521.27)	(2,13,518.88)
Sale of investments at fair value through profit and loss	2,14,802.61	1,74,888.47
Redemption/ sale of investment in PTC	54,556.27	78,462.04
Placement of fixed deposits	(16,948.89)	(13,959.42)
Maturity/ redemption of fixed deposits	18,263.74	13,068.30
Net cash generated from Investing activities	65,173.00	37,505.78

Statement of Cash Flows

for the year ended 31 March 2022

(₹ In Lakh)

Particulars	For the year ended 31 March 2022	For the year ended 31 March 2021
Cash flow from Financing activities		
Proceeds from issuance of equity share capital including securities premium	1,430.33	10,370.78
Borrowings other than debt securities issued	89,300.00	45,716.15
Borrowings other than debt securities repaid	(60,973.53)	(56,598.51)
Debt securities issued	4,300.00	15,000.00
Debt securities repaid	(15,000.00)	(32,500.00)
Lease liabilities repayment during the year	(585.25)	(447.06)
Finance cost on lease liabilities	(168.08)	(196.75)
Net cash (used in)/ generated from Financing activities	18,303.47	(18,655.39)
Net increase in cash and cash equivalents	1,422.83	(8,710.64)
Cash and cash equivalents at beginning of year	13,724.76	22,435.40
Cash and cash equivalents at end of year	15,147.59	13,724.76
Cash and cash equivalents at the end of the year comprises of:-		
Cash in hand	752.57	673.51
Balance with scheduled bank on		
- In current accounts	3,994.03	8,950.80
- In fixed deposit with original maturity of less than 3 months	10,400.99	4,100.45
Total	15,147.59	13,724.76

Summary of Significant Accounting Policies (Refer Note 2)

The accompanying notes are an integral part of the Financial Statements

Notes:

- The above Cash Flow Statement has been prepared under the Indirect method set out in Indian Accounting Standard (Ind AS) 7 Cash Flow Statements
- Figures in brackets indicate cash outflow.
- Previous year's figures have been regrouped and reclassified wherever necessary to conform to current year's classification.

As per our report of even date attached
For Suresh Surana & Associates LLP
Chartered Accountants
 Firm's Registration No. 121750W/W-100010

For and on behalf of the Board of Directors of
SBFC Finance Private Limited
 CIN:U67190MH2008PTC178270

Ramesh Gupta
Partner
 Membership No: 102306

Mr. Aseem Dhru
CEO & Managing Director
 (DIN: 01761455)

Mr. John Mescall
Nominee Director
 (DIN: 08385575)

Mr. Narayan Barasia
Chief Financial Officer

Mr. Jay Mistry
Company Secretary
 (ACS: A34264)

Place : Mumbai
 Date : 21 May 2022

Place : Mumbai
 Date : 21 May 2022

Statement of Changes in Equity

for the year ended 31 March 2022

A. Equity Share Capital

Particulars	(₹ In Lakh)
Balance as at 1 April 2020	74,231.97
Changes in equity share capital due to prior period errors	-
Restated Balance at the beginning of the previous reporting period	74,231.97
Changes in equity share capital during the previous year	5,435.42
Balance as at 31 March 2021	79,667.39
Changes in equity share capital due to prior period errors	-
Restated Balance at the beginning of the previous reporting period	79,667.39
Changes in equity share capital during the current year	1,012.70
Balance as at 31 March 2022	80,680.09

B. Other Equity

Current reporting period

Particulars	Statutory Reserve	Employee Share Option Outstanding	Securities Premium	Retained Earnings	Remeasurement gain/ (loss) on defined benefit plans	Other Comprehensive Income	Total
Balance as at 1 April 2021	2,911.29	2,167.95	23,816.63	11,955.50	21.88	-	40,873.25
Changes in accounting policy/ prior period errors	-	-	-	-	-	-	-
Restated Balance as at 1 April 2021	2,911.29	2,167.95	23,816.63	11,955.50	21.88	-	40,873.25
Profit for the year	-	-	-	6,421.89	-	-	6,421.89
Other comprehensive income for the year	-	-	-	-	27.85	-	27.85
Transfer to statutory reserves from retained earnings	1,284.38	-	-	(1,284.38)	-	-	-
Employee share based payment	-	296.04	-	-	-	-	296.04
Exercise of stock options outstanding	-	(325.06)	325.06	-	-	-	-
Premium on Issue of share capital	-	-	527.14	-	-	-	527.14
Loan to employee welfare trust	-	-	(109.51)	-	-	-	(109.51)
Balance as at 31 March 2022	4,195.67	2,138.93	24,559.32	17,093.01	49.73	-	48,036.66

Statement of Changes in Equity (Contd.)

for the year ended 31 March 2022

Previous reporting period

(₹ In Lakh)

Particulars	Reserves and Surplus						Other Comprehensive Income	Total
	Statutory Reserve	Employee Share Option Outstanding	Securities Premium	Retained Earnings	Remeasurement gain/ (loss) on defined benefit plans			
Balance as at 1 April 2020	1,207.43	1,778.76	18,881.27	5,140.06	8.72		-	27,016.24
Changes in accounting policy/ prior period errors	-	-	-	-	-		-	-
Restated Balance as at 1 April 2020	1,207.43	1,778.76	18,881.27	5,140.06	8.72		-	27,016.24
Profit for the year	-	-	-	8,519.30	-		-	8,519.30
Other comprehensive income for the year	-	-	-	-	13.16		-	13.16
Transfer to statutory reserves from retained earnings	1,703.86	-	-	(1,703.86)	-		-	-
Employee share based payment	-	389.19	-	-	-		-	389.19
Premium on issue of share capital	-	-	4,935.36	-	-		-	4,935.36
Balance as at 31 March 2021	2,911.29	2,167.95	23,816.63	11,955.50	21.88		-	40,873.25

Summary of Significant Accounting Policies (Refer Note 2)
The accompanying notes are an integral part of the Financial Statements

As per our report of even date attached
For Suresh Surana & Associates LLP
Chartered Accountants
Firm's Registration No. 121750W/W-100010

Ramesh Gupta
Partner
Membership No: 102306

Place : Mumbai
Date : 21 May 2022

For and on behalf of the Board of Directors of
SBFC Finance Private Limited
CIN:U67190MH2008PTC178270

Mr. Aseem Dhru
CEO & Managing Director
(DIN: 01761455)

Mr. Narayan Barasia
Chief Financial Officer

Place : Mumbai
Date : 21 May 2022

Mr. John Mescall
Nominee Director
(DIN: 08385575)

Mr. Jay Mistry
Company Secretary
(ACS: A34264)

Significant Accounting Policies forming part of Financial Statements

for the year ended 31 March 2022

1. Corporate Information

SBFC Finance Private Limited ('the Company') is a private limited company incorporated in India under the Companies Act, 2013, having its registered office at First Floor, C&B Square, Sangam Complex, Andheri Kurla Road, Chakala, Andheri (East), Mumbai- 400059, Maharashtra. The Company is registered with the Reserve Bank of India (RBI) as a "systemically important non-deposit taking" NBFC ND-SI.

The registration details are as follows:

Reserve Bank of India Registration no : N-13.01913
Corporate Identity Number (CIN)
: U67190MH2008PTC178270

The Company is in the business of giving loans to Micro Enterprise secured by residential or commercial property. The Company also gives Loan against Gold, which offers the Company superior yields with almost liquid security assets. The Company also gives unsecured personal loans and unsecured business loans.

The financial statements for the year ended 31 March 2022 were authorised for issue in accordance with a resolution of the board of directors on 21 May 2022.

2. Significant accounting policies

2.1 Basis of preparation

The financial statements of the Company have been prepared in accordance with Indian Accounting Standards (Ind AS) notified under the Companies (Indian Accounting Standards) Rules, 2015 (as amended from time to time) and other accounting principles generally accepted in India mainly considering the Master Directions issued by the Reserve Bank of India ('RBI') as applicable to Non-Banking Finance Companies-NDSI. The financial statements have been prepared under the historical cost convention, as modified by the application of fair value measurements required or allowed by relevant Accounting Standards. Accounting policies have been consistently applied to all periods presented, unless otherwise stated.

The financial statements are prepared on a going concern basis, as the Management is satisfied that the Company shall be able to continue its business for the foreseeable future and no material uncertainty exists that may cast significant doubt on the going concern assumption. In making this assessment, the Management has considered a wide range of information relating to present and future conditions, including future projections of profitability, cash flows and capital resources.

The preparation of financial statements requires the use of certain critical accounting estimates and assumptions that affect the reported amounts of assets, liabilities, revenues and expenses and the disclosed amount of contingent liabilities. Areas involving a higher degree of judgement or complexity, or areas where assumptions

are significant to the Company are discussed in Note 2.14- Significant accounting judgements, estimates and assumptions.

The financial statements are presented in Indian Rupees (₹) in Lakh and all values are rounded to the nearest Rupee in Thousands, except when otherwise indicated.

2.2. Presentation of financial statement

The financial statements of the Company are presented as per Schedule III (Division III) of the Companies Act, 2013, applicable to NBFCs as notified by the Ministry of Corporate Affairs (MCA). Financial assets and financial liabilities are generally reported on a gross basis except when, there is an unconditional legally enforceable right to offset the recognised amounts without being contingent on a future event and the parties intend to settle on a net basis in the following circumstances:

- i. The normal course of business
- ii. The event of default
- iii. The event of insolvency or bankruptcy of the Company and/ or its counterparties

2.3. Statement of compliance

The financial statements have been prepared in accordance with the Indian Accounting Standards (Ind AS) on the historical cost basis except for certain financial instruments that are measured at fair values at the end of each reporting period as explained in the accounting policies below and the relevant provisions of the Act.

Accounting policies have been consistently applied except where a newly-issued accounting standard is initially adopted or a revision to an existing accounting standard requires a change in the accounting policy hitherto in use.

2.4. Financial instruments

(i) Classification of financial instruments

The Company classifies its financial assets into the following measurement categories:

1. Financial assets to be measured at amortised cost
2. Financial assets to be measured at fair value through other comprehensive income
3. Financial assets to be measured at fair value through profit or loss account

The classification depends on the contractual terms of the financial assets' cash flows and the Company's business model for managing financial assets which are explained below:

Significant Accounting Policies forming part of Financial Statements

for the year ended 31 March 2022

Business model assessment

The Company determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective.

The Company's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel
- The risks that affect the performance of the business model (and the financial assets held within that business model) and the way those risks are managed
- How managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected)
- The expected frequency, value and timing of sales are also important aspects of the Company's assessment. The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Company's original expectations, the Company does not change the classification of the remaining financial assets held in that business model but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

The Solely Payments of Principal and Interest (SPPI) test

As a second step of its classification process, the Company assesses the contractual terms of financial assets to identify whether they meet the SPPI test.

'Principal' for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

In making this assessment, the Company considers whether the contractual cash flows are consistent with a basic lending arrangement i.e. interest includes only consideration for the time value of money, credit risk, other basic lending risks and a profit margin that is consistent with a basic lending arrangement. Where the contractual terms introduce exposure to risk or volatility that are

inconsistent with a basic lending arrangement, the related financial asset is classified and measured at fair value through profit or loss.

The Company classifies its financial liabilities at amortised costs.

(ii) Financial assets measured at amortised cost

These financial assets comprise bank balances, receivables, investments and other financial assets.

These are measured at amortised cost where they have:

- a) contractual terms that give rise to cash flows on specified dates, that represent solely payments of principal and interest on the principal amount outstanding; and
- b) are held within a business model whose objective is achieved by holding to collect contractual cash flows.

These instruments are initially recognised at fair value plus directly attributable transaction costs and subsequently measured at amortised cost.

(iii) Items at fair value through profit or loss (FVTPL)

Items at fair value through profit or loss comprise:

- Investments (including equity shares) held for trading;
- Items specifically designated as FVTPL on initial recognition; and
- debt instruments with contractual terms that do not represent solely payments of principal and interest.

Financial instruments held at FVTPL are initially recognised at fair value, with transaction costs recognised in the statement of profit and loss as incurred. Subsequently, they are measured at fair value and any gains or losses are recognised in the statement of profit and loss as they arise.

(iv) Debt securities and other borrowed funds

After initial measurement, debt issued, and other borrowed funds are subsequently measured at amortised cost. Amortised cost is calculated by taking into account any discount or premium on issue funds, and costs that are an integral part of the EIR.

(v) Reclassification

If the business model under which the Company holds financial assets changes, the financial assets affected are reclassified. The classification and measurement requirements related to the new category apply prospectively from the first day of the first reporting period following the change

Significant Accounting Policies forming part of Financial Statements

for the year ended 31 March 2022

in business model that result in reclassifying the Company's financial assets. Changes in contractual cash flows are considered under the accounting policy on Modification and derecognition of financial assets described below.

(vi) Recognition and Derecognition of financial assets and liabilities

Recognition:

- a) Loans and Advances are initially recognised when the Financial Instruments are transferred to the customers.
- b) Investments are initially recognised on the trade date.
- c) Debt securities, deposits and borrowings are initially recognised when funds reach the Company.
- d) Other Financial assets and liabilities are initially recognised on the trade date, i.e., the date that the Company becomes a party to the contractual provisions of the instrument.

Derecognition of financial assets

a) Financial assets:

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when the rights to receive cash flows from the financial asset have expired. The Company also derecognises the financial asset if it has both transferred the financial asset and the transfer qualifies for derecognition.

The Company has transferred the financial asset if, the Company has transferred its contractual rights to receive cash flows from the financial asset.

A transfer only qualifies for derecognition if either:

- i. The Company has transferred substantially all the risks and rewards of the asset, or
- ii. The Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

The Company considers control to be transferred if and only if, the transferee has the practical ability to sell the asset in its entirety to an unrelated third party and is able to exercise that ability unilaterally and without imposing additional restrictions on the transfer.

When the Company has neither transferred nor retained substantially all the risks and rewards and has retained control of the asset, the asset continues to be recognised only to the extent of the Company's continuing involvement, in which case, the Company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

b) Financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in the Statement of Profit and Loss.

(vii) Impairment of financial assets

Overview of the ECL principles

The Company records allowance for expected credit losses for all loans, other debt financial assets not held at FVTPL, together with financial guarantee contracts, in this section all referred to as 'financial instruments. Equity instruments are not subject to impairment under Ind AS 109.

The ECL allowance is based on the credit losses expected to arise over the life of the asset (the lifetime expected credit loss), unless there has been no significant increase in credit risk since origination, in which case, the allowance is based on the 12 months' expected credit loss.

Lifetime ECL are the expected credit losses resulting from all possible default events over the expected life of a financial instrument. The 12-month ECL is the portion of Lifetime ECL that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

Both Lifetime ECLs and 12-month ECLs are calculated on either an individual basis or a collective basis.

The Company has established a policy to perform an assessment, at the end of each reporting period, of whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default

Significant Accounting Policies forming part of Financial Statements

for the year ended 31 March 2022

occurring over the remaining life of the financial instrument. The Company does the assessment of significant increase in credit risk at a borrower level. If a borrower has various facilities having different past due status, then the highest days past due (DPD) is considered to be applicable for all the facilities of that borrower.

Based on the above, the Company categorises its loans into Stage 1, Stage 2 and Stage 3 as described below:

Stage 1

All exposures where there has not been a significant increase in credit risk since initial recognition or that has low credit risk at the reporting date and that are not credit impaired upon origination are classified under this stage. The Company classifies all standard advances and advances up to 0-29 days default under this category. Stage 1 loans also include facilities where the credit risk has improved, and the loan has been reclassified from Stage 2.

Stage 2

All exposures where there has been a significant increase in credit risk since initial recognition but are not credit impaired are classified under this stage. Financial assets past due for 30-89 days are classified under this stage. Stage 2 loans also include facilities where the credit risk has improved, and the loan has been reclassified from Stage 3.

Stage 3

All exposures assessed as credit impaired when one or more events that have a detrimental impact on the estimated future cash flows of that asset have occurred are classified in this stage. For exposures that have become credit impaired, a lifetime ECL is recognised and interest revenue is calculated by applying the effective interest rate to the amortised cost (net of provision) rather than the gross carrying amount. 90 days Past Due is considered as default for classifying a financial instrument as credit impaired. If an event warrants a provision higher than as mandated under ECL methodology, the Company may classify the financial asset in Stage 3 accordingly.

In line with Reserve Bank of India Master Circular on Prudential norms on Income Recognition, Asset Classification and Provisioning pertaining to Advances and Clarifications dated November 12, 2021 borrower accounts shall be flagged as overdue as part of the day-end processes for the due date, irrespective of the time of running such processes. Similarly, classification of borrower accounts as Non-Performing Asset/ Stage 3 shall be done as part of day-end process for the relevant date i.e. more than 90 days overdue and NPA/ Stage

3 classification date shall be the calendar date for which the day end process is run. In other words, the date of Non-Performing Asset/ Stage 3 shall reflect the asset classification status of an account at the day-end of that calendar date.

The Company has carried out the requirement in line with Reserve Bank of India Clarification and accordingly, the change in accounting policy is effective financial year 2021-22 and impact on financials is disclosed in note 50. Upgradation of accounts classified as Stage 3/ Non-performing assets (NPA) - The Company upgrades loan accounts classified as Stage 3/ NPA to "standard" asset category only if the entire arrears of interest, principal and other amount are paid by the borrower and there is no change in the accounting policy followed by the Company in this regard.

Credit-impaired financial assets:

At each reporting date, the Company assesses whether financial assets carried at amortised cost and debt financial assets carried at FVTOCI are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- a) Significant financial difficulty of the borrower or issuer;
- b) A breach of contract such as a default or past due event;
- or
- c) The disappearance of an active market for a security because of financial difficulties.

The mechanics of ECL:

The Company calculates ECLs based on probability-weighted scenarios to measure the expected cash shortfalls, discounted at an approximation to the EIR. A cash shortfall is the difference between the cash flows that are due to the Company and the cash flows that the Company expects to receive.

The mechanics of the ECL calculations are outlined below and the key elements are, as follows:

Probability of Default (PD) - The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio.

- a) The Company has applied 12 months PD to Stage 1 Advances

Significant Accounting Policies forming part of Financial Statements

for the year ended 31 March 2022

- b) The Lifetime PD is computed using basic exponentiation technique after considering the residual maturity of the respective loan for Stage 2 Advances.
- c) PD of 100% is considered for Stage 3 Advances.

Exposure at Default (EAD) – EAD is taken as the gross exposure under a facility upon default of an obligor. The amortized principal and the interest accrued is considered as EAD for the purpose of ECL computation

Loss Given Default (LGD) – The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realisation of any collateral. It is usually expressed as a percentage of the EAD.

Collateral Valuation

To mitigate its credit risks on financial assets, the Company seeks to use collateral, where possible. The collateral comes in various forms, such as the underlying asset financed, cash, securities, etc. However, the fair value of collateral affects the calculation of ECLs. To the extent possible, the Company uses active market data for valuing financial assets held as collateral. Other financial assets which do not have readily determinable market values are valued using models.

Collateral repossessed

In its normal course of business, the Company does not physically repossess properties or other assets in its retail portfolio, but engages its employees to recover funds, to settle outstanding debt. Any surplus funds are returned to the customers/obligors. As a result of this practice, assets under legal repossession processes are not recorded on the balance sheet. These repossessed assets which are intended to be realised by way of sale are considered as Stage 3 assets and the ECL allowance is determined based on the estimated net realisable value of the repossessed asset.

(viii) Write-offs

The Company reduces the gross carrying amount of a financial asset when the Company has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. This is generally the case when the Company determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subjected to write-offs. Any subsequent recoveries against such loans are credited to the Statement of Profit and Loss.

(ix) Determination of fair value

On initial recognition, all the financial instruments are measured at fair value. For subsequent measurement, the Company measures certain categories of financial instruments (as explained in Note 2.4) at fair value on each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- i. In the principal market for the asset or liability, or
- ii. In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

In order to show how fair values have been derived, financial instruments are classified based on a hierarchy of valuation techniques, as summarised below:

Level 1 financial instruments – Those where the inputs used in the valuation are unadjusted quoted prices from active markets for identical assets or liabilities that the Company has access to at the measurement date. The Company considers markets as active only if there are sufficient trading activities with regards to the volume and liquidity of the identical assets or liabilities and when there are binding and exercisable price quotes available on the balance sheet date.

Significant Accounting Policies forming part of Financial Statements

for the year ended 31 March 2022

Level 2 financial instruments - Those where the inputs that are used for valuation and are significant, are derived from directly or indirectly observable market data available over the entire period of the instrument's life. Such inputs include quoted prices for similar assets or liabilities in active markets, quoted prices for identical instruments in inactive markets and observable inputs other than quoted prices such as interest rates and yield curves, implied volatilities, and credit spreads. In addition, adjustments may be required for the condition or location of the asset or the extent to which it relates to items that are comparable to the valued instrument. However, if such adjustments are based on unobservable inputs which are significant to the entire measurement, the Company will classify the instruments as Level 3.

Level 3 financial instruments - Those that include one or more unobservable input that is significant to the measurement as whole.

The Company recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Difference between transaction price and fair value at initial recognition

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price (i.e. the fair value of the consideration given or received) unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument (i.e. without modification or repackaging) or based on a valuation technique whose variables include only data from observable markets. When such evidence exists, the Company recognises the difference between the transaction price and the fair value in profit or loss on initial recognition (i.e. on day one).

When the transaction price of the instrument differs from the fair value at origination and the fair value is based on a valuation technique using only inputs observable in market transactions, the Company recognises the difference between the transaction price and fair value in net gain on fair value changes. In those cases where fair value is based on models for which some of the inputs are not observable, the difference between the transaction price and the fair value is not recognised at the initial recognition stage.

2.5. Revenue from operations

(i) Interest Income

Interest income is recognised by applying (EIR) to the gross carrying amount of financial assets other than credit-impaired assets and financial assets classified as measured at FVTPL, taking into

account the amount outstanding and the applicable interest rate. Interest income is recognised on non-performing assets at net of ECL.

The EIR is computed

- As the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial asset to the gross carrying amount of a financial asset
- By considering all the contractual terms of the financial instrument (for example, prepayment, extension, call and similar options) in estimating the cash flows
- Including all fees paid or received between parties to the contract that are an integral part of the effective interest rate, transaction costs, and all other premiums or discounts.

Any subsequent changes in the estimation of the future cash flows are recognised in interest income with the corresponding adjustment to the carrying amount of the assets.

Delayed payment interest (penal interest) levied on customers for delay in repayments/ non payment of contractual cashflows is recognised on realisation.

(ii) Dividend Income

Dividend income is recognised when the right to receive the payment is established.

(iii) Fees & Commission Income

Fees and commissions are recognised when the Company satisfies the performance obligation, at fair value of the consideration received or receivable based on a five-step model as set out below, unless included in the effective interest calculation:

Step 1: Identify contract(s) with a customer: A contract is defined as an agreement between two or more parties that creates enforceable rights and obligations and sets out the criteria for every contract that must be met.

Step 2: Identify performance obligations in the contract: A performance obligation is a promise in a contract with a customer to transfer a good or service to the customer.

Step 3: Determine the transaction price: The transaction price is the amount of consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

Step 4: Allocate the transaction price to the performance obligations in the contract: For a contract that has more than one performance

Significant Accounting Policies forming part of Financial Statements

for the year ended 31 March 2022

obligation, the Company allocates the transaction price to each performance obligation in an amount that depicts the amount of consideration to which the Company expects to be entitled in exchange for satisfying each performance obligation.

Step 5: Recognise revenue when (or as) the Company satisfies a performance obligation

Foreclosure charges are collected from loan customers for early payment/ closure of loan and are recognized on realization.

Initial money Deposit charges are collected from customers for document processing, which is non refundable in the nature and are recognized on realization basis

(iv) Net gain on Fair value changes

Any differences between the fair values of financial assets classified as FVTPL held by the Company on the balance sheet date is recognised as an unrealised gain/ loss. In cases there is a net gain in the aggregate, the same is recognised in "Net gains on fair value changes" under Revenue from operations and if there is a net loss the same is disclosed as "Net loss on fair value changes" under Expenses in the Statement of Profit and Loss.

Similarly, any realised gain or loss on sale of financial instruments measured at FVTPL and debt instruments measured at FVOCI is recognised in net gain/ loss on fair value changes.

However, Net gain/ loss on derecognition of financial instruments classified as amortised cost is presented separately under the respective head in the Statement of Profit and Loss.

(v) Loan Processing Fees

Processing fees on loans is collected towards processing of loan, this is amortised on EIR basis over the contractual life of the loan.

(vi) Other Operating Income

The Company recognises income on recoveries of financial assets written off on realisation or when the right to receive the same without any uncertainties of recovery is established.

2.6 Expenses

(i) Finance costs

Finance costs on borrowings is paid towards availing of loan, is amortised on EIR basis over the contractual life of loan.

The EIR in case of a financial liability is computed

- a) As the rate that exactly discounts estimated future cash payments through the expected

life of the financial liability to the gross carrying amount of the amortised cost of a financial liability.

- b) By considering all the contractual terms of the financial instrument in estimating the cash flows
- c) Including all fees paid between parties to the contract that are an integral part of the effective interest rate, transaction costs, and all other premiums or discounts.

Any subsequent changes in the estimation of the future cash flows are recognised in interest expense with the corresponding adjustment to the carrying amount of the liability.

Interest expense includes issue costs that are initially recognized as part of the carrying value of the financial liability and amortized over the expected life using the effective interest method. These include fees and commissions payable to advisers and other expenses such as external legal costs, Rating Fee etc, provided these are incremental costs that are directly related to the issue of a financial liability.

(ii) Retirement and other employee benefits

Short term employee benefit

All employee benefits payable wholly within twelve months of rendering the service are classified as short-term employee benefits. These benefits include short term compensated absences such as paid annual leave. The undiscounted amount of short-term employee benefits expected to be paid in exchange for the services rendered by employees is recognised as an expense during the period. Benefits such as salaries and wages, etc. and the expected cost of the bonus/ ex-gratia are recognised in the period in which the employee renders the related service.

Post-employment employee benefits

a) Defined contribution schemes

All the eligible employees of the Company who have opted to receive benefits under the Provident Fund and Employees State Insurance scheme, defined contribution plans in which both the employee and the Company contribute monthly at a stipulated rate. The Company has no liability for future benefits other than its annual contribution and recognises such contributions as an expense in the period in which employee renders the related service. If the contribution payable to the scheme for service received before the Balance Sheet date exceeds the contribution already paid, the deficit payable to the scheme is recognised as a liability after deducting the

Significant Accounting Policies forming part of Financial Statements

for the year ended 31 March 2022

contribution already paid. If the contribution already paid exceeds the contribution due for services received before the Balance Sheet date, then excess is recognised as an asset to the extent that the pre-payment will lead to, for example, a reduction in future payment or a cash refund.

b) *Defined Benefit schemes*

The Company provides for the gratuity, a defined benefit retirement plan covering all employees. The plan provides for lump sum payments to employees upon death while in employment or on separation from employment after serving for the stipulated years mentioned under 'The Payment of Gratuity Act, 1972'. The present value of the obligation under such defined benefit plan is determined based on actuarial valuation, carried out by an independent actuary at each Balance Sheet date, using the Projected Unit Credit Method, which recognizes each period of service as giving rise to an additional unit of employee benefit entitlement and measures each unit separately to build up the final obligation.

The obligation is measured at the present value of the estimated future cash flows. The discount rates used for determining the present value of the obligation under defined benefit plan are based on the market yields on Government Securities as at the Balance Sheet date.

Net interest recognized in profit or loss is calculated by applying the discount rate used to measure the defined benefit obligation to the net defined benefit liability or asset. The actual return on the plan assets above or below the discount rate is recognized as part of re-measurement of net defined liability or asset through other comprehensive income. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, attrition rate, future salary increases and mortality rates. Due to the complexities involved in the valuation and its long-term nature, these liabilities are highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

The Company fully contributes all ascertained liabilities to The Trustees - "SBFC Finance Private Limited employees group gratuity cash accumulation scheme". Trustees administer contributions made to the trust and contributions are invested in a scheme of

insurance with the IRDA approved Insurance Company- Life Insurance Corporation of India.

Re-measurement, comprising of actuarial gains and losses and the return on plan assets (excluding amounts included in net interest on the net defined benefit liability), are recognized immediately in the balance sheet with a corresponding debit or credit to retained earnings through OCI in the period in which they occur. Re-measurements are not reclassified to profit and loss in subsequent periods.

Other employee benefits

Company's liabilities towards compensated absences to employees are accrued on the basis of valuations, as at the Balance Sheet date, carried out by an independent actuary using Projected Unit Credit Method. Actuarial gains and losses comprise experience adjustments and the effects of changes in actuarial assumptions and are recognised immediately in the Statement of Profit and Loss.

The Company presents the Provision for compensated absences under provisions in the Balance Sheet.

Share-based payment arrangements

The stock options granted to employees pursuant to the Company's Stock Options Schemes, are measured at the fair value of the options at the grant date using Black Scholes Model. The fair value of the options determined at grant date is treated as discount and accounted as employee compensation cost over the vesting period on a straight line basis over the period of option, based on the number of grants expected to vest, with corresponding increase in equity. The employee stock option outstanding account is shown under Reserves and Surplus.

The Company has created an Employee Welfare Trust for providing share-based payment to its employees for (a) Small Business Fincredit Stock Option Policy I 2018 and (b) SBFC Stock Option Policy 2021 - I policies. The Company uses the Trust as a vehicle for distributing shares to employees under the employee remuneration schemes for the above mentioned two policies. The Company allots shares to the Trustee of the Trust, for giving shares to employees. The Company treats Trust as its extension and shares held by the Trust are treated as treasury shares.

(iii) Leases:

The Company evaluates if an arrangement qualifies to be a lease as per the requirements of Ind AS 116. Identification of a lease requires significant judgment. The Company uses significant judgement

Significant Accounting Policies forming part of Financial Statements

for the year ended 31 March 2022

in assessing the lease term (including anticipated renewals) and the applicable discount rate. The Company determines the lease term as the non-cancellable period of a lease, together with both periods covered by an option to extend the lease if the Company is reasonably certain to exercise that option; and periods covered by an option to terminate the lease if the Company is reasonably certain not to exercise that option. In assessing whether the Company is reasonably certain to exercise an option to extend a lease, or not to exercise an option to terminate a lease, it considers all relevant facts and circumstances that create an economic incentive for the Company to exercise the option to extend the lease, or not to exercise the option to terminate the lease. The Company revises the lease term if there is a change in the non-cancellable period of a lease. The discount rate is generally based on the incremental borrowing rate. The Company makes assessment on the expected lease term on lease by lease basis and thereby assesses whether it is reasonably certain that any option to extend or terminate the contract will be exercised. In evaluating the lease term, the Company considers factors such as any significant leasehold improvements undertaken over the lease term, costs relating to termination of lease and the importance of the underlying to the Company's operation taking into account the location of the underlying asset and the availability of the suitable alternatives. The lease term in future periods is reassessed to ensure that the lease term reflect the current economic circumstances.

The right-of-use assets is subsequently measured at cost less accumulated depreciation, accumulated impairment losses, if any, and adjusted for any remeasurement of the lease liability.

The right-of-use assets is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset. Right-of-use assets are tested for impairment whenever there is any indication that their carrying amounts may not be recoverable. Impairment loss, if any, is recognised in the statement of profit and loss.

The company recognises the amount of the re-measurement of lease liability due to modification as an adjustment to the right-of-use asset and statement of profit and loss depending upon the nature of modification. Where the carrying amount of the right-of-use asset is reduced to zero and there is a further reduction in the measurement of the lease liability, the Company recognises any remaining amount of the re-measurement in statement of profit and loss.

The Company has elected not to apply the requirements of Ind AS 116 Leases to short-term

leases of all assets that have a lease term of 12 months or less and leases for which the underlying asset is of low value. The lease payments associated with these leases are recognized as an expense on a straight-line basis over the lease term.

(iv) Other income and expenses

All Other income and expense are recognized in the period they occur.

(v) Impairment of non-financial assets

The carrying amount of assets is reviewed at each balance sheet date if there is any indication of impairment based on internal/ external factors. An impairment loss is recognized wherever the carrying amount of an asset exceeds its recoverable amount. The recoverable amount is the greater of the assets, net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and risks specific to the asset.

In determining net selling price, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used. After impairment, depreciation is provided on the revised carrying amount of the asset over its remaining useful life.

(vi) Taxes

Current Tax

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from, or paid to, the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted, or substantively enacted, by the reporting date in the countries where the Company operates and generates taxable income.

Current income tax relating to items recognised outside profit or loss is recognised outside profit or loss (either in other comprehensive income or in equity). Current tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Deferred tax

Deferred tax assets and liabilities are recognised for temporary differences arising between the tax bases of assets and liabilities and their carrying amounts. Deferred income tax is determined using

Significant Accounting Policies forming part of Financial Statements

for the year ended 31 March 2022

tax rates (and laws) that have been enacted or substantively enacted by the reporting date and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

Deferred tax assets are only recognised for temporary differences, unused tax losses and unused tax credits if it is probable that future taxable amounts will arise to utilise those temporary differences and losses. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Deferred tax assets and liabilities are offset where there is a legally enforceable right to offset current tax assets and liabilities and they relate to income taxes levied by the same tax authority on the same taxable entity.

Goods and services tax/ service tax/ value added taxes paid on acquisition of assets or on incurring expenses:

Expenses and assets are recognised net of the goods and services tax/ service tax/ value added taxes paid, except:

- i. When the tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case, the tax paid is recognised as part of the cost of acquisition of the asset or as part of the expense item, as applicable
- ii. When receivables and payables are stated with the amount of tax included

The net amount of tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the balance sheet.

2.7. Cash and cash equivalents

Cash and cash equivalents comprise the net amount of short-term, highly liquid investments that are readily convertible to known amounts of cash (short-term deposits with an original maturity of three months or less) and are subject to an insignificant risk of change in value. They are held for the purposes of meeting short-term cash commitments (rather than for investment or other purposes).

For the purpose of the statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above.

2.8. Property, plant and equipment

Property, plant and equipment (PPE) are measured at cost less accumulated depreciation and accumulated impairment, (if any). The total cost of assets comprises its purchase price, freight, duties, taxes and any other

incidental expenses directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by the management. Changes in the expected useful life are accounted for by changing the amortisation period or methodology, as appropriate, and treated as changes in accounting estimates.

Subsequent expenditure related to an item of tangible asset are added to its gross value only if it increases the future benefits of the existing asset, beyond its previously assessed standards of performance and cost can be measured reliably. Other repairs and maintenance costs are expensed off as and when incurred.

Depreciation

Depreciation is calculated using the straight line method to write down the cost of property and equipment to their residual values over their estimated useful lives which is in line with the estimated useful life as specified in Schedule II of the Act. The estimated useful lives are as prescribed by Schedule II of the Act. The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

Property plant and equipment is derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in other income/expense in the statement of profit and loss in the year the asset is derecognised. The date of disposal of an item of property, plant and equipment is the date the recipient obtains control of that item in accordance with the requirements for determining when a performance obligation is satisfied in Ind AS 115.

2.9. Intangible assets

An intangible asset is recognised only when its cost can be measured reliably, and it is probable that the expected future economic benefits that are attributable to it will flow to the Company.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of an intangible asset comprises its purchase price and any directly attributable expenditure on making the asset ready for its intended use and net of any trade discounts and rebates. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year-end. Changes in the expected useful life, or the expected pattern of consumption of

Significant Accounting Policies forming part of Financial Statements

for the year ended 31 March 2022

future economic benefits embodied in the asset, are accounted for by changing the amortisation period or methodology, as appropriate, which are then treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is presented as a separate line item in the statement of profit and loss. Amortisation on assets acquired/ sold during the year is recognised on a pro-rata basis to the Statement of Profit and Loss from/ upto the date of acquisition/ sale.

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives. Intangible assets comprising of software are amortised on a straight-line basis over a period of 5 years, unless it has a shorter useful life.

Intangible assets with indefinite useful life is tested for impairment at each reporting period.

Gains or losses from derecognition of intangible assets are measured as the difference between the net disposal proceeds and the carrying amount of the asset are recognised in the Statement of Profit and Loss when the asset is derecognised.

2.10. Provisions

Provisions are recognised when the enterprise has a present obligation (legal or constructive) as a result of past events, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation.

When the effect of the time value of money is material, the enterprise determines the level of provision by discounting the expected cash flows at a pre-tax rate reflecting the current rates specific to the liability. The expense relating to any provision is presented in the Statement of Profit and Loss net of any reimbursement.

2.11. Contingent Liabilities

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Company or a present obligation that is not recognized because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases where there is a liability that cannot be recognized because it cannot be measured reliably. The Company does not recognize a contingent liability but discloses its existence in the financial statements.

Commitments

Commitments are future liabilities for contractual expenditure, classified and disclosed as follows:

- estimated amount of contracts remaining to be executed on capital account and not provided for;
- Other non-cancellable commitments, if any, to the extent they are considered material and relevant in the opinion of management.

2.12. Earnings Per Share

The Company reports basic and diluted earnings per share in accordance with Ind AS 33 on Earnings per share. Basic EPS is calculated by dividing the net profit or loss for the year attributable to equity shareholders (after deducting preference dividend and attributable taxes) by the weighted average number of equity shares outstanding during the year.

For the purpose of calculating diluted earnings per share, the net profit or loss for the year attributable to equity shareholders and the weighted average number of shares outstanding during the year are adjusted for the effects of all dilutive potential equity shares. Dilutive potential equity shares are deemed converted as of the beginning of the period, unless they have been issued at a later date. In computing the dilutive earnings per share, only potential equity shares that are dilutive and that either reduces the earnings per share or increases loss per share are included.

2.13. Segments

Based on "Management Approach" as defined by Ind AS 108, The Chief Operating Decision Maker (CODM) evaluates the "Operating Segments". Operating segments are reported in a manner consistent with the internal reporting provided to the CODM. The accounting policies adopted for segment reporting are in conformity with the accounting policies adopted for the Company.

2.14. Significant accounting judgements, estimates and assumptions

The preparation of financial statements in conformity with the Ind AS requires the management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the accompanying disclosure and the disclosure of contingent liabilities, at the end of the reporting period. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised, and future periods are affected. Although these estimates are based on the management's best knowledge of current events and actions, uncertainty about these assumptions and estimates could result in the outcomes requiring a material adjustment to the carrying amounts of assets or liabilities in future periods.

In particular, information about significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have the most

Significant Accounting Policies forming part of Financial Statements

for the year ended 31 March 2022

significant effect on the amounts recognized in the financial statements is included in the following notes:

2.14.1 Impairment of loans portfolio

The measurement of impairment losses across all categories of financial assets requires judgement, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a significant increase in credit risk. These estimates are driven by a number of factors, changes in which can result in different levels of allowances.

It has been the Company's policy to regularly review its models in the context of actual loss experience and adjust when necessary.

2.14.2 Effective Interest Rate (EIR) method

The Company's EIR methodology, recognises interest income/ expense using a rate of return that represents the best estimate of a constant rate of return over the expected behavioural life of loans given/ taken and recognises the effect of potentially different interest rates at various stages and other characteristics of the product life cycle (including prepayments and penalty interest and charges).

This estimation, by nature, requires an element of judgement regarding the expected behaviour and life-cycle of the instruments, as well expected changes to the base rate and other fee income/ expense that are integral parts of the instrument

2.14.3 Share-Based Payments

Estimating fair value for share-based payment transactions requires use of an appropriate valuation model. The Company measures the cost of equity-settled transactions with employees using Black-Scholes Model to determine the fair value of the options on the grant date.

Inputs into the valuation model, includes assumption such as the expected life of the share option, volatility and dividend yield.

Further details used for estimating fair value for share-based payment transactions are disclosed in Note 40.

2.15 Operating Cycle

Based on the nature of products/ activities of the Company and the normal time between acquisition of assets and their realisation in cash or cash equivalents, the Company has determined its operating cycle as 12 months.

2.16 Recent Accounting Pronouncements

Ministry of Corporate Affairs ('MCA') notifies new standard or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. On 23 March 2022, MCA issued the Companies (Indian Accounting Standards) Amendment Rules, 2022, applicable from 1 April 2022, as below:

Ind AS 103 – Reference to Conceptual Framework

The amendments specify that to qualify for recognition as part of applying the acquisition method, the identifiable assets acquired and liabilities assumed must meet the definitions of assets and liabilities in the Conceptual Framework for Financial Reporting under Indian Accounting Standards (Conceptual Framework) issued by the Institute of Chartered Accountants of India at the acquisition date. These changes do not significantly change the requirements of Ind AS 103. The Company does not expect the amendment to have any significant impact in its financial statements.

Ind AS 16 – Proceeds before intended use

The amendments mainly prohibit an entity from deducting from the cost of property, plant and equipment amounts received from selling items produced while the Company is preparing the asset for its intended use. Instead, an entity will recognise such sales proceeds and related cost in profit or loss. The Company does not expect the amendments to have any impact in its recognition of its property, plant and equipment in its financial statements.

Ind AS 37 – Onerous Contracts - Costs of Fulfilling a Contract

The amendments specify that that the 'cost of fulfilling' a contract comprises the 'costs that relate directly to the contract'. Costs that relate directly to a contract can either be incremental costs of fulfilling that contract (examples would be direct labour, materials) or an allocation of other costs that relate directly to fulfilling contracts. The amendment is essentially a clarification and the Company does not expect the amendment to have any significant impact in its financial statements.

Ind AS 109 – Annual Improvements to Ind AS (2021)

The amendment clarifies which fees an entity includes when it applies the '10 percent' test of Ind AS 109 in assessing whether to derecognise a financial liability. The Company does not expect the amendment to have any significant impact in its financial statements.

Notes forming part of Financial Statements

for the year ended 31 March 2022

3 Cash and cash equivalents

(₹ In Lakh)

Particulars	As at 31 March 2022	As at 31 March 2021
(i) Cash in hand	752.57	673.51
(ii) Balances with banks:		
- In current accounts	3,994.03	8,950.80
- In fixed deposit with original maturity of less than 3 months	10,400.00	4,100.00
- Interest accrued but not due	0.99	0.45
Total	15,147.59	13,724.76

Short-term deposits are made for varying periods of between one day and three months, depending on the immediate cash requirements of the Company, and earn interest at the respective short-term deposit rates.

4 Bank balances other than cash and cash equivalents

(₹ In Lakh)

Particulars	As at 31 March 2022	As at 31 March 2021
In other deposit accounts		
- original maturity more than 3 months	18,048.89	19,363.74
- Interest accrued but not due	332.85	946.86
Total	18,381.74	20,310.60

The amount of ₹18,048.89 Lakh (Previous Year ₹19,363.74 Lakh) above includes:-

- ₹1,100.00 Lakh (Previous Year ₹1,768.40 Lakh) kept as Credit Enhancement in Securitisation transactions.
- ₹13,652.89 Lakh (Previous Year ₹13,652.89 Lakh) kept as lien in connection with borrowings in the form of term loans from State Bank of India.
- ₹3,296.00 Lakh (Previous Year ₹3,501.58 Lakh) kept as deposit with trust in connection with Investment in Pass Through Certificates.

5 Trade receivables

(₹ In Lakh)

Particulars	As at 31 March 2022	As at 31 March 2021
Receivables Considered good- Secured	-	-
Receivables Considered good- Unsecured	644.90	196.22
Receivables which have significant increase in credit risk	-	-
Receivables credit impaired	-	-
Unbilled Trade Receivables	181.89	182.85
	826.79	379.07
Less: Impairment Loss Allowance	-	-
Total	826.79	379.07

Note:

1. No trade receivables are due from directors or other officers of the Company either severally or jointly with any other person. Further, no trade receivables are due from firms or private companies respectively in which any director is a partner, a director or a member.
2. No ECL provision is required due to the short term nature of these receivables.

Notes forming part of Financial Statements

for the year ended 31 March 2022

Ageing of Trade Receivables as on 31 March 2022:

(₹ In Lakh)

Particulars	Unbilled	Not due for payment	Outstanding for following periods from due date of payment					Total
			Less than 6 Months	6 Months - 1 Year	1-2 Years	2-3 Years	More than 3 Years	
(i) Undisputed Trade receivables- considered good	181.89	-	567.84	34.93	42.13	-	-	826.79
(ii) Undisputed Trade receivables- which have significant increase in credit risk	-	-	-	-	-	-	-	-
(iii) Undisputed Trade receivables- credit impaired	-	-	-	-	-	-	-	-
(iv) Disputed Trade Receivables- considered good	-	-	-	-	-	-	-	-
(v) Disputed Trade Receivables- which have significant increase in credit risk	-	-	-	-	-	-	-	-
(vi) Disputed Trade Receivables- credit impaired	-	-	-	-	-	-	-	-
Total	181.89	-	567.84	34.93	42.13	-	-	826.79

Ageing of Trade Receivables as on 31 March 2021:

(₹ In Lakh)

Particulars	Unbilled	Not due for payment	Outstanding for following periods from due date of payment					Total
			Less than 6 Months	6 Months - 1 Year	1-2 Years	2-3 Years	More than 3 Years	
(i) Undisputed Trade receivables- considered good	182.85	-	191.72	-	4.50	-	-	379.07
(ii) Undisputed Trade receivables- which have significant increase in credit risk	-	-	-	-	-	-	-	-
(iii) Undisputed Trade receivables- credit impaired	-	-	-	-	-	-	-	-
(iv) Disputed Trade Receivables- considered good	-	-	-	-	-	-	-	-
(v) Disputed Trade Receivables- which have significant increase in credit risk	-	-	-	-	-	-	-	-
(vi) Disputed Trade Receivables- credit impaired	-	-	-	-	-	-	-	-
Total	182.85	-	191.72	-	4.50	-	-	379.07

Notes forming part of Financial Statements

for the year ended 31 March 2022

6 Loans

(₹ In Lakh)

Particulars	As at 31 March 2022		As at 31 March 2021	
	Amortised cost	Total	Amortised cost	Total
Loan against Property	2,17,147.79	2,17,147.79	1,37,764.56	1,37,764.56
Loan against Gold	65,100.45	65,100.45	57,605.95	57,605.95
Unsecured Loan	22,414.27	22,414.27	21,708.19	21,708.19
Unsecured Loan- Staff Loans	206.19	206.19	154.13	154.13
Total (A)- Gross	3,04,868.70	3,04,868.70	2,17,232.83	2,17,232.83
Less: Expected credit loss	(6,627.45)	(6,627.45)	(6,524.86)	(6,524.86)
Total (A)- Net	2,98,241.25	2,98,241.25	2,10,707.97	2,10,707.97
(a) Secured by tangible assets	2,82,248.24	2,82,248.24	1,95,370.51	1,95,370.51
(b) Unsecured	22,620.46	22,620.46	21,862.32	21,862.32
Total (B)- Gross	3,04,868.70	3,04,868.70	2,17,232.83	2,17,232.83
Less: Expected credit loss	(6,627.45)	(6,627.45)	(6,524.86)	(6,524.86)
Total (B)- Net	2,98,241.25	2,98,241.25	2,10,707.97	2,10,707.97
Loans in India				
(i) Public Sector	-	-	-	-
(ii) Others	3,04,868.70	3,04,868.70	2,17,232.83	2,17,232.83
Total (C)- Gross	3,04,868.70	3,04,868.70	2,17,232.83	2,17,232.83
Less: Expected credit loss	(6,627.45)	(6,627.45)	(6,524.86)	(6,524.86)
Total (C)- Net	2,98,241.25	2,98,241.25	2,10,707.97	2,10,707.97

Notes:

- The Company's business model is to collect contractual cash flows, being the payment of Principal and Interest and accordingly the loans are measured at amortized cost.
- Loans granted by the Company aggregating to ₹2,82,248.24 Lakh (Previous Year ₹1,95,370.51 Lakh) are secured or partly secured by one or a combination of the following securities:- Registered/ equitable mortgage of property, Hypothecation of assets including Gold.
- Loans where fraud has been committed/ reported: ₹451.66 Lakh (Previous year: ₹266.04 Lakh) [Refer Note 53.12.7]
- The Company has not provided any loans or advances to promoters, directors, KMPs and the related parties.
- Unsecured Loans includes unsecured Business Loans which is guaranteed by Credit Guarantee Fund Trust for Micro and Small Enterprises amounting to ₹1,098.63 Lakh (Previous year ₹3,773.29 Lakh)

Notes forming part of Financial Statements

for the year ended 31 March 2022

7 Investments

(₹ In Lakh)

Particulars	As at 31 March 2022	As at 31 March 2021
At fair value through profit or loss		
Investment in mutual funds- quoted	30,831.81	39,540.98
At amortized cost		
Investment in Pass through certificates (PTC)	53,979.46	1,08,883.93
Total (A)	84,811.27	1,48,424.91
(i) Investments outside India	-	-
(ii) Investments in India	84,811.27	1,48,424.91
Total (B)	84,811.27	1,48,424.91
Less: Allowance for Impairment loss (C)	-	-
Total - Net (D)= (A)-(C)	84,811.27	1,48,424.91

Note:

- (a) During the year, the Company has sold Investment in Pass Through Certificates amounting to ₹10,055.28 Lakh (Previous year ₹14,409.57 Lakh) and recognized gain of ₹233.11 Lakh (Previous year ₹396.82 Lakh) on this transaction. (Refer Note 24)
- (b) There is no credit loss provision for existing Investment in Pass Through Certificates considering the performance of the underlying loans and the risk cover.

8 Other financial assets

(₹ In Lakh)

Particulars	As at 31 March 2022	As at 31 March 2021
Security deposits- unsecured	297.33	226.34
Receivables on sale of Investment in PTC*	25.29	238.26
Receivable from trusts	19.06	-
Total	341.68	464.60

* The Company has created an interest receivable strip, with corresponding credit to statement of profit and loss, which has been computed by discounting excess interest spread to present value.

9 Current tax assets (net)

(₹ In Lakh)

Particulars	As at 31 March 2022	As at 31 March 2021
Advance income tax [Net of provision for income tax of ₹6,862.78 Lakh (Previous year ₹4,232.19 Lakh)]	3,419.17	2,064.18
Total	3,419.17	2,064.18

Notes forming part of Financial Statements

for the year ended 31 March 2022

10 Property, plant and equipment, Other intangible assets, Intangible assets under development, Goodwill

(₹ In Lakh)

Particulars	Property, plant and equipment					Other intangible assets			Intangible assets under development	Goodwill
	Computers	Furniture and fixtures	Office equipments	Motor car	Buildings Right-of-use (Refer Note 43.1)	Total	Computer Software	Trademark and Patent	Computer Software	Goodwill (Refer Note 45)
Gross Block										
As at 1 April 2020	245.02	1,050.01	240.29	-	2,554.60	4,089.92	227.96	6.86	234.82	26,039.23
Additions	117.45	959.09	173.60	29.13	489.00	1,768.27	122.17	-	33.32	-
Disposals	9.31	16.30	28.10	-	226.75	280.46	25.79	-	-	-
Reclassification on account of adjustment of Ind AS 116 (Refer Note 43.1)	-	-	-	-	160.50	160.50	-	-	-	-
As at 31 March 2021	353.16	1,992.80	385.79	29.13	2,977.35	5,738.23	324.34	6.86	331.20	26,039.23
Additions	291.87	300.69	141.82	-	193.11	927.49	236.42	-	-	-
Disposals	-	-	0.48	-	264.03	264.51	-	-	33.32	-
As at 31 March 2022	645.03	2,293.49	527.13	29.13	2,906.43	6,401.21	560.76	6.86	567.62	26,039.23
Depreciation and Amortization:										
As at 1 April 2020										
Additions	111.85	196.12	118.85	-	522.74	949.56	129.33	3.25	132.58	-
Disposals	81.30	196.06	56.83	1.56	552.00	887.75	50.89	1.37	52.26	-
Reclassification on account of adjustment of Ind AS 116 (Refer Note 43.1)	9.22	9.31	26.45	-	-	44.98	25.79	-	25.79	-
	-	-	-	-	45.81	45.81	-	-	-	-
As at 31 March 2021	183.93	382.87	149.23	1.56	1,120.55	1,838.14	154.43	4.62	159.05	-
Additions	149.62	216.69	80.39	3.64	647.80	1,098.14	78.58	1.37	79.95	-
Disposals	-	-	0.24	-	105.64	105.88	-	-	-	-
As at 31 March 2022	333.55	599.56	229.38	5.20	1,662.71	2,830.40	233.01	5.99	239.00	-
Net Block:										
As at 31 March 2021	169.23	1,609.93	236.56	27.57	1,856.80	3,900.09	169.91	2.24	172.15	26,039.23
As at 31 March 2022	311.48	1,693.93	297.75	23.93	1,243.72	3,570.81	327.75	0.87	328.62	26,039.23

Note:

- (a) There have been no acquisitions through business combinations.
 (b) There is no revaluation of Property, plant and equipment and other intangible assets during the year ended 31 March 2022 and 31 March 2021.

Notes forming part of Financial Statements

for the year ended 31 March 2022

10.1 Intangible assets under development ageing schedule as on 31 March 2022:

(₹ In Lakh)

Intangible assets under development	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress			Nil		

Intangible assets under development ageing schedule as on 31 March 2021:

(₹ In Lakh)

Intangible assets under development	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	33.32	-	-	-	33.32

11 Other non-financial assets

(₹ In Lakh)

Particulars	As at 31 March 2022	As at 31 March 2021
Prepaid expenses	196.24	184.39
Balance with government authorities	-	10.39
Deferred lease rentals	-	104.73
Less: Reclassification on account of adjustment of Ind AS 116 to Right-of-use assets (Refer Note 43.1)	-	(104.73)
Advance to suppliers	138.25	82.33
Capital advances	61.00	90.08
Total	395.49	367.19

12 Payables

(A) Trade payables

(₹ In Lakh)

Particulars	As at 31 March 2022	As at 31 March 2021
Total outstanding dues of micro enterprises and small enterprises	-	-
Total outstanding dues of creditors other than micro enterprises and small enterprises	1,407.68	1,036.74
Total	1,407.68	1,036.74

12.1 The Company had requested its supplier to confirm the status so as to whether they are covered under the Micro, Small and Medium Enterprises Development Act, 2006 and is in the continuous process of obtaining such confirmation from its suppliers. The disclosure relating to unpaid amount as at the year end together with interest paid/ payable as required under the said Act have been given to the extent such parties could be identified on the basis of the information available with the Company regarding the status of the suppliers under MSMED Act, 2006.

(₹ In Lakh)

Particulars	As at 31 March 2022	As at 31 March 2021
Principal amount due to suppliers under MSMED Act, as at the year end (since paid)	-	-
Interest accrued and due to suppliers under MSMED Act, on the above amount as at the year end	-	-
Payment made to suppliers (other than interest) beyond the appointed day, during the year	-	-
Interest paid to suppliers under MSMED Act	-	-
Interest due and payable to suppliers under MSMED Act, for payments already made	-	-
Interest accrued and remaining unpaid at the year end to suppliers under MSMED Act	-	-

The aforementioned is based on the responses received by the Company to its inquiries with suppliers with regard to applicability under the said Act. This has been relied upon by the auditors.

Notes forming part of Financial Statements

for the year ended 31 March 2022

Ageing of Trade payables as on 31 March 2022:

(₹ In Lakh)

Particulars	Unbilled	Not due for payment	Outstanding for following periods from due date of payment				Total
			Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years	
(i) MSME	-	-	-	-	-	-	-
(ii) Others	681.80	-	684.34	41.54	-	-	1,407.68
(iii) Disputed dues - MSME	-	-	-	-	-	-	-
(iv) Disputed dues - Others	-	-	-	-	-	-	-
Total	681.80	-	684.34	41.54	-	-	1,407.68

Ageing of Trade payables as on 31 March 2021:

(₹ In Lakh)

Particulars	Unbilled	Not due for payment	Outstanding for following periods from due date of payment				Total
			Less than 1 Year	1-2 Years	2-3 Years	More than 3 Years	
(i) MSME	-	-	-	-	-	-	-
(ii) Others	569.72	-	467.00	0.02	-	-	1,036.74
(iii) Disputed dues - MSME	-	-	-	-	-	-	-
(iv) Disputed dues - Others	-	-	-	-	-	-	-
Total	569.72	-	467.00	0.02	-	-	1,036.74

(B) Other payables

(₹ In Lakh)

Particulars	As at 31 March 2022	As at 31 March 2021
Total outstanding dues of micro enterprises and small enterprises	-	-
Total outstanding dues of creditors other than micro enterprises and small enterprises	619.71	705.26
Total	619.71	705.26

13 Debt securities

(₹ In Lakh)

Particulars	As at 31 March 2022	As at 31 March 2021
At amortized cost		
Secured		
Privately Placed redeemable Non Convertible Debentures	4,300.00	15,000.00
Total (A)	4,300.00	15,000.00
Debt securities in India	4,300.00	15,000.00
Debt securities outside India	-	-
Total (B)	4,300.00	15,000.00

13.1 No Non Convertible Debentures is guaranteed by directors and/ or others.

13.2 Terms of repayment of privately placed redeemable non convertible debentures:

(₹ In Lakh)

Tenure (from the date of Balance Sheet)	As at 31 March 2022		As at 31 March 2021	
	Rate of Interest	Amount	Rate of Interest	Amount
Due within 3 years	8.57%	4,300.00	9.25% - 9.30%	15,000.00
Total		4,300.00		15,000.00
Effective interest rate adjustment		-		-
Net Amount		4,300.00		15,000.00

Notes forming part of Financial Statements

for the year ended 31 March 2022

13.3 Details of Secured Redeemable Non Convertible Debentures:

(₹ In Lakh)

Name of Securities	Number	Allotment Date	Redemption Date	As at 31 March 2022	As at 31 March 2021
9.25% Non Convertible Debentures- SERIES A	250	03-Aug-20	02-Feb-22	-	2,500.00
9.25% Non Convertible Debentures- SERIES A	500	11-Aug-20	10-Feb-22	-	5,000.00
9.30% Non Convertible Debentures- SERIES A	250	17-Aug-20	16-Feb-22	-	2,500.00
9.25% Non Convertible Debentures- SERIES A	500	14-Sep-20	16-Mar-22	-	5,000.00
8.57% Non Convertible Debentures- SERIES A	430	06-Aug-21	06-Aug-24	4,300.00	-

Face value of Non Convertible Debentures is ₹ 10 Lakh. These debentures are redeemable at the end of 18 to 36 months from the date of allotment. Payment of Interest is yearly and principal repayment at maturity.

13.4 The debentures are secured by way of first pari passu charge against the book debts, Investment in PTC and loan assets of the Company which are standard. Minimum security cover of 1.1 times is required to be maintained throughout the year.

14 Borrowings (other than debt securities)

(₹ In Lakh)

Particulars	As at 31 March 2022	As at 31 March 2021
At amortized cost		
Secured		
Term loans		
- Indian rupee loan from banks		
Gross amount	2,72,536.50	2,52,549.14
Less: Effective interest rate adjustment	(1,247.86)	(1,423.73)
Net amount	2,71,288.64	2,51,125.41
- Indian rupee loan from financial institutions		
Gross amount	12,934.78	3,000.00
Less: Effective interest rate adjustment	(17.84)	(10.32)
Net amount	12,916.94	2,989.68
Collateralized borrowings	5,110.43	6,706.10
Lease liability	1,410.84	1,954.61
Total (A)	2,90,726.85	2,62,775.80
Borrowings in India	2,90,726.85	2,62,775.80
Borrowings outside India	-	-
Total (B) to tally with (A)	2,90,726.85	2,62,775.80

14.1 a) Indian rupee loan from banks: These are secured by way of First Pari Passu charge by way of hypothecation of standard loan receivables of the Company, Investments in PTC and on all other book debts and current assets of the company.

b) Indian rupee loan from financial institutions: These are secured by way of First Pari Passu charge by way of hypothecation of standard loan receivables of the Company, Investments in PTC and on all other book debts and current assets of the company.

14.2 No term loan and any other borrowing is guaranteed by directors and/ or others.

14.3 The Company has not defaulted in repayment of principal and interest during the year and as at balance sheet date 31 March 2022.

14.4 The repayment of borrowings is done monthly and quarterly as per the sanctioned terms.

Notes forming part of Financial Statements

for the year ended 31 March 2022

As at 31 March 2022

(₹ In Lakh)

Terms of Repayment Tenure (from the date of Balance Sheet)	Indian rupee loan from banks		Indian rupee loan from financial institutions		Collateralized Borrowings	
	Rate of Interest	Amount	Rate of Interest	Amount	Rate of Interest	Amount
Due within 3 years	6.76% - 8.91%	1,87,283.24	5.75% - 8.00%	12,934.78	8.30%	1,340.00
Due within 3-5 years	6.76% - 8.91%	74,311.65	-	-	8.30%	991.70
Above 5 years	6.76% - 8.91%	10,941.61	-	-	8.30%	2,778.73
Total		2,72,536.50		12,934.78		5,110.43
Effective interest rate adjustment		(1,247.86)		(17.84)		-
Net amount		2,71,288.64		12,916.94		5,110.43

As at 31 March 2021

(₹ In Lakh)

Terms of Repayment Tenure (from the date of Balance Sheet)	Indian rupee loan from banks		Indian rupee loan from financial institutions		Collateralized Borrowings	
	Rate of Interest	Amount	Rate of Interest	Amount	Rate of Interest	Amount
Due within 3 years	6.32% - 9.20%	1,41,635.83	8.00%	3,000.00	9.20% - 9.52%	1,208.66
Due within 3-5 years	6.32% - 9.20%	68,729.55	-	-	9.20% - 9.52%	989.58
Above 5 years	6.32% - 9.20%	42,183.76	-	-	9.20% - 9.52%	4,507.86
Total		2,52,549.14		3,000.00		6,706.10
Effective interest rate adjustment		(1,423.73)		(10.32)		-
Net amount		2,51,125.41		2,989.68		6,706.10

14.5 The Company has used the borrowings from banks and financial institutions for the specific purpose for which it was taken.

14.6 Collateralized borrowings are secured against pool of Loan Assets. Refer Note 48 for more details.

14.7 Effective 1 April 2019, the Company has adopted Ind AS 116- Leases and applied it to all lease contracts existing on 1 April 2019 using the modified retrospective approach under which the company recognise Lease Liabilities at the initial date of application. At the date of commencement of the lease, the Company has recognised a Lease Liability, except for leases with a term of 12 months or less (short-term leases) and low value leases. Refer Note 43.2 for more details.

15 Other financial liabilities

(₹ In Lakh)

Particulars	As at 31 March 2022	As at 31 March 2021
Interest accrued but not due on borrowings other than debt securities	134.37	151.45
Interest accrued but not due on debt securities	240.29	844.68
Employee benefits payable	33.98	10.68
Book overdraft	16,711.77	12,713.20
Payable on account of PTC pool	5,044.59	9,470.58
Payable to trusts	-	20.44
Total	22,165.00	23,211.03

16 Provisions

(₹ In Lakh)

Particulars	As at 31 March 2022	As at 31 March 2021
Provision for employee benefits		
Gratuity (funded) [Refer Note 39]	24.69	22.53
Variable pay and bonus	995.00	800.00
Total	1,019.69	822.53

Notes forming part of Financial Statements

for the year ended 31 March 2022

17 Deferred tax liabilities (net)

(₹ In Lakh)

Particulars	As at 31 March 2022	As at 31 March 2021
Deferred tax liabilities		
Depreciation	3,723.24	3,730.37
Unamortized processing fees on term loan	318.55	360.92
Mark to market gain on mutual funds	200.44	94.15
Unamortized file processing cost	275.55	134.09
Total Deferred tax liabilities	4,517.78	4,319.53
Deferred tax assets		
Provisions and contingencies	1,646.26	1,457.94
Unamortized processing fees on Loan assets	868.87	470.89
Deferred lease rental	1.81	2.60
Impact on account of lease liabilities	55.57	50.98
Total Deferred tax assets	2,572.51	1,982.41
Deferred tax liabilities (net)	1,945.27	2,337.12

18 Other non-financial liabilities

(₹ In Lakh)

Particulars	As at 31 March 2022	As at 31 March 2021
Statutory dues	602.69	158.95
Total	602.69	158.95

19 Equity share capital

(₹ In Lakh)

Particulars	As at 31 March 2022	As at 31 March 2021
Authorized		
985,000,000 Equity Shares of ₹10 each (Previous Year 985,000,000 Equity Shares of ₹10 each)	98,500.00	98,500.00
15,000,000 Compulsory Convertible Preference Shares of ₹10 each (Previous year 15,000,000 Compulsory Convertible Preference Shares of ₹10 each)	1,500.00	1,500.00
	1,00,000.00	1,00,000.00
Issued, subscribed and paid-up capital (A)		
812,084,395 Equity Shares of ₹10 each, fully paid up (Previous Year 806,759,395 Equity Shares of ₹10 each, fully paid up)	81,208.44	80,675.94
7,350,000 Equity Shares of ₹10 each, ₹2.50 paid up	183.75	-
15,089,287 Equity Shares of ₹10 each, ₹0.50 paid up (Previous Year 15,089,287 Equity Shares of ₹10 each, ₹0.50 paid up)	75.45	75.45
	81,467.64	80,751.39
Treasury shares held through ESOP trust (B)		
7,875,500 Equity Shares of ₹10 each, fully paid up. (Treasury Shares held through ESOP trust) (Previous Year 10,840,000 Equity Shares of ₹10 each, fully paid up)	(787.55)	(1,084.00)
Equity shares [net of treasury shares] [A + B]	80,680.09	79,667.39

Notes forming part of Financial Statements

for the year ended 31 March 2022

19.1 Reconciliation of number of shares outstanding at the beginning and end of the reporting period:

Particulars	As at 31 March 2022		As at 31 March 2021	
	No. of shares	₹ in Lakh	No. of shares	₹ in Lakh
Equity shares outstanding as at the beginning of the year	82,18,48,682	80,751.39	76,74,94,506	75,315.97
Add: Equity shares issued during the year*	1,01,75,000	466.25	5,43,54,176	5,435.42
Add: Equity shares issued upon exercise of options under employee share option plan	25,00,000	250.00	-	-
Equity shares outstanding as at the end of the year	83,45,23,682	81,467.64	82,18,48,682	80,751.39

19.2 Reconciliation of the number of treasury shares outstanding at the beginning and end of the reporting period:

Particulars	As at 31 March 2022		As at 31 March 2021	
	No. of shares	₹ in Lakh	No. of shares	₹ in Lakh
Equity shares outstanding as at the beginning of the year	1,08,40,000	1,084.00	1,08,40,000	1,084.00
Add: Equity shares issued during the year	28,25,000	282.50	-	-
Less: Equity shares transferred upon exercise of options under employee share option plan	(57,89,500)	(578.95)	-	-
Equity shares outstanding as at the end of the year	78,75,500	787.55	1,08,40,000	1,084.00

* On 23 December 2021, the Company had issued and allotted 2,825,000 fully paid up equity shares of ₹10 each at a premium of ₹9 per share to Vistra ITCL (India) Limited, Trustee of SBFC Employee Welfare Trust under the SBFC Stock Option Policy 2021-I.

On 14 January 2022, the Company had issued and allotted on preferential/ private placement basis 7,350,000 partly paid up equity shares of ₹10 each at premium of ₹11.45 per equity share. An amount equivalent to 25% of issue price viz. ₹5.3625 per equity share was received on application.

On 14 February 2022, the Company had issued and allotted 2,500,000 fully paid up equity shares of ₹10 each at premium of ₹2.5 per share under the Small Business Fincredit Stock Option Policy II 2018.

For details of shares reserved for issue under ESOP of the company and shares exercised under ESOP, refer note 40.

19.3 Terms and rights attached to equity shares:

The Company has single class equity shares having a par value of ₹10 per equity share. Accordingly, all equity shares rank equally with regard to dividends and share in the Company's residual assets. The equity shares are entitled to receive dividend as declared from time to time subject to payment of dividend to preference shareholders if any. In the event of liquidation of the Company, the holders of equity shares will be entitled to receive the residual assets of the Company, remaining after distribution of all preferential amounts in proportion to the number of equity shares held. Upon show of hands, every Member present in person and holding any equity share capital therein, shall have one vote, in respect of such capital, on every resolution placed before the Company.

The holders of equity shares are entitled to dividends, if any, proposed by the Board of Directors and approved by Shareholders at the Annual General Meeting.

19.4 Details of shareholders holding more than five percent shares in the Company:

Particulars	As at 31 March 2022		As at 31 March 2021	
	No. of shares	% of Holding	No. of shares	% of Holding
SBFC Holdings PTE Ltd.	60,00,40,000	71.90%	60,00,40,000	73.01%
Arpwood Partners Investment Advisors LLP	12,22,17,177	14.65%	13,08,73,506	15.92%

19.5 Details of shareholding of Promoters of the Company:

Particulars	As at 31 March 2022			As at 31 March 2021		
	No. of shares	% of Holding	% of Change during the year	No. of shares	% of Holding	% of Change during the year
Arpwood Partners Investment Advisors LLP	12,22,17,177	14.65%	(1.28%)	13,08,73,506	15.92%	(1.61%)
Eight 45 Services LLP	2,42,72,805	2.91%	(0.25%)	2,59,91,986	3.16%	(0.11%)
SBFC Holdings Pte. Ltd	60,00,40,000	71.90%	(1.11%)	60,00,40,000	73.01%	0.05%
Arpwood Capital Private Limited	2,99,95,300	3.59%	(0.31%)	3,21,19,790	3.91%	1.73%

Notes forming part of Financial Statements

for the year ended 31 March 2022

20 Other equity

		(₹ In Lakh)	
Particulars	As at 31 March 2022	As at 31 March 2021	
Statutory reserve u/s 45-IC of the RBI Act, 1934			
Balance as at the beginning of the year	2,911.29	1,207.43	
Add: Amount transferred from surplus balance in the Statement of Profit and Loss	1,284.38	1,703.86	
Balance as at the end of the year	4,195.67	2,911.29	
Employee share option outstanding			
Balance as at the beginning of the year	2,167.95	1,778.76	
Add: Charge for the year	296.04	389.19	
Less: Transferred to securities premium pursuant to stock options exercised	(325.06)	-	
Balance as at the end of the year	2,138.93	2,167.95	
Securities premium			
Balance as at the beginning of the year	23,816.63	18,881.27	
Add: Transfer from employee share option outstanding pursuant to stock options exercised	325.06	-	
Add: Premium on issue of share capital	527.14	4,935.36	
Less: Loan to Employee Welfare Trust	(109.51)	-	
Balance as at the end of the year	24,559.32	23,816.63	
Retained Earnings			
Surplus in Statement of Profit and Loss as at the beginning of the year	11,955.50	5,140.06	
Add: Profit for the year	6,421.89	8,519.30	
Less: Transfer to statutory reserve	(1,284.38)	(1,703.86)	
Balance as at the end of the year	17,093.01	11,955.50	
Remeasurement gain/ (loss) on defined benefit plans			
Balance as at the beginning of the year	21.88	8.72	
Add: Other comprehensive income for the year	27.85	13.16	
Balance as at the end of the year	49.73	21.88	
TOTAL	48,036.66	40,873.25	

Statutory reserve u/s 45-IC of the RBI Act, 1934: As required by section 45-IC of the RBI Act 1934, the Company maintains a reserve fund and transfers there in a sum not less than twenty per cent of its net profit every year as disclosed in the statement of profit and loss and before any dividend is declared.

Employee share option outstanding: The Company has a share option scheme under which options to subscribe for the Company's shares have been granted to certain employees including key management personnel. The share-based payment reserve is used to recognize the value of equity-settled share-based payments provided to employees, as part of their remuneration.

Securities Premium: Securities premium is used to record the premium on issue of shares. It can be utilised only for limited purposes in accordance with the provisions of the Companies Act, 2013. In case of equity settled share based payment transactions, the difference between fair value on grant date and nominal value share is accounted as securities premium.

Retained Earnings: Retained earnings are the profits that the Company has earned till date, less any transfers to statutory reserve.

Remeasurement gain/ (loss) on defined benefit plans: It represents the gains/ (losses) arising on account of actuarial valuation of defined benefit obligation.

Notes forming part of Financial Statements

for the year ended 31 March 2022

21 Interest income

(₹ In Lakh)		
Particulars	For the year ended 31 March 2022 On Financial Assets measured at Amortized Cost	For the year ended 31 March 2021 On Financial Assets measured at Amortized Cost
Interest on loans	38,253.82	27,756.75
Interest on deposits from banks	704.65	1,381.16
Interest on investment in Pass Through certificates (PTC)	8,356.10	17,196.20
Total	47,314.57	46,334.11

22 Fees and commission income

(₹ In Lakh)		
Particulars	For the year ended 31 March 2022	For the year ended 31 March 2021
Loan management services fee income	1,364.47	1,712.55
Other fee income	1,359.38	702.77
Total	2,723.85	2,415.32

Note: Fee Income includes Processing Fee on loan against Gold (not subject to EIR), Initial Money Deposit fees and Co-origination fees.

23 Net gain on fair value changes

(₹ In Lakh)		
Particulars	For the year ended 31 March 2022	For the year ended 31 March 2021
(A) Total net gain on fair value changes	1,572.17	910.58
(B) Fair value changes:		
- Realized	1,149.83	536.50
- Unrealized	422.34	374.08
Total	1,572.17	910.58

24 Net gain on derecognition of financial instruments under amortised cost category

(₹ In Lakh)		
Particulars	For the year ended 31 March 2022	For the year ended 31 March 2021
Income on sale of investment in Pass Through certificates (PTC)	233.11	396.82
Total	233.11	396.82

25 Other operating income

(₹ In Lakh)		
Particulars	For the year ended 31 March 2022	For the year ended 31 March 2021
Advertisement income	316.75	-
Other charges	977.62	670.56
Total	1,294.37	670.56

Note: Other charges includes Prepayment charges recovered from the customer amounting to ₹573.67 Lakh (Previous Year ₹424.68 Lakh)

26 Other income

(₹ In Lakh)		
Particulars	For the year ended 31 March 2022	For the year ended 31 March 2021
Interest on income tax refund	4.44	327.65
Gain on lease termination (net of losses)	16.72	21.64
Excess provision/ liabilities no longer required write back	28.78	-
Others	114.99	41.44
Total	164.93	390.73

Note: Others include excess amount received from customers and unwinding of lease deposit.

Notes forming part of Financial Statements

for the year ended 31 March 2022

27 Finance costs (on financial liabilities measured at amortized cost)

(₹ In Lakh)

Particulars	For the year ended 31 March 2022	For the year ended 31 March 2021
Interest on borrowings	20,409.97	21,203.89
Interest on lease liability (Refer Note 43.2)	168.08	196.75
Interest on debt securities	1,480.64	2,422.43
Other interest expenses	2.99	22.47
Total	22,061.68	23,845.54

28 Impairment on financial instruments

(₹ In Lakh)

Particulars	For the year ended 31 March 2022	For the year ended 31 March 2021
Impairment on loans	16.21	2,817.91
Loss on sale to ARC (including loans written off)	4,912.94	546.12
Total	4,929.15	3,364.03

29 Employee benefits expense

(₹ In Lakh)

Particulars	For the year ended 31 March 2022	For the year ended 31 March 2021
Salaries and bonus	9,955.07	7,547.62
Contribution to provident fund and other funds [Refer Note 39(a)]	482.60	338.25
Gratuity expenses [Refer Note 39(b)]	92.32	77.88
Employee share based payment expenses (Refer Note 40)	296.04	389.19
Staff training and welfare expenses	127.42	65.33
Total	10,953.45	8,418.27

30 Other expenses

(₹ In Lakh)

Particulars	For the year ended 31 March 2022	For the year ended 31 March 2021
Travelling and conveyance	349.88	154.97
Printing and stationery	227.94	106.49
Postage, telephone and fax	306.17	165.45
Business promotion expenses	534.05	165.10
Property, plant and equipment/ Intangible assets write off	33.33	8.72
Loss on sale of assets	0.09	-
Repairs and maintenance	68.10	21.89
Office maintenance	866.16	686.81
Legal & professional expenses	1,194.47	637.24
Auditors' remuneration (Refer Note 30.1)	39.14	26.26
Corporate social responsibility expenditure (Refer Note 31)	203.51	13.86
Rent (Refer Note 43.4)	153.45	0.83
Rates and taxes	156.37	394.16
Electricity charges	132.66	90.87
Insurance charges	56.54	32.34
IT expenses	741.37	484.04
Balance written off	247.94	-
Bank charges	145.70	87.46
Miscellaneous expenses	72.47	60.66
Total	5,529.34	3,137.15

Notes forming part of Financial Statements

for the year ended 31 March 2022

30.1 Payments to auditors

Particulars	(₹ In Lakh)	
	For the year ended 31 March 2022	For the year ended 31 March 2021
Audit fees*	33.00	20.00
Tax audit	1.75	2.00
Other tax matters and certification*	3.50	4.24
Reimbursement of expenses*	0.89	0.02
Total	39.14	26.26

Auditors' Remuneration above is excluding Goods and Service Tax.

* Includes ₹9.39 Lakh to erstwhile Statutory Auditor.

31 Corporate Social Responsibility expenditure

Particulars	(₹ In Lakh)	
	For the year ended 31 March 2022	For the year ended 31 March 2021
a) Amount required to be spent by the company during the year	138.64	65.79
b) Amount of expenditure incurred	203.51	13.86
c) Shortfall at the end of the year	-	64.81
d) Total of previous years shortfall	-	-

e) Nature of CSR activities:

- Promoting preventive health care, sanitation and making available safe drinking water
- Promoting livelihood enhancement projects as well as education and employment among children, women and the differently abled.

31.1 Unspent amount of previous year ₹64.81 Lakh had been deposited in separate bank account on 29 April 2021. The entire amount was subsequently spent on 14 May 2021.

31.2 No amount has been spent by the Company for the construction/ acquisition of any new asset during the year ended 31 March 2022 and 31 March 2021.

31.3 There have been no related party transactions during the year ended 31 March 2022 and 31 March 2021 in respect of CSR activities.

32 Income Taxes relating to continuing operations

32.1 Income Tax recognized in profit or loss:

Particulars	(₹ In Lakh)	
	For the year ended 31 March 2022	For the year ended 31 March 2021
Current tax		
In respect of the current year	2,621.22	3,002.37
Deferred tax		
In respect of the current year	(391.85)	(108.56)
Total Income tax expense recognized in the current year relating to continuing operations	2,229.37	2,893.81

Notes forming part of Financial Statements

for the year ended 31 March 2022

32.2 Reconciliation of income tax expense of the year:

The tax charge shown in the statement of profit and loss differs from the tax charge that would apply if all the profits had been charged at India corporate tax rate. A reconciliation between the tax expense and the accounting profit multiplied by India's domestic tax rate for the years ended 31 March 2022 and 2021 is as follows:

(₹ In Lakh)		
Particulars	For the year ended 31 March 2022	For the year ended 31 March 2021
Profit before income tax expense	8,651.26	11,413.11
Income tax rate	25.17%	25.17%
Tax at statutory income tax rate	2,177.35	2,872.45
Tax effect of amounts which are non deductible/ not taxable in calculating taxable income		
Items disallowed (net)	0.80	2.78
CSR expense	51.22	3.49
Unabsorbed depreciation	-	(64.48)
Other comprehensive income	-	(4.42)
Provision for expenses	-	83.99
Income tax expense	2,229.37	2,893.81

33 Deferred tax

The following table shows deferred tax recorded in the Balance sheet and changes recorded in the Income tax expense:

(₹ In Lakh)				
Deferred tax liability (net)	As at 31 March 2021	Recognized in Statement of Profit and Loss	Recognized in OCI	As at 31 March 2022
Deferred tax liability on account of:				
Depreciation and amortization	3,730.37	(7.13)	-	3,723.24
Fair value of investment in mutual funds	94.15	106.29	-	200.44
Unamortized borrowing cost	360.92	(42.37)	-	318.55
Unamortized file processing cost	134.08	141.47	-	275.55
	4,319.52	198.26	-	4,517.78
Deferred tax asset on account of:				
Expected credit loss	1,457.94	188.32	-	1,646.26
Unamortized processing fees	470.89	397.98	-	868.87
Lease liability	53.57	3.81	-	57.38
	1,982.40	590.11	-	2,572.51
Deferred tax liability (net) and credit for the year	2,337.12	(391.85)	-	1,945.27

(₹ In Lakh)				
Deferred tax assets/(liability) (net)	As at 31 March 2020	Recognized in Statement of Profit and Loss	Recognized in OCI	As at 31 March 2021
Deferred tax liability on account of:				
Depreciation and amortization	3,744.31	(13.94)	-	3,730.37
Fair value of investment in mutual funds	-	94.15	-	94.15
Unamortized borrowing cost	434.46	(73.54)	-	360.92
Unamortized file processing cost	98.87	35.21	-	134.08
	4,277.64	41.88	-	4,319.52
Deferred tax asset on account of:				
Expected credit loss	932.97	524.97	-	1,457.94
Provision for expenses	83.99	(83.99)	-	-
Unabsorbed depreciation	429.20	(429.20)	-	-
Unamortized processing fees	351.02	119.87	-	470.89
Lease liability	34.78	18.79	-	53.57
	1,831.96	150.44	-	1,982.40
Deferred tax liability (net) and credit for the year	2,445.68	(108.56)	-	2,337.12

Notes forming part of Financial Statements

for the year ended 31 March 2022

34 Other comprehensive income

(₹ In Lakh)		
Particulars	For the year ended 31 March 2022	For the year ended 31 March 2021
Other comprehensive income		
Items that will not be reclassified to profit or loss		
Remeasurement of defined benefit costs	37.22	17.58
Income tax relating to these items	(9.37)	(4.42)
Other comprehensive income for the year (Net of tax)	27.85	13.16

Notes forming part of Financial Statements

for the year ended 31 March 2022

35.1 Loan against Property

35.1.1 Credit quality of assets

(₹ In Lakh)

Particulars	As at 31 March 2022				As at 31 March 2021			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Internal rating grade*								
Performing								
High grade	1,98,606.31	-	-	1,98,606.31	1,24,226.72	-	-	1,24,226.72
Medium grade	-	11,539.33	-	11,539.33	-	8,087.78	-	8,087.78
Non-performing								
Individually impaired	-	-	6,219.23	6,219.23	-	-	4,576.35	4,576.35
Total	1,98,606.31	11,539.33	6,219.23	2,16,364.87	1,24,226.72	8,087.78	4,576.35	1,36,890.85

35.1.2 An analysis of changes in the gross carrying amount (excluding interest) and the corresponding Expected Credit Loss allowances in relation to lending is as follows:

(₹ In Lakh)

Particulars	As at 31 March 2022				As at 31 March 2021			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Gross carrying amount opening balance	1,24,226.72	8,087.78	4,576.35	1,36,890.85	94,576.93	2,476.16	2,947.72	1,00,000.81
New assets originated/ Assets derecognized/ repaid (excluding write offs)	84,248.53	(776.90)	(1,299.47)	82,172.16	36,611.05	859.09	(451.47)	37,018.67
Transfers to Stage 1	802.75	(405.01)	(397.74)	-	948.13	(617.88)	(330.25)	-
Transfers to Stage 2	(7,382.71)	7,443.97	(61.26)	-	(5,838.10)	5,838.10	-	-
Transfers to Stage 3	(2,751.97)	(2,156.56)	4,908.53	-	(2,026.35)	(461.73)	2,488.08	-
Amounts written off	(537.01)	(653.95)	(1,507.18)	(2,698.14)	(44.94)	(5.96)	(77.73)	(128.63)
Gross carrying amount closing balance	1,98,606.31	11,539.33	6,219.23	2,16,364.87	1,24,226.72	8,087.78	4,576.35	1,36,890.85

35.1.3 Reconciliation of Expected Credit Loss (ECL) balance is given below:

(₹ In Lakh)

Particulars	As at 31 March 2022				As at 31 March 2021			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
ECL allowance - opening balance	823.68	713.79	1,683.01	3,220.48	635.75	84.01	949.71	1,669.47
New assets originated/ Assets derecognized/ repaid (excluding write offs)	2,259.47	637.77	(85.93)	2,811.31	878.18	698.15	(3.70)	1,572.63
Transfers to Stage 1	8.91	(2.49)	(6.42)	-	5.91	(3.86)	(2.05)	-
Transfers to Stage 2	(884.15)	887.41	(3.26)	-	(79.67)	79.67	-	-
Transfers to Stage 3	(872.89)	(698.35)	1,571.24	-	(616.19)	(144.11)	760.30	-
Amounts written off	(10.93)	(85.22)	(1,017.10)	(1,113.25)	(0.30)	(0.07)	(21.25)	(21.62)
ECL allowance - closing balance	1,324.09	1,452.91	2,141.54	4,918.54	823.68	713.79	1,683.01	3,220.48

Note: Provision above is excluding additional provision for COVID-19 Current year: Nil, (Previous Year: ₹1,531.30 Lakh)

*Internal rating grades are classified on below basis

Grade	Classification Basis	Stage
High grade	0-29 DPD	Stage 1
Medium grade	30-89 DPD	Stage 2
Individually impaired	>=90 DPD & Daily NPA	Stage 3

Notes forming part of Financial Statements

for the year ended 31 March 2022

35.2 Loan against Gold

35.2.1 Credit quality of assets

(₹ In Lakh)

Particulars	As at 31 March 2022				As at 31 March 2021			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Internal rating grade*								
Performing								
High grade	58,429.28	-	-	58,429.28	42,168.62	-	-	42,168.62
Medium grade	-	4,435.84	-	4,435.84	-	12,998.63	-	12,998.63
Non-performing								
Individually impaired	-	-	1,091.28	1,091.28	-	-	837.77	837.77
Total	58,429.28	4,435.84	1,091.28	63,956.40	42,168.62	12,998.63	837.77	56,005.02

35.2.2 An analysis of changes in the gross carrying amount (excluding interest) and the corresponding Expected Credit Loss allowances in relation to lending is as follows:

(₹ In Lakh)

Particulars	As at 31 March 2022				As at 31 March 2021			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Gross carrying amount opening balance	42,168.62	12,998.63	837.77	56,005.02	33,256.34	2,890.03	505.97	36,652.34
New assets originated/ Assets derecognized/ repaid (excluding write offs)	16,412.80	(8,511.39)	83.86	7,985.27	9,172.41	9,877.45	302.82	19,352.68
Transfers to Stage 1	0.19	(0.19)	-	-	1.29	(1.29)	-	-
Transfers to Stage 2	(4.71)	4.71	-	-	(234.16)	237.64	(3.48)	-
Transfers to Stage 3	(119.46)	(52.81)	172.27	-	(27.26)	(5.20)	32.46	-
Amounts written off	(28.16)	(3.11)	(2.62)	(33.89)	-	-	-	-
Gross carrying amount closing balance	58,429.28	4,435.84	1,091.28	63,956.40	42,168.62	12,998.63	837.77	56,005.02

35.2.3 Reconciliation of Expected Credit Loss (ECL) balance is given below:

(₹ In Lakh)

Particulars	As at 31 March 2022				As at 31 March 2021			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
ECL allowance - opening balance	90.14	31.27	332.27	453.68	76.79	6.54	54.77	138.10
New assets originated/ Assets derecognized/ repaid (excluding write offs)	153.62	31.81	26.87	212.30	16.85	24.93	273.80	315.58
Transfers to Stage 1	-	-	-	-	-	-	-	-
Transfers to Stage 2	(4.71)	4.71	-	-	(0.62)	0.63	(0.01)	-
Transfers to Stage 3	(119.46)	(52.81)	172.27	-	(2.88)	(0.83)	3.71	-
Amounts written off	(0.22)	(0.04)	(1.87)	(2.13)	-	-	-	-
ECL allowance - closing balance	119.37	14.94	529.54	663.85	90.14	31.27	332.27	453.68

*Internal rating grades are classified on below basis

Grade	Classification Basis	Stage
High grade	0-29 DPD	Stage 1
Medium grade	30-89 DPD	Stage 2
Individually impaired	>=90 DPD & Daily NPA	Stage 3

Notes forming part of Financial Statements

for the year ended 31 March 2022

35.3 Unsecured loan

35.3.1 Credit quality of assets

(₹ In Lakh)

Particulars	As at 31 March 2022				As at 31 March 2021			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Internal rating grade*								
Performing								
High grade	20,951.84	-	-	20,951.84	19,401.75	-	-	19,401.75
Medium grade	-	679.09	-	679.09	-	1,212.73	-	1,212.73
Non-performing								
Individually impaired	-	-	978.90	978.90	-	-	1,251.34	1,251.34
Total	20,951.84	679.09	978.90	22,609.83	19,401.75	1,212.73	1,251.34	21,865.82

35.3.2 An analysis of changes in the gross carrying amount (excluding interest) and the corresponding Expected Credit Loss allowances in relation to lending is as follows:

(₹ In Lakh)

Particulars	As at 31 March 2022				As at 31 March 2021			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Gross carrying amount opening balance	19,401.75	1,212.73	1,251.34	21,865.82	19,864.49	154.96	114.95	20,134.40
New assets originated/ Assets derecognized/ repaid (excluding write offs)	3,116.81	(92.23)	(99.66)	2,924.92	2,070.01	84.54	(5.64)	2,148.91
Transfers to Stage 1	86.95	(65.44)	(21.51)	-	11.58	(11.58)	-	-
Transfers to Stage 2	(437.78)	453.14	(15.36)	-	(1,118.16)	1,118.16	-	-
Transfers to Stage 3	(582.83)	(154.35)	737.18	-	(1,158.89)	(84.12)	1,243.01	-
Amounts written off	(633.06)	(674.76)	(873.09)	(2,180.91)	(267.28)	(49.23)	(100.98)	(417.49)
Gross carrying amount closing balance	20,951.84	679.09	978.90	22,609.83	19,401.75	1,212.73	1,251.34	21,865.82

35.3.3 Reconciliation of Expected Credit Loss (ECL) balance is given below:

(₹ In Lakh)

Particulars	As at 31 March 2022				As at 31 March 2021			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
ECL allowance - opening balance	262.06	128.87	534.31	925.24	301.24	4.31	94.82	400.37
New assets originated/ Assets derecognized/ repaid (excluding write offs)	437.37	77.22	104.35	618.94	523.99	92.56	(0.77)	615.78
Transfers to Stage 1	1.13	(0.88)	(0.25)	-	0.15	(0.15)	-	-
Transfers to Stage 2	(37.36)	38.65	(1.29)	-	(72.27)	72.27	-	-
Transfers to Stage 3	(355.64)	(102.77)	458.41	-	(487.02)	(38.61)	525.63	-
Amounts written off	(8.28)	(76.41)	(414.43)	(499.12)	(4.03)	(1.51)	(85.37)	(90.91)
ECL allowance - closing balance	299.28	64.68	681.10	1,045.06	262.06	128.87	534.31	925.24

Note: Provision above is excluding additional provision for COVID-19 Current year: Nil, (Previous Year: ₹394.16 Lakh)

Notes forming part of Financial Statements

for the year ended 31 March 2022

*Internal rating grades are classified on below basis

Grade	Classification Basis	Stage
High grade	0-29 DPD	Stage 1
Medium grade	30-89 DPD	Stage 2
Individually impaired	>=90 DPD & Daily NPA	Stage 3

35.4 Reconciliation of Total Loan balance with Balance sheet

As on 31 March 2022:

(₹ In Lakh)				
Particulars	LAP	LAG	USL	Total
Outstanding Loan	2,16,364.87	63,956.40	22,609.83	3,02,931.10
Add: Accrued Interest	2,790.76	1,144.05	360.19	4,295.00
Less: Unamortized processing fees and file processing cost	(2,007.84)	-	(349.56)	(2,357.40)
TOTAL	2,17,147.79	65,100.45	22,620.46	3,04,868.70

As on 31 March 2021:

(₹ In Lakh)				
Particulars	LAP	LAG	USL	Total
Outstanding Loan	1,36,890.85	56,005.02	21,865.82	2,14,761.69
Add: Accrued Interest	1,846.48	1,600.93	361.95	3,809.36
Less: Unamortized processing fees and file processing cost	(972.77)	-	(365.45)	(1,338.22)
TOTAL	1,37,764.56	57,605.95	21,862.32	2,17,232.83

Notes forming part of Financial Statements

for the year ended 31 March 2022

36 Change in liabilities arising from financing activities

(₹ In Lakh)

Particulars	As at 1 April 2021	Cash Flow	Changes in fair values	Exchange Difference	Others	As at 31 March 2022
Debt securities	15,000.00	(10,700.00)	-	-	-	4,300.00
Lease Liabilities	1,954.61	(753.33)	-	-	209.56	1,410.84
Borrowings other than debt securities	2,60,821.19	28,326.47	-	-	168.35	2,89,316.01
Total liabilities from financing activities	2,77,775.80	16,873.14	-	-	377.91	2,95,026.85

(₹ In Lakh)

Particulars	As at 1 April 2020	Cash Flow	Changes in fair values	Exchange Difference	Other	As at 31 March 2021
Debt securities	32,428.68	(17,500.00)	-	-	71.32	15,000.00
Lease Liabilities	2,161.06	(643.81)	-	-	437.36	1,954.61
Borrowings other than debt securities	2,71,482.63	(10,882.36)	-	-	220.92	2,60,821.19
Total liabilities from financing activities	3,06,072.37	(29,026.17)	-	-	729.60	2,77,775.80

37 Maturity analysis of assets and liabilities

The table below shows an analysis of assets and liabilities analyzed according to when they are expected to be recovered or settled. They have been classified to mature and/or be repaid within 12 months or after 12 months. With regard to loans and advances to customers, the Company uses the same basis of expected repayment as used for estimating the Effective Interest Rate (EIR).

(₹ In Lakh)

Particulars	As at 31 March 2022			As at 31 March 2021		
	Within 12 months	After 12 months	Total	Within 12 months	After 12 months	Total
ASSETS						
Cash and cash equivalents	15,147.59	-	15,147.59	13,724.76	-	13,724.76
Bank Balance other than (a) above	17,037.09	1,344.65	18,381.74	19,033.32	1,277.28	20,310.60
Trade Receivables	826.79	-	826.79	379.07	-	379.07
Loans	84,093.32	2,14,147.93	2,98,241.25	71,192.72	1,39,515.25	2,10,707.97
Investments	59,864.67	24,946.60	84,811.27	69,534.69	78,890.22	1,48,424.91
Other financial asset	75.90	265.78	341.68	259.54	205.06	464.60
Total Assets	1,77,045.36	2,40,704.96	4,17,750.32	1,74,124.10	2,19,887.81	3,94,011.91
LIABILITIES						
Financial Liabilities						
Trade Payables						
(ii) total outstanding dues of creditors other than micro enterprises and small enterprises	1,407.68	-	1,407.68	1,036.74	-	1,036.74
Other Payables						
(ii) total outstanding dues of creditors other than micro enterprises and small enterprises	619.71	-	619.71	705.26	-	705.26
Debt Securities	-	4,300.00	4,300.00	15,000.00	-	15,000.00
Borrowings (Other than debt securities)	71,068.31	2,19,658.54	2,90,726.85	54,001.69	2,08,774.11	2,62,775.80
Other financial liabilities	22,165.00	-	22,165.00	23,211.03	-	23,211.03
Total liabilities	95,260.70	2,23,958.54	3,19,219.24	93,954.72	2,08,774.11	3,02,728.83
Net	81,784.66	16,746.42	98,531.08	80,169.38	11,113.70	91,283.08

Notes forming part of Financial Statements

for the year ended 31 March 2022

Capital Management

The primary objectives of the Company's capital management policy are to ensure that the Company complies with externally imposed capital requirements and maintains strong credit ratings and healthy capital ratios in order to support its business and to maximize shareholder value. The Company manages its capital structure and makes adjustments to it according to changes in economic conditions and the risk characteristics of its activities. Capital Management Policy, objectives and processes are under constant review by the Board. For details of Capital to Risk Assets Ratio (CRAR) refer Note 53.1

38 Fair value measurements

Financial instruments by category

(₹ In Lakh)

Particulars	As at 31 March 2022			As at 31 March 2021		
	Fair value through Profit or Loss	Amortized cost	Total	Fair value through Profit or Loss	Amortized cost	Total
Financial Assets						
Investments						
- Mutual funds	30,831.81	-	30,831.81	39,540.98	-	39,540.98
- Pass-through certificates	-	53,979.46	53,979.46	-	1,08,883.93	1,08,883.93
Trade receivables	-	826.79	826.79	-	379.07	379.07
Loans	-	2,98,241.25	2,98,241.25	-	2,10,707.97	2,10,707.97
Cash and cash equivalents	-	15,147.59	15,147.59	-	13,724.76	13,724.76
Bank Balances other than Cash and cash equivalents	-	18,381.74	18,381.74	-	20,310.60	20,310.60
Other financial assets	-	341.68	341.68	-	464.60	464.60
Total Financial Assets	30,831.81	3,86,918.51	4,17,750.32	39,540.98	3,54,470.93	3,94,011.91
Financial Liabilities						
Borrowings	-	2,90,726.85	2,90,726.85	-	2,62,775.80	2,62,775.80
Debt securities	-	4,300.00	4,300.00	-	15,000.00	15,000.00
Trade payables	-	1,407.68	1,407.68	-	1,036.74	1,036.74
Other payables	-	619.71	619.71	-	705.26	705.26
Other financial liabilities	-	22,165.00	22,165.00	-	23,211.03	23,211.03
Total Financial Liabilities	-	3,19,219.24	3,19,219.24	-	3,02,728.83	3,02,728.83

Notes forming part of Financial Statements

for the year ended 31 March 2022

38.1 Fair value hierarchy

This section explains the judgements and estimates made in determining the fair values of the financial instruments that are (a) recognized and measured at fair value and (b) measured at amortized cost and for which fair values are disclosed in the financial statements. To provide an indication about the reliability of the inputs used in determining fair value, the Company has classified its financial instruments into the three levels prescribed under the accounting standard. An explanation of each level follows underneath the table.

(₹ In Lakh)

Financial assets and liabilities measured at fair value - recurring fair value measurements	Note No.	Carrying Amount	Level 1	Level 2	Level 3	Total
As at 31 March 2022						
Financial assets						
Financial Investments at Fair Value Through Profit or Loss						
Mutual funds	7	30,831.81	30,831.81	-	-	30,831.81
Financial Assets at Amortized Cost						
Investment in Pass-through Certificates	7	53,979.46	-	-	53,979.46	53,979.46
Cash and cash equivalents	3	15,147.59	-	-	15,147.59	15,147.59
Bank Balances other than Cash and cash equivalents	4	18,381.74	-	-	18,381.74	18,381.74
Trade Receivables	5	826.79	-	-	826.79	826.79
Loans	6	2,98,241.25	-	-	2,98,241.25	2,98,241.25
Other Financial Assets	8	341.68	-	-	341.68	341.68
Total financial assets		4,17,750.32	30,831.81	-	3,86,918.51	4,17,750.32
Financial liabilities						
Financial Liabilities at Amortized Cost						
Trade payables	12	1,407.68	-	-	1,407.68	1,407.68
Other payables	12	619.71	-	-	619.71	619.71
Other Financial Liabilities	15	22,165.00	-	-	22,165.00	22,165.00
Debt Securities	13	4,300.00	-	-	4,300.00	4,300.00
Borrowings	14	2,90,726.85	-	-	2,90,726.85	2,90,726.85
Total financial liabilities		3,19,219.24	-	-	3,19,219.24	3,19,219.24

(₹ In Lakh)

Financial assets and liabilities measured at fair value - recurring fair value measurements	Note No.	Carrying Amount	Level 1	Level 2	Level 3	Total
As at 31 March 2021						
Financial assets						
Financial Investments at Fair Value Through Profit or Loss						
Mutual funds	7	39,540.98	39,540.98	-	-	39,540.98
Financial Assets at Amortized Cost						
Investment in Pass-through Certificates	7	1,08,883.93	-	-	1,08,883.93	1,08,883.93
Cash and cash equivalents	3	13,724.76	-	-	13,724.76	13,724.76
Bank Balances other than Cash and cash equivalents	4	20,310.60	-	-	20,310.60	20,310.60
Trade Receivables	5	379.07	-	-	379.07	379.07
Loans	6	2,10,707.97	-	-	2,10,707.97	2,10,707.97
Other Financial Assets	8	464.60	-	-	464.60	464.60
Total financial assets		3,94,011.91	39,540.98	-	3,54,470.93	3,94,011.91
Financial liabilities						
Financial Liabilities at Amortized Cost						
Trade payables	12	1,036.74	-	-	1,036.74	1,036.74
Other payables	12	705.26	-	-	705.26	705.26
Other Financial Liabilities	15	23,211.03	-	-	23,211.03	23,211.03
Debt Securities	13	15,000.00	-	-	15,000.00	15,000.00
Borrowings	14	2,62,775.80	-	-	2,62,775.80	2,62,775.80
Total financial liabilities		3,02,728.83	-	-	3,02,728.83	3,02,728.83

Notes forming part of Financial Statements

for the year ended 31 March 2022

38.2 Valuation technique used to determine fair value

The following table provides an analysis of financial instruments that are measured subsequent to initial recognition at fair value, grouped into Level 1 to Level 3, as described below.

Quoted prices in an active market (Level 1): This level of hierarchy includes financial assets that are measured by reference to quoted prices (adjusted/unadjusted) for identical assets. This category consists of quoted equity shares, mutual fund units.

Valuation techniques with observable inputs (Level 2): This level of hierarchy includes financial assets, measured using inputs other than quoted prices included within Level 1 that are observable for the asset, either directly (i.e.; as prices) or indirectly (i.e.; derived from prices). This category includes venture fund units and security receipts.

Valuation techniques with significant unobservable inputs (Level 3): This level of hierarchy includes financial assets measured using inputs that are not based on observable market data. Fair values are determined in whole or in part, using a valuation model based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data. This category includes unlisted equity shares, preference shares and debentures.

There has been no transfer between level 1, level 2 and level 3 for the year ended 31 March 2022 and 31 March 2021.

The carrying amounts of trade receivables, trade payables and cash and cash equivalents are considered to be the same as their fair values, due to their short-term nature.

The fair value of Loan approximates the carrying amount.

For financial assets and liabilities measured at fair value, the carrying amounts approximates the fair values.

39 Employee Benefits

(a) Defined Contribution plans

Provident Fund

The Company makes Provident Fund contributions to defined contribution retirement benefit plans for eligible employees. Under the schemes, the Company is required to contribute a specified percentage of the payroll costs to fund the benefits. The contributions as specified under the law are paid to the Employee Provident Fund Organization (Government).

The Company recognized expense as contribution to provident fund amounting to ₹413.40 Lakh (Previous Year ₹316.46 Lakh) in the statement of profit and loss. The contributions payable to these plans by the Company are at rates specified in the rules of the schemes.

(b) Defined benefit plans

Gratuity Fund

The Company has a defined benefit gratuity plan in India (funded). The Company's defined benefit gratuity plan is a final salary plan for employees, which requires contributions to be made to SBFC Finance Private Limited employees group gratuity cash accumulation scheme.

Risks associated with defined benefit plan

Gratuity is a defined benefit plan and Company is exposed to the following risks:

A. Actuarial Risk: It is the risk that benefits will cost more than expected. This can arise due to one of the following reasons:

Adverse Salary Growth Experience: Salary hikes that are higher than the assumed salary escalation will result into an increase in Obligation at a rate that is higher than expected.

Variability in mortality rates: If actual mortality rates are higher than assumed mortality rate assumption than the Gratuity Benefits will be paid earlier than expected. Since there is no condition of vesting on the death benefit, the acceleration of cashflow will lead to an actuarial loss or gain depending on the relative values of the assumed salary growth and discount rate.

Variability in withdrawal rates: If actual withdrawal rates are higher than assumed withdrawal rate assumption than the Gratuity Benefits will be paid earlier than expected. The impact of this will depend on whether the benefits are vested as at the resignation date.

Notes forming part of Financial Statements

for the year ended 31 March 2022

- B. Investment Risk:** For funded plans that rely on insurers for managing the assets, the value of assets certified by the insurer may not be the fair value of instruments backing the liability. In such cases, the present value of the assets is independent of the future discount rate. This can result in wide fluctuations in the net liability or the funded status if there are significant changes in the discount rate during the inter-valuation period.
- C. Liquidity Risk:** Employees with high salaries and long durations or those higher in hierarchy, accumulate significant level of benefits. If some of such employees resign/ retire from the company there can be strain on the cashflows.
- D. Market Risk:** Market risk is a collective term for risks that are related to the changes and fluctuations of the financial markets. One actuarial assumption that has a material effect is the discount rate. The discount rate reflects the time value of money. An increase in discount rate leads to decrease in Defined Benefit Obligation of the plan benefits & vice versa. This assumption depends on the yields on the corporate/ government bonds and hence the valuation of liability is exposed to fluctuations in the yields as at the valuation date.
- E. Legislative Risk:** Legislative risk is the risk of increase in the plan liabilities or reduction in the plan assets due to change in the legislation/regulation. The government may amend the Payment of Gratuity Act thus requiring the companies to pay higher benefits to the employees. This will directly affect the present value of the Defined Benefit Obligation and the same will have to be recognized immediately in the year when any such amendment is effective.

During the year, there were no plan amendments, curtailments and settlements.

The Life Insurance Corporation is managing the Gratuity Plan and the contributions to it is done as guided by rule 103 of Income Tax Rules, 1962.

Other Post Retirement Benefit Plan

The details of the Company's post-retirement benefit plans for its employees including whole-time directors are given below which is as certified by the actuary and relied upon by the auditors:

(c) Code on Social Security

The Indian parliament has approved Code on Social Security, 2020 ("the Code") which would impact the contributions by the Company towards Provident Fund and Gratuity. The Ministry of Labour and Employment has released draft rules for the Code on Social Security, 2020 on 13 November 2020 and has invited suggestions from stakeholders which are under active consideration by the Ministry. The Company will assess the impact and its evaluation once the subject rules are notified and will give appropriate impact in its financial statements in the period in which, the Code becomes effective and the related rules to determine the financial impact are published.

Notes forming part of Financial Statements

for the year ended 31 March 2022

(₹ In Lakh)		
Particulars	For the year ended 31 March 2022	For the year ended 31 March 2021
Change in the Benefit Obligations:		
Liability at the beginning of the year	201.41	149.35
Current service cost	93.99	81.05
Interest cost	12.82	9.59
Benefits paid	(19.19)	(14.36)
Actuarial gains - due to change in financials assumptions	(3.14)	1.54
Actuarial gains - due to change in demographic assumptions	(30.45)	-
Actuarial losses - due to experience	(9.46)	(25.76)
Liability at the end of the year	245.98	201.41
The Liability at the end of the year ₹245.98 Lakh (Previous Year: ₹201.41 Lakh) in respect of funded plan.		
Fair value of plan assets:		
Fair value of plan assets at the beginning of the year	178.88	156.82
Interest income	14.49	12.76
Return on plan assets	(5.83)	(6.64)
Contributions	52.94	30.30
Benefits paid	(19.19)	(14.36)
Fair value of plan assets at the end of the year	221.29	178.88
Actual return on plan assets:		
Expected return on plan assets	-	-
Actuarial loss on plan assets	-	-
Actual return on plan assets	(5.83)	(6.64)
Reconciliation of the Liability Recognized in the Balance Sheet:		
Opening net Liability/ (Asset)	22.53	(7.47)
Transfer in obligation		
Expense recognized in Profit and Loss	92.32	77.88
Expense recognized in Other Comprehensive Income	(37.22)	(17.58)
Contribution by the Company	(52.94)	(30.30)
Benefits paid by the Company / Insurance Companies		
Amount recognized in the Balance Sheet under "Liabilities- Provisions" ₹24.69 Lakh (Previous Year ₹22.53 Lakh).	24.69	22.53

(₹ In Lakh)		
Particulars	For the year ended 31 March 2022	For the year ended 31 March 2021
Expense Recognized in the Statement of Profit and Loss:		
Current service cost	93.99	81.05
Interest cost	(1.67)	(3.17)
Expense recognized in the Statement of Profit and Loss	92.32	77.88

Notes forming part of Financial Statements

for the year ended 31 March 2022

(₹ In Lakh)

Particulars	For the year ended 31 March 2022	For the year ended 31 March 2021
Expense Recognized in the Statement of Other Comprehensive Income:		
Due to change in financial assumptions	(3.14)	1.54
Due to change in demographic assumptions	(30.45)	-
Due to experience adjustments	(9.46)	(25.76)
Return on plan assets, excluding interest income	5.83	6.64
Net (Income)/ Expense for the year recognized in Statement of Other Comprehensive Income	(37.22)	(17.58)

Amount Recognized in the Balance Sheet:

(₹ In Lakh)

Particulars	For the year ended 31 March 2022	For the year ended 31 March 2021
Liability at the end of the year	245.98	201.41
Fair Value of Plan Assets at the end of the year	221.29	178.88
Amount recognized in the Balance Sheet	24.69	22.53
Experience Adjustment :		
On Plan Liabilities	-	-
On Plan Assets	-	-
Estimated contribution for next year	24.69	22.53

Investment Pattern:

% Invested

Particulars	Current Year %	Previous Year %
Policy of Insurance	100%	100%
Total	100%	100%

Based on the above allocation and the prevailing yields on these assets, the long term estimate of the expected rate of return on fund assets has been arrived at 6.70% (Previous Year 6.50%).

Principal Assumptions:

(% p.a.)

Particulars	For the year ended 31 March 2022	For the year ended 31 March 2021
Discount rate	6.70%	6.50%
Return on plan assets	6.70%	6.50%
Salary escalation	7.50%	7.50%
Withdrawal Rate (as per age band)		
25 & Below	20.00%	12.00%
25 to 35	20.00%	12.00%
35 to 45	20.00%	12.00%
45 to 55	10.00%	12.00%
55 & Above	5.00%	12.00%

The estimate of future salary increase, considered in the actuarial valuation takes account of inflation, seniority, promotion and other relevant factors.

Notes forming part of Financial Statements

for the year ended 31 March 2022

Sensitivity Analysis:

Particulars	(₹ In Lakh)	
	For the year ended 31 March 2022	For the year ended 31 March 2021
Projected Benefit Obligation on Current Assumptions		
Delta Effect of +0.50% Change in Rate of Discounting	238.40	193.91
Delta Effect of -0.50% Change in Rate of Discounting	253.96	209.39
Delta Effect of +0.50% Change in Rate of Salary Increase	251.93	207.66
Delta Effect of -0.50% Change in Rate of Salary Increase	240.24	195.19
Delta Effect of +10% Change in Withdrawal Rate	239.72	196.89
Delta Effect of -10% Change in Withdrawal Rate	252.47	206.02

The sensitivity analysis have been performed by varying a single parameter while keeping all other parameters unchanged.

The sensitivity analysis presented above fails to focus on the inter-relationship between underlying parameters. Hence the results may vary if two or more variables are changed simultaneously.

Furthermore, in presenting the above sensitivity analysis, the present value of the projected benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same method as applied in calculating the projected benefit obligation as recognized in the balance sheet.

Maturity Analysis of the Benefit Payments from the Fund:

Projected Benefits Payable in Future Years From the Date of Reporting	(₹ In Lakh)	
	For the year ended 31 March 2022	For the year ended 31 March 2021
1 st Following Year	12.27	8.48
2 nd Following Year	26.10	10.38
3 rd Following Year	28.93	18.81
4 th Following Year	38.52	21.85
5 th Following Year	29.62	28.52
Sum of Years 6 to 10	123.47	106.60

Notes forming part of Financial Statements

for the year ended 31 March 2022

40 Employee Stock Option

In accordance with resolution approved by the shareholders, the Company has reserved shares, for issue to employees through ESOP Scheme. On the approval of Nomination and Remuneration Committee (NRC), each ESOP scheme is issued. The NRC has approved below stock option schemes. Under the term of the schemes, the Company may issue stock options to employees and directors of the Company, each of which is convertible into one equity share.

Employee Stock Option Plans

A Summary of the general terms of grants under stock options plans are as under: -

Particulars	Small Business Fincredit Stock Option Policy I 2018	Small Business Fincredit Stock Option Policy II 2018	SBFC STOCK OPTION POLICY 2021 - I	SBFC STOCK OPTION POLICY 2021 - II	SBFC STOCK OPTION POLICY 2021 - III - Special Grant	SBFC STOCK OPTION POLICY 2021 - IV	SBFC STOCK OPTION POLICY 2021 - V
Number of options under the Plan	1,08,40,000	4,05,60,000	30,00,000	63,75,000	29,75,000	1,42,91,666	1,05,00,000
Exercise Price	12.50	12.50	19.00	40.00	40.00	21.45	40.00
Maximum Term of Options Granted	Refer Note 40.1	Refer Note 40.3	Refer Note 40.1	Refer Note 40.2	Refer Note 40.2	Refer Note 40.1	Refer Note 40.1
Method of Settlement	Equity settled	Equity settled	Equity settled	Equity settled	Equity settled	Equity settled	Equity settled
Grant Date	1-Oct-18 to 26-May-21	1-Oct-18	30-Oct-21	11-Jan-22	11-Jan-22	23-Dec-21	23-Dec-21
Vesting requirements (No of months from Grant Date & Vesting schedule)	(Refer vesting schedule below)						
	Months	Vesting Schedule	Months	Vesting Schedule	Months	Vesting Schedule	Months
	12	50%	12	25.00%	24	25.00%	24
	24	25%	15	6.25%	27	9.38%	27
	30	25%	18	6.25%	30	9.38%	30
			21	6.25%	33	9.38%	33
			24	6.25%	36	9.38%	36
			27	6.25%	39	9.38%	39
			30	6.25%	42	9.38%	42
			33	6.25%	45	9.38%	45
			36	6.25%	48	9.38%	48
				39	6.25%		
				42	6.25%		
				45	6.25%		
				48	6.25%		
				51	6.25%		
				54	6.25%		
				57	6.25%		
				60	6.25%		

Notes forming part of Financial Statements

for the year ended 31 March 2022

Vesting schedule for Small Business Fincredit Stock Option Policy I 2018

Grant Date	1-Oct-18	1-Oct-18	24-Dec-18	24-Dec-18	15-Mar-19	29-May-19	15-Feb-20	30-Mar-20	23-Dec-20	26-May-21
12 months	17.5%	25.0%	17.5%	25.0%	25.0%	25.0%	17.5%	25.0%	25.0%	25.0%
15 months	7.5%	5.0%	7.5%	5.0%	5.0%	5.0%	7.5%	5.0%	5.0%	5.0%
18 months	7.5%	5.0%	7.5%	5.0%	5.0%	5.0%	7.5%	5.0%	5.0%	5.0%
21 months	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%
24 months	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%
27 months	7.5%	10.0%	7.5%	10.0%	10.0%	10.0%	7.5%	10.0%	10.0%	10.0%
30 months	7.5%	10.0%	7.5%	10.0%	10.0%	10.0%	7.5%	10.0%	10.0%	10.0%
33 months	7.5%	15.0%	7.5%	15.0%	15.0%	15.0%	7.5%	15.0%	15.0%	15.0%
36 months	10.0%	15.0%	10.0%	15.0%	15.0%	15.0%	10.0%	15.0%	15.0%	15.0%
39 months	10.0%	-	10.0%	-	-	-	10.0%	-	-	-
42 months	10.0%	-	10.0%	-	-	-	10.0%	-	-	-

40.1 If Vesting prior to IPO then upto 6 months from date of IPO, If Vesting after IPO then upto 6 months from date of Vesting

40.2 If Vesting prior to IPO then within 12 (Twelve) months from the date of the IPO, If Vesting after IPO then within 12 (Twelve) months from the date of the vesting

40.3 If Vesting prior to IPO then 24 months from date of IPO, If Vesting after IPO then 6 months from date of Vesting,

40.4 Method used for accounting for shared based payment plan:

The Company uses fair value to account for the compensation cost of stock options to employees of the Company.

40.5 Fair value methodology:

The fair value of options have been estimated on the dates of each grant using the Black-Scholes model. The shares of Company are not listed on any stock exchange. Accordingly, the Company had considered the volatility of the Company's stock price based on historical volatility of similar listed enterprises. The various assumptions considered in the pricing model for the stock options granted by the Company are:

Particulars	Small Business Fincredit Stock Option Policy I 2018	Small Business Fincredit Stock Option Policy II 2018	SBFC STOCK OPTION POLICY 2021 - I	SBFC STOCK OPTION POLICY 2021 - II	SBFC STOCK OPTION POLICY 2021 - III - Special Grant	SBFC STOCK OPTION POLICY 2021 - IV	SBFC STOCK OPTION POLICY 2021 - V
Dividend yield	-	-	-	-	-	-	-
Expected volatility	(Refer table below)	20.00%	49.18%	47.63%	48.25%	48.77%	48.77%
Risk free interest rate		8.00%	4.55%	4.91%	5.36%	5.07%	5.07%
Expected life of the option		5 years	3 years 6 months	5 years	6 years	4 years 6 months	4 years 6 months

Notes forming part of Financial Statements

for the year ended 31 March 2022

Fair value methodology for Small Business Fincredit Stock Option Policy I 2018:

Grant Date	1-Oct-18	1-Oct-18	24-Dec-18	24-Dec-18	15-Mar-19	29-May-19	15-Feb-20	30-Mar-20	23-Dec-20	26-May-21
Dividend yield	-	-	-	-	-	-	-	-	-	-
Expected volatility	20.00%	20.00%	20.00%	20.00%	20.00%	36.45%	37.43%	43.92%	49.24%	52.61%
Risk free interest rate	8%	7.87%	7.08%	7.07%	7.06%	6.34%	5.43%	5.11%	4.33%	4.50%
Expected life of the option	4 years	3 years 6 months	4 years	3 years 6 months	3 years 6 months	3 years 6 months	4 years	3 years 6 months	3 years 9 months	3 years 6 months

40.6 Option Movement during the year ended 31 March 2022

Particulars	Small Business Fincredit Stock Option Policy I 2018	Small Business Fincredit Stock Option Policy II 2018	SBFC Stock Option Policy 2021 - I	SBFC Stock Option Policy 2021 - II	SBFC Stock Option Policy 2021 - III - Special Grant	SBFC Stock Option Policy 2021 - IV	SBFC Stock Option Policy 2021 - V	Weighted average exercise price (₹)
Exercise Price per Share	12.50	12.50	19.00	40.00	40.00	21.45	40.00	
No. of options outstanding at 01 April 2021	1,06,50,500	4,05,60,000	-	-	-	-	-	12.50
Options granted during the year	2,00,000	-	30,00,000	60,55,000	29,75,000	1,42,91,666	1,05,00,000	30.99
Options exercised during the year	(57,89,500)	(25,00,000)	-	-	-	-	-	12.50
Options forfeited/ lapsed during the year	(2,08,500)	-	(70,000)	(4,04,000)	(1,99,000)	-	-	31.83
Number of options outstanding at 31 March 2022	48,52,500	3,80,60,000	29,30,000	56,51,000	27,76,000	1,42,91,666	1,05,00,000	20.94

Option Movement during the year ended 31 March 2021

Particulars	Small Business Fincredit Stock Option Policy I 2018	Small Business Fincredit Stock Option Policy II 2018	Weighted average exercise price (₹)
Exercise Price per Share	12.50	12.50	
No. of options outstanding at 01 April 2020	1,00,95,000	4,05,60,000	12.50
Options granted during the year	11,90,000	-	12.50
Options exercised during the year	-	-	-
Options forfeited/ lapsed during the year	(6,34,500)	-	12.50
Number of options outstanding at 31 March 2021	1,06,50,500	4,05,60,000	12.50

Notes forming part of Financial Statements

for the year ended 31 March 2022

40.7 The following table summarizes information about stock option plans:-

Policy Name	Exercise Price (₹)	Year ended			
		31 March 2022		As at 31 March 2021	
		Numbers	Weighted Average Remaining Life (Months)*	Numbers	Weighted Average Remaining Life (Months)*
Small Business Fincredit Stock Option Policy I 2018	12.50	48,52,500	7.82	1,06,50,500	9.27
Small Business Fincredit Stock Option Policy II 2018	12.50	3,80,60,000	-	4,05,60,000	-
SBFC STOCK OPTION POLICY 2021 - I	19.00	29,30,000	10.81	-	-
SBFC STOCK OPTION POLICY 2021 - II	40.00	56,51,000	13.12	-	-
SBFC STOCK OPTION POLICY 2021 - III - Special Grant	40.00	27,76,000	13.12	-	-
SBFC STOCK OPTION POLICY 2021 - IV	21.45	1,42,91,666	16.28	-	-
SBFC STOCK OPTION POLICY 2021 - V	40.00	1,05,00,000	16.28	-	-

Notes:-

*Weighted Average Remaining life represents the life for vesting. Exercise period life is in addition to the vesting life.

"During the year 2018-19 & 2021-22, the Company has provided loan to the Employee welfare trust for purchase of shares issued by the Company. These shares will be vested to the employee and will be settled through issue of own equity instrument.

The charge for the period as an employee benefit expense amounted to ₹296.04 Lakh (P.Y. ₹389.19 Lakh)

41 Segment Information

Operating Segment

The Company operates mainly in the business segment of fund based financing activity. All other activities revolve around the main business. Further, all activities are carried out within India. As such, there are no separate reportable segments as per the provisions of Ind AS 108 on 'Operating Segments'.

42 Related party disclosures

(a) Compensation of key management personnel of the Company

Key management personnel are those individuals who have the authority and responsibility for planning and exercising power to directly or indirectly control the activities of the Company and its employees. The Company includes the members of the Board of Directors which include independent directors (and its sub-committees) and Executive Committee to be key management personnel for the purposes of Ind AS 24 Related Party Disclosures.

(b) Key management personnel of the Company:

Sr No	Name of Key Management Personnel	Designation
1	Mr. Aseem Dhru	Chief Executive Officer & Managing Director
2	Mr. Rajeev Gupta	Director
3	Mr. Amol Krishna Jain	Director
4	Mr. Narayan Barasia	Chief Financial Officer
5	Mr. Jay Mistry	Company Secretary (w.e.f. 5 June 2021)
6	Mrs. Swati Amey Morajkar	Company Secretary (upto 3 May 2021)
7	Mr. John Mescall	Nominee Director (w.e.f. 29 May 2019)
8	Mr. Jonathan Tadeusz Tatur	Nominee Director (w.e.f. 17 December 2019)
9	Mr. Arjun Sakhuja	Nominee Director (w.e.f. 5 February 2020)
10	Mr. Neeraj Swaroop	Independent Director
11	Mr. Amitabh Mohanty	Additional Independent Director (w.e.f. 24 September 2019 upto 17 September 2020)
12	Mr. Rajesh Mannalal Agrawal	Independent Director (w.e.f. 11 November 2020)

Notes forming part of Financial Statements

for the year ended 31 March 2022

(c) Related parties where control exists:

1	Holding Company	SBFC Holdings Pte. Limited (from 29 May 2019)
2	Ultimate Beneficiary Owner*	Mr. Aseem Dhru
3	Entities in which KMP Exercise Significant Influence	Arpwood Partners Investment Advisors LLP Arpwood Capital Private Limited Arpwood Consultants LLP Eight45 Services LLP
4	Post-employment benefit plan	SBFC FINANCE PRIVATE LIMITED EMPLOYEES GGCA SCHEME
5	Controlled Employee Welfare trust	SBFC Employee Welfare Trust

* There is no Individual Ultimate Beneficiary Owner u/s 90 of Companies Act, 2013 hence MD & CEO has been identified as Ultimate Individual Beneficial Owner as per Rule 9 of the Prevention of Money Laundering Rules, 2005, being the senior managing official.

(d) Related party transactions

The details of related party transaction and balances with the Company are available with the Company Secretary of the Company.

Notes forming part of Financial Statements

for the year ended 31 March 2022

43 Leases

43.1 The changes in the carrying value of right of use assets are as follows:

Particulars	(₹ In Lakh)	
	For the year ended 31 March 2022	For the year ended 31 March 2021
Balance as of 1 April 2021	1,856.80	2,031.86
Addition during the year	165.23	489.00
Deletion/ Termination during the year	(235.99)	(22 6.75)
Depreciation charge for the year	(647.79)	(542.04)
Depreciation on deletion/ termination	105.47	-
Reclassification on account of adjustment of Ind AS 116*	-	104.73
Balance as of 31 March 2022	1,243.72	1,856.80

*The Company has reclassified deferred lease rental to Right-of-Use asset on account of Ind AS 116 adjustment. Accordingly, the Company has reclassified ₹104.73 Lakh from 'Deferred Lease Rental' to 'Right-of-Use asset' and ₹9.96 Lakh from 'Rent Expense' to 'Depreciation expenses' for the previous year.

43.2 The following is the movement in lease liabilities:

Particulars	(₹ In Lakh)	
	For the year ended 31 March 2022	For the year ended 31 March 2021
Balance as of 1 April 2021	1,954.61	2,161.06
Addition during the year	160.84	489.00
Deletion/ Termination during the year	(119.36)	(248.39)
Finance cost accrued during the year	168.08	196.75
Payment made during the year	(753.33)	(643.81)
Balance as of 31 March 2022	1,410.84	1,954.61

43.3 Refer Note 47.2 for contractual maturities of lease liabilities.

43.4 Impact of Ind AS 116 in the Statement of Profit and Loss:

- Rental expense recorded for short-term leases is ₹ 153.45 Lakh for the year ended 31 March 2022 (Previous Year: ₹0.83 Lakh)
- The Company had received waivers on Rent Nil in the year during COVID-19 pandemic (Previous Year: ₹52.68 Lakh)
- The aggregate depreciation on Right to use assets has been included under depreciation and amortisation expense in the Statement of Profit and Loss.
- The aggregate interest on Lease liabilities has been included under Finance costs in the Statement of Profit and Loss.

44 In accordance with Ind AS 33- Earnings per Share, the computation of earnings per share is set out below:

Particulars			For the year ended 31 March 2022	For the year ended 31 March 2021
Net Profit after tax as per Statement of Profit and Loss	(A)	₹ in Lakh	6,421.89	8,519.30
Weighted average number of equity shares for calculating Basic EPS	(B)	Nos.	798,106,200	783,358,435
Add: Equity shares for no consideration arising on grant of stock options under ESOP		Nos.	14,874,093	17,660,644
Weighted average number of equity shares for calculating Diluted EPS	(C)	Nos.	812,980,293	801,019,079
Basic earnings per equity share (in ₹) (Face value of ₹10 per share)	(A)/(B)	₹ per share	0.80	1.09
Diluted earnings per equity share (in ₹) (Face value of ₹10 per share)	(A)/(C)	₹ per share	0.79	1.06

Notes forming part of Financial Statements

for the year ended 31 March 2022

- 45** The Company believes that no impairment of assets arises during the year as per the recommendations of Ind AS 36 "Impairment of Assets".

The Company has carried impairment testing by discounting the projected future cash flows and has enough head room against the carrying amount of ₹26,039.23 Lakh. Considering the head room that the Company has, there is no need for impairment. Therefore, there is no Impairment of Goodwill in the books as on 31 March 2022.

46 Contingent Liabilities and commitments to the extent not provided for:

(₹ In Lakh)

Particulars	As on 31 March 2022	As on 31 March 2022
Claims against the Company not acknowledged as Debts	104.71	-
Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances)	2.03	44.76
Commitments related to loans sanctioned but undrawn	-	-
Other Commitments	-	-

- 46.1** The Company's pending litigations comprise of claims against the Company by the customers and proceedings pending with other authorities. The Company has reviewed all its pending litigations and proceedings and has adequately provided for where provisions are required and disclosed the contingent liabilities where applicable, in the financial statements. The Company does not expect the outcome of these proceedings to have a materially adverse effect on its financial results.

47 Risk Disclosures

Company's risk is managed through an integrated risk management framework, including ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Company's continuing profitability and each individual within the Company is accountable for the risk exposures relating to his or her responsibilities. The Company is exposed to credit risk, liquidity risk and interest rate risk. It is the Company's policy to ensure that a robust risk awareness is embedded in its organizational risk culture.

47.1 Credit risk

Credit risk is the risk that the Company will incur a loss because its customers or counterparties fail to discharge their contractual obligations. The Company manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties.

47.1.1 Impairment assessment

47.1.1.1 Exposure at Default

EAD is taken as the gross exposure under a facility upon default of an obligor. The amortized principal and the interest accrued is considered as EAD for the purpose of ECL computation.

The advances have been bifurcated into following three stages:

Stage 1 – Advances with low credit risk and where there is no significant increase in credit risk. Hence, the advances up to 0-29 days are classified as Stage 1

Stage 2 – Advances with significant increase in credit risk. Hence the advances up to 30 to 89 days are classified as Stage 2

Stage 3 – Advances that have defaulted / Credit impaired advances. Hence the advances with 90 days past due are classified as Stage 3

47.1.1.2 Significant increase in credit risk

The Company continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12 months ECL or lifetime ECL, the Company assesses whether there has been a significant increase in credit risk since initial recognition. The Company considers an exposure to have significant increase in credit risk if contractual payments are more than 30 days past due and when the accounts have been restructured.

47.1.1.3 Definition of default and cure

The Company considers a financial instrument defaulted and therefore Stage 3 (credit impaired) for ECL calculations in all cases when the borrower becomes 90 days past due on its contractual payments. These assets continue to be classified as Stage 3 till the entire overdues are received.

As a part of a qualitative assessment of whether a customer is in default, the Company also considers a variety of instances that may indicate unlikeliness to pay. When such events occur, the Company carefully considers whether the event should result in treating the customer as defaulted and therefore

Notes forming part of Financial Statements

for the year ended 31 March 2022

assessed as Stage 3 for ECL calculations or whether Stage 2 is appropriate. Such events include:

- a) Significant financial difficulty of the borrower or issuer;
- b) A breach of contract such as a default or past due event;
- c) The restructuring of a loan or advance by the company on terms that the company would not consider otherwise.

47.1.1.4 PD estimation process

The probability of default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognized and is still in the portfolio.

Probability of Default computation :-

- a) The Company has applied 12 months PD to Stage 1 Advances
- b) The Lifetime PD is computed using basic exponentiation technique after considering the residual maturity of the respective loan.
- c) PD of 100% is considered for Stage 3 assets.

In cases where data for estimation of PD is not available, the company has used industry benchmarks for computation of PD.

47.1.1.5 Loss given default

The loss given default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that would be expected to receive, including from realization of any prime/collateral security. For LGD computation, the rates used from the foundation internal rating based approach and dynamic loan loss provisioning model is also taken into account. In cases where data for estimation of LGD is not available, the company has used industry benchmarks.

47.1.2 Analysis of risk concentration -

Refer Note 53.12.3

47.1.3 Collateral and other credit enhancements

The amount and type of collateral required depends on an assessment of the credit risk of the counterparty. Company has Guidelines in place covering the acceptability and valuation of each type of collateral. The Company also adheres to the RBI guidelines in respect of maintenance of adequate Loan to Value Ratios.

The main types of collateral for loans are Registered / equitable mortgage of property, Hypothecation of assets including Gold. Management monitors the market value of collateral and requests additional collateral in accordance with the underlying agreement.

In case of defaults by customers, where the Company is unable to recover the dues, the Company through a legal process enforces the security and recover the dues.

47.1.4 Payment of Ex-gratia benefit

The Government of India, Ministry of Finance, vide its notification dated 23 October 2020, had announced COVID-19 Relief scheme for grant of ex-gratia payment of difference between compound interest and simple interest ("differential amount") for six months to borrowers in specified loan accounts ("the Scheme"), as per the eligibility criteria and other aspects specified therein and irrespective of whether RBI moratorium was availed or not. During the previous year, the Company had charged differential amount of ₹332.09 Lakh from 28,965 customers out of which ₹288.67 Lakh was credited to 21,216 customers to their individual accounts and balance not credited as on 31 March 2021 ₹43.42 Lakh of 7,749 individual customers where loan has been closed and the amount was parked under Trade Payables in the Financial Statements. During the current year, ₹43.42 Lakh has been credited/ adjusted to respective customer accounts.

47.1.5 Interest on Interest

In accordance with the instructions in the Circular RBI/2021-22/17 DOR.STR.REC.4/21.04.046/2021-22 dated 7 April 2021, the Company shall refund/ adjust "interest on interest" to all borrowers during the moratorium period, irrespective of whether moratorium had been fully or partially availed, or not availed. Pursuant to these instructions, the methodology for calculation of the amount of such 'interest on interest' has been finalized by the Indian Banks Association (IBA) in consultation with other industry participants/ bodies on 19 April 2021. The Company has adjusted ₹18.99 Lakh pertaining to 235 individual customers in the Financial Statements as at 31 March 2021 and had subsequently credited the amount to individual customer accounts.

47.2 Liquidity risk and funding management

Liquidity risk is defined as the risk that the Company will encounter difficulty in meeting obligations associated with financial liabilities that are settled by delivering cash or another financial asset. Liquidity risk arises because of the

Notes forming part of Financial Statements

for the year ended 31 March 2022

possibility that the Company might be unable to meet its payment obligations when they fall due as a result of mismatches in the timing of the cash flows under both normal and stress circumstances. Such scenarios could occur when funding needed for illiquid asset positions is not available to the Company on acceptable terms. To limit this risk, management has arranged for diversified funding sources and adopted a policy of managing assets with liquidity in mind and monitoring future cash flows and liquidity on a daily basis. Liquidity risk is managed in accordance with our Asset Liability Management Policy. This policy is framed as per the current regulatory guidelines

and is approved by the Board of Directors. The Asset Liability Management Policy is reviewed periodically to incorporate changes as required by regulatory stipulation or to realign the policy with changes in the economic landscape. The Asset Liability Committee (ALCO) of the Company formulates and reviews strategies and provides guidance for management of liquidity risk within the framework laid out in the Asset Liability Management Policy.

Analysis of financial assets and liabilities by remaining contractual maturities is provided in Note 37

Maturity profile of financial liabilities:

The table below summarises the maturity profile of the cash flows of the Group's financial assets and liabilities

(₹ In Lakh)

31 March 2022	Less than 1 year	1 year to 3 years	3 years to 5 years	5 years and above	Total
Trade Payables	1,407.68	-	-	-	1,407.68
Debt securities	-	4,300.00	-	-	4,300.00
Borrowings other than debt securities	70,654.90	129,008.74	73,648.84	10,893.10	284,205.58
Lease Liabilities	555.29	504.26	287.04	64.25	1,410.84
Borrowings under securitization	398.05	941.96	991.70	2,778.72	5,110.43
Total	73,015.92	134,754.96	74,927.58	13,736.07	296,434.53

(₹ In Lakh)

31 March 2021	Less than 1 year	1 year to 3 years	3 years to 5 years	5 years and above	Total
Trade Payables	1,036.74	-	-	-	1,036.74
Debt securities	15,000.00	-	-	-	15,000.00
Borrowings other than debt securities	53,283.32	90,540.87	68,343.87	41,947.03	254,115.09
Lease Liabilities	560.79	870.61	286.04	237.17	1,954.61
Borrowings under securitization	362.77	845.89	989.58	4,507.86	6,706.10
Total	70,243.62	92,257.37	69,619.49	46,692.06	278,812.54

4.7.3 Interest rate risk

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or the fair values of financial instruments.

The core business of the company is providing loan against property, loan against gold and personal loans. The company borrows through various financial instruments to finance its core lending activity. These activities expose the company to interest rate risk. Interest rate risk is measured through earnings at risk from an earnings perspective and through duration of equity from an economic value perspective. Further, exposure to fluctuations in interest rates is also measured by way of gap analysis, providing a static view of the maturity and re-pricing characteristic of Balance sheet positions. An interest rate sensitivity gap report is prepared by classifying all rate sensitive assets and rate sensitive liabilities into various time period categories according to contracted/behavioral maturities or anticipated re-pricing date. The difference in the amount of rate sensitive assets and rate sensitive liabilities maturing or being re-priced in any time period category, gives an indication of the extent of exposure to the risk of potential changes in the margins on new or re-priced assets and liabilities. The interest rate risk is monitored on a quarterly basis.

The following table demonstrates the sensitivity to a reasonably possible change in interest rates (all other variables being considered as constant) of the Company's statement of profit and loss and equity.

Notes forming part of Financial Statements

for the year ended 31 March 2022

For the financial year ended 31 March 2022:

(₹ In Lakh)

Currency of borrowing	Increase / (decrease) in basis points	Sensitivity of profit or loss		Sensitivity of equity	
Borrowings (₹)	25 Basis point increase	Impact on Profit before Tax	(637.77)	Impact on equity	(477.26)
	50 Basis point increase		(1,275.55)		(954.52)
	25 Basis point decrease		637.77		477.26
	50 Basis point decrease		1,275.55		954.52
Loans (₹)	25 Basis point increase	Impact on Profit before Tax	622.55	Impact on equity	465.87
	50 Basis point increase		1,245.10		931.73
	25 Basis point decrease		(622.55)		(465.87)
	50 Basis point decrease		(1,245.10)		(931.73)
Investments in PTC (₹)	25 Basis point increase	Impact on Profit before Tax	194.28	Impact on equity	145.38
	50 Basis point increase		388.56		290.77
	25 Basis point decrease		(194.28)		(145.38)
	50 Basis point decrease		(388.56)		(290.77)

For the financial year ended 31 March 2021:

(₹ In Lakh)

Currency of borrowing	Increase / (decrease) in basis points	Sensitivity of profit or loss		Sensitivity of equity	
Borrowings (₹)	25 Basis point increase	Impact on Profit before Tax	(730.28)	Impact on equity	(546.48)
	50 Basis point increase		(1,460.56)		(1,092.97)
	25 Basis point decrease		730.28		546.48
	50 Basis point decrease		1,460.56		1,092.97
Loans (₹)	25 Basis point increase	Impact on Profit before Tax	423.23	Impact on equity	316.71
	50 Basis point increase		846.46		633.42
	25 Basis point decrease		(423.23)		(316.71)
	50 Basis point decrease		(846.46)		(633.42)
Investments in PTC (₹)	25 Basis point increase	Impact on Profit before Tax	390.57	Impact on equity	292.27
	50 Basis point increase		781.15		584.55
	25 Basis point decrease		(390.57)		(292.27)
	50 Basis point decrease		(781.15)		(584.55)

48 Transferred financial assets that are not derecognized in their entirety

During FY 2018-19, the Company had entered into securitization arrangements to transfer the part of its portfolio of Loan against property and Gold Loans. The terms of the arrangement included over collateralization of the assets of the Company through lien on Fixed deposits. Since the Company had retained significant risk in the transfer of the portfolio, the asset is retained in the books. Consequently, the amount received as sale consideration is shown as Collateralized borrowings in the financial statements.

(₹ In Lakh)

Securitisations	As at 31 March 2022	As at 31 March 2021
Carrying amount of transferred assets measured at amortised cost	6,210.56	8,274.10
Carrying amount of associated liabilities	5,110.43	6,706.10
Fair value of assets	6,210.56	8,274.10
Fair value of associated liabilities	5,110.43	6,706.10

Notes forming part of Financial Statements

for the year ended 31 March 2022

49 Disclosures required under the RBI Resolution Framework - 2.0: Resolution of COVID-19 related stress of Individuals and Small Businesses dated 05 May 2021 with reference to disclosures stated under Format-B prescribed in the Resolution Framework - 1.0.

(₹ In Lakh)

Type of Borrower	Exposure to accounts classified as Standard consequent to implementation of resolution plan – Position as at the end of 30 September 2021 (A)	Of (A), aggregate debt that slipped into NPA during the half year	Of (A) amount written off during the half year	Of (A) amount paid by the borrowers during the half year	Exposure to accounts classified as Standard consequent to implementation of resolution plan – Position as at the end of 31 March 2022
Personal Loans #	881.77	122.11	176.82	23.62	694.76
Corporate persons*	-	-	-	-	-
Of which MSMEs	-	-	-	-	-
Others	-	-	-	-	-
Total	881.77	122.11	176.82	23.62	694.76

* As defined in Section 3(7) of the Insolvency and Bankruptcy Code, 2016

This represents Salaried customers.

50 Pursuant to the RBI circular dated 12 November 2021 - “Prudential norms on Income Recognition, Asset Classification and Provisioning (IRACP) pertaining to Advances - Clarifications”, the Company changed its NPA definition to comply with the norms/ changes for regulatory reporting, as applicable. This has resulted in classification of loans amounting to ₹605.31 Lakh as additional non-performing assets (Stage 3) as at 31 March 2022. However, the said change does not have a material impact on the financial results for the quarter/ year ended 31 March 2022. On 15 February 2022, the RBI allowed deferment pertaining to the upgradation of Non Performing accounts till 30 September 2022. However, the Company has not opted for such deferment and continues to align Stage 3 definition to revised NPA definition.

51 Following are the additional disclosures required as per Schedule III to the Companies Act, 2013 vide Notification dated March 24, 2021;

51.1 Relationship with Struck off Companies:

To the best of the abilities, the Company has not identified any relationship with Company which has been struck off by the respective Registrar of Companies and such information is available vide public notice (Form No. STK-7) u/s 248 of the Act.

Sr No	Name of Struck off Company	Nature of transaction	As at 31 March 22 (₹ in Lakh)	As at 31 March 21 (₹ in Lakh)	Relationship with the s truck off company, if any, to be disclosed
1	Sri Lakshmi Sai Telecom Constructions Private Limited	Loan given	132.84	132.84	Borrower
2	Fulgent Interior Private Limited	Loan given	15.08	16.14	Borrower

51.2 Registration of charges or satisfaction with Registrar of Companies (ROC):

Brief Description of Charge	Location of Registrar	Period by which charge had to be satisfied	Reason for delay
Satisfaction of charge of Federal Bank as per satisfaction letter dated 19 January 2022 in relation to satisfaction of charge for loan facility aggregating to ₹5,000.00 Lakh	ROC- Mumbai	30 days	The Form CHG-4 has been filed with an inadvertent delay.
Satisfaction of charge of Federal Bank as per satisfaction letter dated 19 January 2022 in relation to satisfaction of charge for loan facility aggregating to ₹5,000.00 Lakh	ROC- Mumbai	30 days	The Form CHG-4 has been filed with an inadvertent delay.
Satisfaction of charge of Federal Bank as per satisfaction letter dated 19 January 2022 in relation to satisfaction of charge for loan facility aggregating to ₹5,000.00 Lakh	ROC- Mumbai	30 days	The Form CHG-4 has been filed with an inadvertent delay.
Satisfaction of charge of Bajaj Finance Limited as per satisfaction letter dated 22 January 2022 in relation to satisfaction of charge for loan facility aggregating to ₹3,000.00 Lakh	ROC- Mumbai	30 days	The Form CHG-4 has been filed with an inadvertent delay.
Satisfaction of charge of Indusind Bank as per satisfaction letter dated 23 March 2022 in relation to satisfaction of charge for loan facility aggregating to ₹5,500.00 Lakh	ROC- Mumbai	30 days	The Form CHG-4 has been filed with an inadvertent delay.

Notes forming part of Financial Statements

for the year ended 31 March 2022

51.3 Analytical Ratios

	31-Mar-22	31-Mar-21
Capital to Risk Weighted Assets Ratio	26.21%	26.25%
Tier I Capital	25.90%	25.62%
Tier II Capital	0.31%	0.63%

51.4 Liquidity Coverage Ratio is not applicable to the Company since it is Non deposit taking NBFC with asset size less than ₹5,000 Crore as per circular dt. 04.11.2019 RBI/2019-20/88 DOR.NBFC (PD) CC. No.102/03.10.001/2019-20.

51.5 The Company has borrowings from banks and financial institutions on the basis of security of current assets and the quarterly returns filed by the Company with the banks and financial institutions are in accordance with the unaudited books of account of the Company for the respective quarters.

51.6 The Company has taken borrowings from banks and financial institutions and utilised them for the specific purpose for which they were taken as at the Balance sheet date. Unutilised funds as at 31 March 2022 are held by the Company in the form of debt mutual funds and short term fixed deposits till the time the utilisation is made subsequently.

51.7 Details of Benami Property held:

No proceedings have been initiated or pending against the Company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 and rules made thereunder, as at 31 March 2022 and 31 March 2021.

51.8 Willful Defaulter:

The Company is not a declared wilful defaulter by any bank or financial Institution or other lender, in accordance with the guidelines on wilful defaulters issued by the Reserve Bank of India, during the year ended 31 March 2022 and 31 March 2021.

51.9 Compliance with number of layers of companies:

The Company has complied with the number of layers prescribed under clause (87) of section 2 of the Act read with Companies (Restriction on number of Layers) Rules, 2017.

51.10 Undisclosed Income:

There have been no transactions which have not been recorded in the books of account, that have been surrendered or disclosed as income during the year ended 31 March 2022 and 31 March 2021, in the tax

assessments under the Income Tax Act, 1961. There have been no previously unrecorded income and related assets which were to be properly recorded in the books of account during the year ended 31 March 2022 and 31 March 2021.

51.11 Details of Crypto Currency or Virtual Currency:

The Company has not traded or invested in Crypto currency or Virtual Currency during the year ended 31 March 2022 and 31 March 2021.

51.12 Title Deeds of Immovable Properties not held in the name of the Company:

The Company does not hold any immovable property as on 31 March 2022 and 31 March 2021. All the lease agreements are duly executed in favour of the Company for properties where the Company is the lessee.

51.13 Utilisation of Borrowed funds and share premium:

As a part of normal lending business, the Company grants loans and advances on the basis of security/ guarantee provided by the Borrower/ co-borrower and makes investments. These transactions are part of Company's normal non-banking finance business, which is conducted ensuring adherence to all regulatory requirements.

(a) Other than the transactions described above, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other persons or entities, including foreign entities ("Intermediaries") with the understanding, whether recorded in writing or otherwise, that the Intermediary shall lend or invest in party identified by or on behalf of the Company (Ultimate Beneficiaries).

(b) The Company has also not received any fund from any parties (Funding Party) with the understanding that the Company shall whether, directly or indirectly lend or invest in other persons or entities identified by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

Notes forming part of Financial Statements

for the year ended 31 March 2022

52 Disclosure of Restructured Accounts as per Appendix 4 of Master Direction - Non-Banking Financial Company - Systemically Important Non-Deposit taking Company and Deposit taking Company (Reserve Bank) Directions, 2016

(₹ In Lakh)

Sl No.	Type of Restructuring		Others				
	Asset Classification		Standard	Sub-Standard	Doubtful	Loss	Total
1	Restructured Accounts as on 1 April 2021	No. of borrowers	755	6	-	-	761
		Amount outstanding	4,889.71	192.18	-	-	5,081.89
		Provision thereon	291.58	29.03	-	-	320.61
2	Fresh restructuring during the year	No. of borrowers	837	-	-	-	837
		Amount outstanding	7,425.14	-	-	-	7,425.14
		Provision thereon	17.82	-	-	-	17.82
3	Upgradations to restructured standard category during the FY	No. of borrowers	3	(3)	-	-	-
		Amount outstanding	19.31	(19.72)	-	-	(0.41)
		Provision thereon	2.01	(3.94)	-	-	(1.94)
4	Restructured standard advances which cease to attract higher provisioning and / or additional risk weight at the end of the FY and hence need not be shown as restructured standard advances at the beginning of the next FY	No. of borrowers	-	-	-	-	-
		Amount outstanding	-	-	-	-	-
		Provision thereon	-	-	-	-	-
5	Downgradations of restructured accounts during the FY	No. of borrowers	(511)	511	-	-	-
		Amount outstanding	(2,817.84)	2,793.88	-	-	(23.96)
		Provision thereon	(27.62)	56.53	-	-	28.91
6	Write-offs of restructured accounts during the FY	No. of borrowers	-	(270)	-	-	(270)
		Amount outstanding	-	(921.57)	-	-	(921.57)
		Provision thereon	-	(184.31)	-	-	(184.31)
7	Restructured Accounts as on 31 March 2022	No. of borrowers	1,084	244	-	-	1,328
		Amount outstanding	9,516.32	2,044.77	-	-	11,561.09
		Provision thereon	283.79	(102.70)	-	-	181.09

(₹ In Lakh)

Sl No.	Type of Restructuring		Others				
	Asset Classification		Standard	Sub-Standard	Doubtful	Loss	Total
1	Restructured Accounts as on 1 April 2020	No. of borrowers	5	-	-	-	5
		Amount outstanding	352.93	-	-	-	352.93
		Provision thereon	19.06	-	-	-	19.06
2	Fresh restructuring during the year	No. of borrowers	756	-	-	-	756
		Amount outstanding	4,728.96	-	-	-	4,728.96
		Provision thereon	283.10	-	-	-	283.10
3	Upgradations to restructured standard category during the FY	No. of borrowers	-	-	-	-	-
		Amount outstanding	-	-	-	-	-
		Provision thereon	-	-	-	-	-
4	Restructured standard advances which cease to attract higher provisioning and / or additional risk weight at the end of the FY and hence need not be shown as restructured standard advances at the beginning of the next FY	No. of borrowers	-	-	-	-	-
		Amount outstanding	-	-	-	-	-
		Provision thereon	-	-	-	-	-

Notes forming part of Financial Statements

for the year ended 31 March 2022

(₹ In Lakh)

Sl No.	Type of Restructuring		Others				Total
	Asset Classification Details		Standard	Sub-Standard	Doubtful	Loss	
5	Downgradations of restructured accounts during the FY	No. of borrowers	(6)	6	-	-	-
		Amount outstanding	(192.18)	192.18	-	-	-
		Provision thereon	(10.58)	29.03	-	-	18.45
6	Write-offs of restructured accounts during the FY	No. of borrowers	-	-	-	-	-
		Amount outstanding	-	-	-	-	-
		Provision thereon	-	-	-	-	-
7	Restructured Accounts as on 31 March 2021	No. of borrowers	755	6	-	-	761
		Amount outstanding	4,889.71	192.18	-	-	5,081.89
		Provision thereon	291.58	29.03	-	-	320.61

Note:

- (a) Since the disclosure of restructured advance account pertains to section "Others", the section "Under CDR Mechanism" and "Under SME Debt Restructuring Mechanism" as per format prescribed in the guidelines are not included above.
- (b) Provision has been considered as per IRACP Norms.

53 Disclosure as required in terms of Annexure XIV of Non-Banking Financial Company - Systemically Important Non-Deposit taking Company and Deposit taking Company (Reserve Bank) Directions, 2016

53.1 Disclosure on CRAR

(₹ in Lakh Except %)

Particulars	As at 31 March 2022	As at 31 March 2021
(i) CRAR (%)	26.21%	26.25%
(ii) CRAR - Tier I Capital (%)	25.90%	25.62%
(iii) CRAR - Tier II Capital (%)	0.31%	0.63%
(iv) Amount of subordinated debt raised as Tier-II capital	-	-
(v) Amount raised by issue of Perpetual Debt Instruments	-	-

53.2 Investments

Particulars	As at 31 March 2022	As at 31 March 2021
Value of Investments		
(i) Gross Value of Investments		
(a) In India	84,811.27	148,424.91
(b) Outside India	-	-
(ii) Provisions for Depreciation		
(a) In India	-	-
(b) Outside India	-	-
(iii) Net Value of Investments		
(a) In India	84,811.27	148,424.91
(b) Outside India	-	-
Movement of provisions held towards depreciation on investments		
(i) Opening balance	-	-
(ii) Add : Provisions made during the year	-	-
(iii) Less : Write-off / write-back of excess provisions during the year	-	-
(v) Closing balance	-	-

Notes forming part of Financial Statements

for the year ended 31 March 2022

53.3 Derivatives

53.3.1 Forward Rate Agreement / Interest Rate Swap

	As at 31 March 2022	As at 31 March 2021
(i) The notional principal of swap agreements	-	-
(ii) Losses which would be incurred if counterparties failed to fulfill their obligations under the agreements	-	-
(iii) Collateral required by the NBFC upon entering into swaps	-	-
(iv) Concentration of credit risk arising from the swaps	-	-
(v) The fair value of the swap book	-	-

53.3.2 Exchange Traded Interest Rate (IR) Derivatives

	As at 31 March 2022	As at 31 March 2021
(i) Notional principal amount of exchange traded IR derivatives undertaken during the year (instrument-wise)	-	-
(ii) Notional principal amount of exchange traded IR derivatives o/s as on 31 March 2021 (instrument-wise)	-	-
(iii) Notional principal amount of exchange traded IR derivatives o/s and not "highly effective" (instrument-wise)	-	-
(iv) Mark-to-market value of exchange traded IR derivatives o/s and not "highly effective" (instrument-wise)	-	-

53.3.3 Disclosures on Risk Exposure in Derivatives

Qualitative Disclosures

Not applicable as there are no derivatives

Quantitative Disclosures

	As at 31 March 2022		As at 31 March 2021	
	Currency Derivatives	Interest Rate Derivatives	Currency Derivatives	Interest Rate Derivatives
(i) Derivatives (Notional Principal Amount) For Hedging	-	-	-	-
(ii) Marked to Market Positions				
a) Asset (+)	-	-	-	-
b) Liability (-)	-	-	-	-
(iii) Credit Exposure	-	-	-	-
(iv) Unhedged Exposures	-	-	-	-

53.4 Asset Liability Management Maturity pattern of certain items of Assets and Liabilities as on 31 March 2022:

	(₹ In Lakh)		
	Advances	Investment	Borrowings
1 to 7 days	6,144.45	30,831.81	384.20
8 to 14 days	1,440.30	3,135.66	2,089.33
15 to 30/ 31 days	5,205.49	-	408.82
Over 1 month and upto 2 months	8,167.91	2,830.65	3,150.48
Over 2 months and upto 3 months	12,466.75	2,855.74	13,787.97
Over 3 months and upto 6 months	18,064.16	8,731.51	20,689.70
Over 6 months and upto 1 year	33,349.04	11,479.30	30,896.93
Over 1 year and upto 3 years	39,870.82	24,946.60	134,825.24
Over 3 years and upto 5 years	41,970.62	-	75,303.35
Over 5 years	140,546.56	-	13,720.35
Total	307,226.10	84,811.27	295,256.37

Notes forming part of Financial Statements

for the year ended 31 March 2022

Asset Liability Management Maturity pattern of certain items of Assets and Liabilities as on 31 March 2021:

	(₹ In Lakh)		
	Advances	Investment	Borrowings
1 to 7 days	4,332.38	39,540.98	152.67
8 to 14 days	13.23	3,003.88	1,583.33
15 to 30/ 31 days	993.64	-	121.38
Over 1 month and upto 2 months	2,873.86	2,347.46	880.37
Over 2 months and upto 3 months	2,784.98	2,368.25	10,811.47
Over 3 months and upto 6 months	16,600.76	7,232.52	14,358.27
Over 6 months and upto 1 year	43,765.19	15,041.59	42,036.65
Over 1 year and upto 3 years	29,074.88	53,672.49	91,897.70
Over 3 years and upto 5 years	27,680.96	25,217.74	69,719.14
Over 5 years	90,451.19	-	46,690.39
Total	218,571.07	148,424.91	278,251.37

Note:

- Advances include outstanding loan, accrued interest and does not include unamortized processing fees and file processing cost.
- Borrowing include interest accrued and due and interest accrued but not due. It does not include unamortized processing fee on borrowings.
- Maturity pattern of assets and liability has been compiled by management on contractual payment basis and relied upon by the auditors.

53.5 Exposures

53.5.1 Exposure to Real Estate Sector

	(₹ In Lakh)	
	As at 31 March 2022	As at 31 March 2021
Direct Exposure:		
(i) Residential Mortgages		
Lending fully secured by mortgages on residential property that is or will be occupied by the borrower or that is rented	189,608.21	115,495.17
(ii) Commercial Real Estate		
Lending secured by mortgages on commercial real estates (office buildings, retail space, multipurpose commercial premises, multi-family residential buildings, multi-tenanted commercial premises, industrial or warehouse space, hotels, land acquisition, development and construction, etc.). Exposure would also include non-fund based limits	29,522.61	23,204.35
(iii) Investments in Mortgage Backed Securities (MBS) and other securitised exposures -		
a. Residential	-	-
b. Commercial Real Estate	-	-
Indirect Exposure:		
Fund based and non-fund based exposures on National Housing Bank (NHB) and Housing Finance Companies (HFCs).	53,979.46	108,883.93

Notes forming part of Financial Statements

for the year ended 31 March 2022

53.5.2 Exposures to Capital Market

Particulars	As at 31 March 2022	As at 31 March 2021
(i) Direct investment in equity shares, convertible bonds, convertible debentures and units of equity-oriented mutual funds the corpus of which is not exclusively invested in corporate debt;	-	-
(ii) Advances against shares/ bonds/ debentures or other securities or on clean basis to individuals for investment in shares (including IPOs/ ESOPs), convertible bonds, convertible debentures, and units of equity-oriented mutual funds;	-	-
(iii) Advances for any other purposes where shares or convertible bonds or convertible debentures or units of equity oriented mutual funds are taken as primary security;	-	-
(iv) Advances for any other purposes to the extent secured by the collateral security of shares or convertible bonds or convertible debentures or units of equity oriented mutual funds i.e. where the primary security other than shares/ convertible bonds/ convertible debentures/ units of equity oriented mutual funds 'does not fully cover the advances;	-	-
(v) Secured and unsecured advances to stockbrokers and guarantees issued on behalf of stockbrokers and market makers;	-	-
(vi) Loans sanctioned to corporates against the security of shares/ bonds/ debentures or other securities or on clean basis for meeting promoter's contribution to the equity of new companies in anticipation of raising resources;	-	-
(vii) Bridge loans to companies against expected equity flows/ issues;	-	-
(viii) All exposures to Venture Capital Funds (both registered and unregistered) Total Exposure to Capital Market	-	-

53.5.3 Details of financing of parent company products

The Company does not finance parent company products

53.5.4 Details of Single Borrower Limit (SGL) / Group Borrower Limit (GBL) exceeded by the NBFC

The Company has not exceeded Single Borrower Limit (SGL) / Group Borrower Limit (GBL) during the year

53.5.5 Unsecured Advances

The Company has financed Unsecured Loans amounting to ₹22,970.02 Lakh as on 31 March 2022 (₹22,227.77 Lakh as on 31 March 2021) including accrued interest.

53.6 Registration obtained from other financial sector regulators

The company has not engaged into any business activity which are governed by other financial sector regulator. Hence, no registration was obtained.

53.7 Disclosure of Penalties imposed by RBI and other regulators

There is no instance of penalty or stricture imposed on the Company by RBI or any other regulatory on matter during the current or previous year.

53.8 Ratings assigned by credit rating agencies and migration of ratings during the year ended:

Facility	31-Mar-22		31-Mar-21	
	ICRA	IndiaRatings	ICRA	IndiaRatings
Bank Loan & Non - Convertible Debentures Rating	[ICRA]A(positive)	Ind A+/ Stable	[ICRA]A(Stable)	Ind A/ Stable

53.9 Net Profit or Loss for the period, prior period items and changes in accounting policies

There are no prior period transactions included in the current year's statement of profit and loss and also there is no change in accounting policy during the current year.

53.10 Revenue Recognition (Refer Note 2.5)

There is no transaction in which the Revenue recognition has been postponed or pending the resolution of significant uncertainty

53.11 Indian Accounting Standard 110 - Consolidated Financial Statements (CFS)

The Company does not have any subsidiary.

Notes forming part of Financial Statements

for the year ended 31 March 2022

53.12 Additional disclosures

53.12.1 Provisions and Contingencies

Break up of 'Provisions and Contingencies' shown under the head Expenditure in Statement of Profit and Loss:

Particulars	(₹ In Lakh)	
	31 March 2022	31 March 2021
(a) Provisions for depreciation on Investment	-	-
(b) Provision towards NPA*	724.70	1,450.29
(c) Provision made towards income tax	2,621.22	3,002.37
(d) Other provisions and Contingencies	-	-
(e) Provision for gratuity	92.32	77.88
(f) Provision for leave encashment	-	-
(g) Provision for depreciation	1,178.12	940.02
(h) Contingent provision for standard assets	(708.49)	1,367.61

* Net of recovery under CGTMSE scheme of ₹86.38 Lakh (Previous year: Nil)

53.12.2 Draw Down from Reserves

The Company has not drawn down any reserves during the current year/ previous year.

53.12.3 Concentration of Deposits, Advances, Exposures and NPAs

(a) Concentration of Deposits (for deposit taking NBFCs)

Particulars	31 March 2022	31 March 2021
Total Deposits of twenty largest depositors (₹ In Lakh)	-	-
Percentage of Deposits of twenty largest depositors to Total Deposits of the NBFC	-	-

Note: The Company is not a deposit taking NBFC and has not obtained any deposits from public.

(b) Concentration of Advances

Particulars	31 March 2022	31 March 2021
Total Advances to twenty largest borrowers (₹ In Lakh)	3,413.57	3,805.57
Percentage of Advances to twenty largest borrowers to Total Advances of the NBFC	1.13%	1.77%

(c) Concentration of Exposures

Particulars	31 March 2022	31 March 2021
Total Exposure to twenty largest borrowers/ customers (₹ In Lakh)	3,413.57	3,805.57
Percentage of Exposures to twenty largest borrowers/ customers to Total Exposure of the NBFC on borrowers/ customers	1.13%	1.77%

(d) Concentration of NPAs

Particulars	31 March 2022	31 March 2021
Total Exposure to top four NPA accounts (₹ In Lakh)	627.64	566.79

(e) Sector wise NPAs

Sector	Percentage of NPAs to Total Advances in that sector	
	31 March 2022	31 March 2021
1 Agriculture & allied activities	-	-
2 MSME	3.07%	4.10%
3 Corporate borrowers	-	-
4 Services	2.84%	3.24%
5 Unsecured personal loans	4.33%	5.72%
6 Auto loans	100.00%	99.00%
7 Other loans	1.72%	1.50%

Notes forming part of Financial Statements

for the year ended 31 March 2022

(f) Movement of NPAs

(₹ In Lakh)		
Particulars	31 March 2022	31 March 2021
Net NPAs to Net Advances (%)	1.65%	1.94%
Movement of NPAs (Gross)		
(a) Opening balance	6,665.46	3,568.64
(b) Additions during the year	5,910.12	4,066.37
(c) Reductions during the year	4,277.89	969.55
(d) Closing balance	8,297.69	6,665.46
Movement of Net NPAs		
(a) Opening balance	4,115.87	2,469.34
(b) Additions during the year	3,672.84	2,502.93
(c) Reductions during the year	2,851.69	856.40
(d) Closing balance	4,937.02	4,115.87
Movement of provisions for NPAs (excluding provisions on standard assets)		
(a) Opening balance	2,549.59	1,099.30
(b) Provisions made during the year	2,237.28	1,563.44
(c) Write-off/ write-back of excess provisions	1,426.20	113.15
(d) Closing balance	3,360.67	2,549.59

53.12.4 Overseas Assets

The Company does not have any overseas assets.

53.12.5 Off Balance sheet SPVs sponsored (which are required to be consolidated as per accounting norms)

The Company does not have SPVs sponsored (which are required to be consolidated as per accounting norms)

53.12.6 Customer Complaints

	As at 31 March 2022	As at 31 March 2021
(a) No. of complaints pending at the beginning of the year	-	-
(b) No. of complaints received during the year	60	134
(c) No. of complaints redressed during the year	60	134
(d) No. of complaints pending at the end of the year	-	-

53.12.7 Disclosure of Frauds reported during the year vide DNBS.PD.CC NO.256/03.10.042/2011-12 Dated 2 March 2012

Instances of fraud for the year ended 31 March 2022:

(₹ In Lakh)				
Nature of fraud	No. of cases	Amount of fraud	Recovery	Amount write off
Fraud committed by employees	4	451.66	46.69	25.53

During the year there have been 4 instances of fraud on the Company where gold loan related misappropriations/ cash embezzlements have occurred aggregating an amount of ₹451.66 Lakh (This includes fraud related to previous year which was reported to RBI on 5 May 2021 ₹266.04 Lakh). The Company has taken insurance cover for such losses and has filed insurance claims in this regard. Further, the Company is in the process of recovering these amounts by taking legal actions, where applicable.

Notes forming part of Financial Statements

for the year ended 31 March 2022

54 Disclosure pursuant to Reserve Bank of India notification RBI/DNBR/2016-17/45 Master Direction DNBR. PD.008/03.10.119/2016-17 updated as on 03 March 2022. pertaining to gold loans.

Operating Segment

(₹ In Lakh)

Particulars	31 March 2022	31 March 2021
No of loan Accounts	7,565	1,015
Outstanding Loan Amount	5,817.30	755.28
Sale Consideration**	6,527.46	834.92

*There is no sister concern participation in any of the above accounts.

**the excess of sales consideration over and above the outstanding amount is repaid to respective borrower.

55 Disclosure of provisions required under IRACP and impairment allowances made under Ind AS 109 as per Appendix to RBI Circular: DOR (NBFC).CC.PD.No. 109/22.10.106/2019-20 dated 13 March 2020

(₹ In Lakh)

Asset Classification as per RBI Norms as at 31 March 2022	Asset classification as per Ind AS 109	Gross Carrying Amount as per Ind AS	Loss Allowances (Provisions) as required under Ind AS 109	Net Carrying Amount	Provisions required as per IRACP norms	Difference between Ind AS 109 provisions and IRACP norms
(1)	(2)	(3)	(4)	(5)=(3)-(4)	(6)	(7) = (4)-(6)
Performing Assets						
Standard	Stage 1	2,77,983.14	1,738.44	2,76,244.70	1,111.93	626.51
	Stage 2	16,650.27	1,528.34	15,121.93	546.86	981.48
Subtotal		2,94,633.41	3,266.78	2,91,366.63	1,658.79	1,607.99
Non-Performing Assets (NPA)						
Substandard	Stage 3	6,982.78	2,429.25	4,553.53	806.97	1,622.28
Doubtful						
up to 1 year	Stage 3	626.09	370.03	256.06	221.10	148.93
1 to 3 years	Stage 3	312.69	162.77	149.92	93.81	68.96
More than 3 years	Stage 3	-	-	-	-	-
Subtotal for doubtful		938.78	532.80	405.98	314.91	217.89
Loss	Stage 1	4.29	4.30	(0.01)	4.29	0.01
	Stage 2	3.99	4.19	(0.20)	3.99	0.20
	Stage 3	367.85	390.13	(22.28)	367.85	22.28
Subtotal for loss		376.13	398.62	(22.49)	376.13	22.49
Subtotal for NPA		8,297.69	3,360.67	4,937.02	1,498.01	1,862.66
Other items such as guarantees, loan commitments, etc. which are in the scope of Ind AS 109 but not covered under current Income Recognition, Asset Classification and Provisioning (IRACP) norms.	Stage 1	-	-	-	-	-
	Stage 2	-	-	-	-	-
	Stage 3	-	-	-	-	-
Subtotal		-	-	-	-	-
Total	Stage 1	2,77,987.43	1,742.74	2,76,244.69	1,116.22	626.52
	Stage 2	16,654.26	1,532.53	15,121.73	550.85	981.68
	Stage 3	8,289.41	3,352.18	4,937.23	1,489.73	1,862.45
	Total	3,02,931.10	6,627.45	2,96,303.65	3,156.80	3,470.65

Notes forming part of Financial Statements

for the year ended 31 March 2022

(₹ In Lakh)

Asset Classification as per RBI Norms as at 31 March 2022	Asset classification as per Ind AS 109	Gross Carrying Amount as per Ind AS	Loss Allowances (Provisions) as required under Ind AS 109	Net Carrying Amount	Provisions required as per IRACP norms	Difference between Ind AS 109 provisions and IRACP norms
(1)	(2)	(3)	(4)	(5)=(3)-(4)	(6)	(7) = (4)-(6)
Performing Assets						
Standard	Stage 1	1,85,797.09	1,175.88	1,84,621.21	743.19	432.69
	Stage 2	22,299.14	873.93	21,425.21	361.22	512.71
	Additional Provision	-	1,925.46	-	-	1,925.46
Subtotal		2,08,096.23	3,975.27	2,06,046.42	1,104.41	2,870.86
Non-Performing Assets (NPA)						
Substandard	Stage 3	4,695.22	1,483.66	3,211.56	479.33	1,004.33
Doubtful						
up to 1 year	Stage 3	1,569.23	723.11	846.12	317.16	405.95
1 to 3 years	Stage 3	148.39	76.78	71.61	44.52	32.26
More than 3 years	Stage 3					
Subtotal for doubtful		1,717.62	799.89	917.73	361.68	438.21
Loss	Stage 3	252.62	266.04	(13.42)	266.04	-
Subtotal for NPA		6,665.46	2,549.59	4,115.87	1,107.05	1,442.54
Other items such as guarantees, loan commitments, etc. which are in the scope of Ind AS 109 but not covered under current Income Recognition, Asset Classification and Provisioning (IRACP) norms.	Stage 1	-	-	-	-	-
	Stage 2	-	-	-	-	-
	Stage 3	-	-	-	-	-
Subtotal		-	-	-	-	-
Total	Stage 1	1,85,797.09	1,175.88	1,84,621.21	743.19	432.69
	Stage 2	22,299.14	873.93	21,425.21	361.22	512.71
	Stage 3	6,665.46	2,549.59	4,115.87	1,107.05	1,442.54
	Additional Provision	-	1,925.46	-	-	1,925.46
	Total	2,14,761.69	6,524.86	2,10,162.29	2,211.46	4,313.40

Notes forming part of Financial Statements

for the year ended 31 March 2022

56 Balances of certain trade receivables, advances given and trade payables are subject to confirmation/ reconciliation, if any. The management does not expect any material difference affecting the financial statements on such reconciliation/ adjustments.

57 Amounts for the year ended and as at 31 March 2021 were audited by previous auditor Deloitte Haskins & Sells LLP.

58 Events subsequent to Balance Sheet date:

Subsequent to the Balance Sheet date, the Company has issued and allotted 62,500,000 equity shares of ₹10 each at a premium of ₹30 per share on preferential/ private placement basis amounting to ₹25,000.00 Lakh

59 Previous Year Figures

Previous year's figures have been regrouped and reclassified wherever necessary to conform to current year's classification.

As per our report of even date attached
For Suresh Surana & Associates LLP
Chartered Accountants
 Firm's Registration No. 121750W/W-100010

Ramesh Gupta
Partner
 Membership No: 102306

Place : Mumbai
 Date : 21 May 2022

For and on behalf of the Board of Directors of
SBFC Finance Private Limited
 CIN:U67190MH2008PTC178270

Mr. Aseem Dhru
CEO & Managing Director
 (DIN: 01761455)

Mr. Narayan Barasia
Chief Financial Officer

Place : Mumbai
 Date : 21 May 2022

Mr. John Mescall
Nominee Director
 (DIN: 08385575)

Mr. Jay Mistry
Company Secretary
 (ACS: A34264)

Notes forming part of Financial Statements

for the year ended 31 March 2022

Schedule to the Balance Sheet under Annex IV of Master Direction - Non-Banking Financial Company - Systemically Important Non-Deposit taking Company and Deposit taking Company (Reserve Bank) Directions, 2016

Liabilities Side

Loans and advances availed by the non banking financial company inclusive of interest accrued thereon but not paid:

(₹ In Lakh)

Particulars	As at 31 March 2022		As at 31 March 2021	
	Amount Outstanding	Amount Overdue	Amount Outstanding	Amount Overdue
a) Debentures:				
Secured	4,540.29	-	15,844.68	-
Unsecured	-	-	-	-
(other than falling within the meaning of public deposits)				
b) Deferred Credits	-	-	-	-
c) Term Loans	2,84,322.52	-	2,54,242.88	-
d) Inter Corporate loans and borrowings	-	-	-	-
e) Commercial Paper	-	-	-	-
f) Public Deposits	-	-	-	-
g) Other Loans				
Collateralized Borrowings	5,127.86	-	6,729.76	-
Total	2,93,990.67	-	2,76,817.32	-

Assets Side

Breakup of Loans and Advances including bills receivables (other than those included in (3) below):

(₹ In Lakh)

Particulars	As at 31 March 2022	As at 31 March 2021
	Amount Outstanding	Amount Outstanding
a) Secured	2,76,665.87	1,90,165.05
b) Unsecured	21,575.38	20,542.92

Breakup of Leased Assets and stock on hire and other assets counting towards asset financing activities:

(₹ In Lakh)

Particulars	As at 31 March 2022	As at 31 March 2021
	Amount Outstanding	Amount Outstanding
i) Lease assets including lease rentals under sundry debtors:		
a) Financial Lease	-	-
b) Operating Lease	-	-
ii) Stock on hire including hire charges under sundry debtors:		
a) Assets on hire	-	-
b) Repossessed Assets	-	-
iii) Other loans counting towards asset financing activities		
a) Loans where assets have been repossessed	-	-
b) Loans other than (a) above	-	-

Notes forming part of Financial Statements

for the year ended 31 March 2022

Breakup of Investments:

Particulars	As at 31 March 2022	As at 31 March 2021
	Amount Outstanding	Amount Outstanding
Current Investments:		
1. Quoted:		
i) Shares: (a) Equity	-	-
(b) Preference	-	-
ii) Debentures and Bonds	-	-
iii) Units of mutual funds	-	-
iv) Government Securities	-	-
v) Others (please specify)	-	-
2. Unquoted:		
i) Shares: (a) Equity	-	-
(b) Preference	-	-
ii) Debentures and Bonds	-	-
iii) Units of mutual funds	30,831.81	39,540.98
iv) Government Securities	-	-
v) Others	-	-
Investment in Pass Through certificates (PTC)	29,032.86	29,993.71
Long Term investments:		
1. Quoted:		
i) Shares: (a) Equity	-	-
(b) Preference	-	-
ii) Debentures and Bonds	-	-
iii) Units of mutual funds	-	-
iv) Government Securities	-	-
v) Others (please specify)	-	-
2. Unquoted:		
i) Shares: (a) Equity	-	-
(b) Preference	-	-
ii) Debentures and Bonds	-	-
iii) Units of mutual funds	-	-
iv) Government Securities	-	-
v) Others	-	-
Investment in Pass Through certificates (PTC)	24,946.60	78,890.22

Borrower groupwise classification of assets financed as in (2) and (3) above:

Category	As at 31 March 2022			As at 31 March 2021		
	Amount net of Provisions			Amount net of Provisions		
	Secured	Unsecured	Total	Secured	Unsecured	Total
1. Related Parties						
a) Subsidiaries	-	-	-	-	-	-
b) Companies in the same group	-	-	-	-	-	-
c) Other related parties	-	-	-	-	-	-
2. Other than related parties	2,76,665.87	21,575.38	2,98,241.25	1,90,165.05	20,542.92	2,10,707.97
Total	2,76,665.87	21,575.38	2,98,241.25	1,90,165.05	20,542.92	2,10,707.97

Notes forming part of Financial Statements

for the year ended 31 March 2022

Investor groupwise classification of all investments (current and long term) in shares and securities (both quoted and unquoted):

(₹ In Lakh)

Category	As at 31 March 2022		As at 31 March 2021	
	Market Value/ Break up or fair value or NAV	Book Value (Net of Provisions)	Market Value/ Break up or fair value or NAV	Book Value (Net of Provisions)
1. Related Parties				
a) Subsidiaries	-	-	-	-
b) Companies in the same group	-	-	-	-
c) Other related parties	-	-	-	-
2. Other than related parties	84,811.27	84,811.27	1,48,424.91	1,48,424.91
Total	84,811.27	84,811.27	1,48,424.91	1,48,424.91

Breakup of Loans and Advances including bills receivables (other than those included in (3) below):

(₹ In Lakh)

Particulars	As at 31 March 2022	As at 31 March 2021
	Amount	Amount
i) Gross Non Performing Assets		
a) Related Parties	-	-
b) Other than related parties	8,297.69	6,665.46
ii) Net Non Performing Assets		
a) Related Parties	-	-
b) Other than related parties	4,937.02	4,115.87
iii) Assets acquired in satisfaction of debt	-	-

For and on behalf of the Board of Directors of
SBFC Finance Private Limited
 CIN:U67190MH2008PTC178270

Mr. Aseem Dhru
 CEO & Managing Director
 (DIN: 01761455)

Mr. Narayan Barasia
 Chief Financial Officer

Place : Mumbai
 Date : 21 May 2022

Mr. John Mescall
 Nominee Director
 (DIN: 08385575)

Mr. Jay Mistry
 Company Secretary
 (ACS: A34264)

Notes

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.



SBFC Finance Private Limited,

1st Floor, C & B Square, Sangam Complex, Andheri Kurla Road,
Village Chakala, Andheri East, Mumbai - 400059



1800-102-8012



customercare@sbfc.com



www.sbfc.com